



ARGENT INDUSTRIAL LIMITED

**ANNUAL
REPORT
2022**

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CORPORATE PROFILE

Argent Industrial Limited is largely a steel-based beneficiation group with a very diverse portfolio of businesses that include international brands.

The business portfolio consists of American Shutters, Argent Industrial Engineering, Argent Industrial Investments, Castor & Ladder, Gammid Group, Hendor Mining Supplies, Jetmaster, Koch's Cut & Supply Steel Centre, Megamix, New Joules Manufacturing, Phoenix Steel Group, Pro Crane Services, Tricks Wrought Iron Services, Xpanda Security, Cannock Gates & Burbage Iron Craft, OSA Door Parts, New Joules Engineering North America, Fuel Proof, Roll-Tec Safety, Partington Engineering, Argent Industrial UK, Fluid Transfer International and Fofuel Support.

These businesses cover a huge spectrum of products from manufacturing and steel-based trading to concrete building products, mobile and static bunded fuel storage and dispensing systems and bespoke trolleys, with regional outlets that trade in a number of these products. The newer additions being custom-made adjustable louvre-shutters and market-leading aviation refuelling vehicles and systems.

The company has 24 operating units which operate throughout South Africa, the United Kingdom and United States of America.

Manufacturing is the biggest activity of the group and this, together with a strategy of vertical integration and being self-sufficient, has led the group to being totally diversified.

This protects the group from economic swings in any one segment of the market and is a catalyst for new growth opportunities.

The group's character is innovation, speed, delivery and service. Argent has a bold approach to business and is always seeking new investments and investors.

Our customers are the key to our success and so they enjoy our dedicated attention.

The Argent group's strategic intent is to grow profitability through streamlining the business by extracting maximum value from vertical integration and good management practice.

GROUP KEY VALUES

Argent endeavours to create a climate in which competent executives can flourish while co-ordinating their efforts towards a unity of purpose that enhances the creation of wealth.

The group's key values are:

- seeking long-term, sustained, real growth for shareholders;
- maintaining a balance in the investment of its resources in focused markets;
- conducting business with professionalism and integrity;
- developing long-term relationships through co-operation and fair play;
- practicing financial prudence;
- meeting all legal and moral obligations;
- generating an eagerness to learn and improve;
- respecting the dignity and human rights of all employees; and
- maintaining a high standard in the areas of workplace safety and health.

OPERATION LOCATIONS

South Africa

Manufacturing	Argent Industrial Engineering	Western Cape
	American Shutters	Western Cape, Gauteng and KwaZulu-Natal
	Castor & Ladder	Gauteng and KwaZulu-Natal
	Hendor Mining Supplies	Gauteng
	Jetmaster	Gauteng
	Koch's Cut & Supply Steel Centre	KwaZulu-Natal
	Megamix	Western Cape
	New Joules Manufacturing	Gauteng
	Pro Crane Services	Gauteng and KwaZulu-Natal
	Tricks Wrought Iron Services	KwaZulu-Natal
	Xpanda Security	KwaZulu-Natal, Gauteng and Western Cape
	Gammid KZN	KwaZulu-Natal
Steel trading	Phoenix Steel Gauteng	Gauteng
	Phoenix Steel Natal	KwaZulu-Natal
Properties	Argent Industrial Investments	KwaZulu-Natal, Gauteng and Western Cape

United States of America

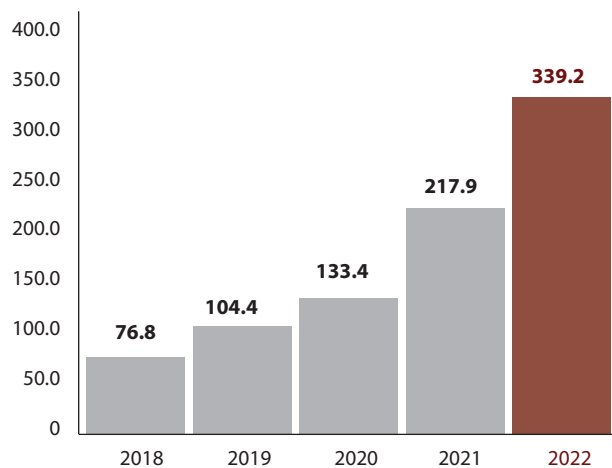
Manufacturing	New Joules Engineering North America	Kansas City
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United Kingdom

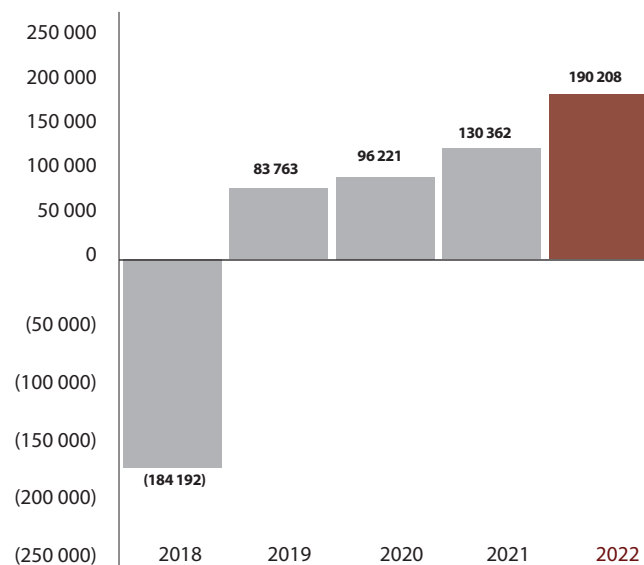
Manufacturing	Cannock Gates & Burbage Iron Craft	Cannock
	OSA Door Parts	Runcorn
	Fuel Proof	Heysham
	Roll-Tec Safety	Heysham
	Argent Industrial UK	Heysham
	Partington Engineering	Cinderford
	Fluid Transfer International	Nailsworth
	Flofuel Support	Witney

FINANCIAL HIGHLIGHTS

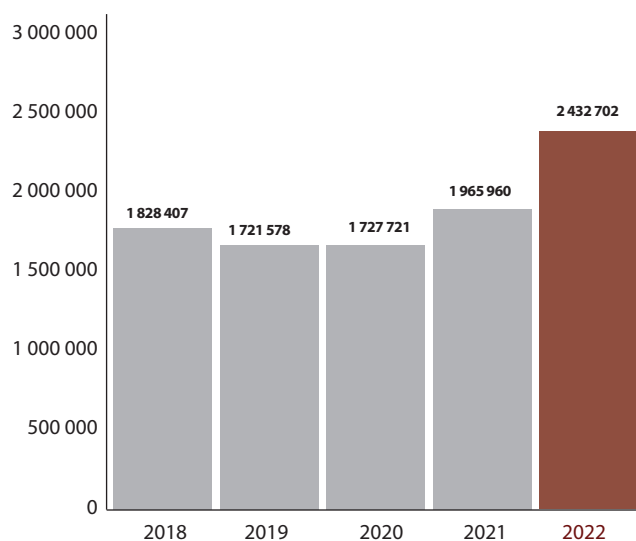
Headline earnings per share (cents)



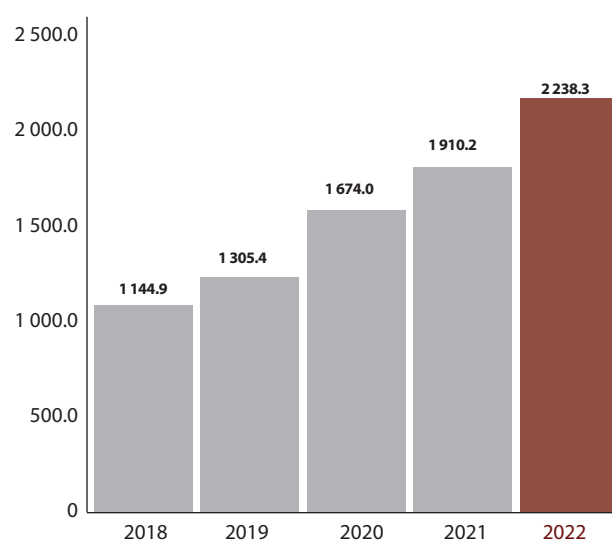
Attributable earnings/(loss) (R 000)



Revenue (R 000)



Net asset value per share (cents)



FIVE-YEAR REVIEW

	2022	2021	2020	2019	2018
Revenue (R 000)	2 432 702	1 965 960	1 727 721	1 721 578	1 828 407
Attributable earnings / (loss) for the year (R 000)	190 208	130 362	96 221	83 763	(184 192)
Basic earnings / (loss) per share (cents)	330.0	217.3	130.8	101.2	(205.2)
Diluted earnings / (loss) per share (cents)	325.3	216.0	130.1	101.2	(205.2)
Headline earnings per share (cents)	339.2	217.9	133.4	104.4	76.8
Tax rate (%)	23.9	25.3	17.4	25.8	10.2
Dividends per share (cents)	-	-	-	10.0	21.0
- Final prior	-	-	-	10.0	11.0
- Interim current	-	-	-	-	10.0
Dividend cover (times)	-	-	-	10.1	(9.8)
Net asset value per share (cents)	2 238.3	1 910.2	1 674.0	1 305.4	1 144.9
Net asset value per share (excluding intangibles) (cents)	1 792.6	1 565.2	1 422.3	1 107.3	1 046.3
Total assets employed (R 000) (excluding deferred taxation)	1 976 798	1 683 765	1 575 019	1 409 057	1 333 160
Return on shareholders' equity (%)	14.9	11.5	9.2	8.1	(18.8)
Gearing (%) (interest-bearing borrowings and lease liabilities/equity)	14.4	16.9	23.1	1.6	4.4
Liquidity					
- Current ratio	2.3	2.7	3.5	2.7	2.5
- Current ratio excluding current portion of interest-bearing borrowings and lease liabilities	2.6	3.2	4.1	2.8	2.8
- Acid test ratio	1.3	1.7	2.0	1.3	1.3

ADMINISTRATION

Argent Industrial Limited

Reg. No. 1993/002054/06

Secretary and registered office

Jaco Dauth
First floor, Ridge 63,
8 Sinembe Crescent,
La Lucia Ridge Office Estate, 4019
(PO Box 5108, Sinembe Park, La Lucia Ridge Office Estate, 4019)
Tel: + 27 31 791 0061
www.argent.co.za
Email: argent10@argent.co.za

Transfer secretaries

JSE Investor Services
13th floor, Rennie House,
19 Ameshoff Street,
Johannesburg, 2001
(PO Box 4844, Johannesburg, 2000)
Tel: + 27 11 713 0800

Bankers

Nedcor Limited
Corporate Banking Division Gauteng
First floor, Block F,
135 Rivonia Road,
Sandton, 2196
(PO Box 1144, Johannesburg, 2000)
Tel: + 27 11 294 4444

Auditors

BDO South Africa Inc.
5A Rydall Vale Office Park,
38 Douglas Saunders Drive,
La Lucia, 4051
(PO Box 47, La Lucia, 4153)
Tel: + 27 31 514 7000

Sponsor

PSG Capital
2nd floor, Building 3,
11 Alice Lane,
Sandhurst, Sandton, 2196
(PO Box 650957, Benmore, 2010)
Tel: + 27 11 032 7400

DIRECTORATE

TEUNIS SCHARRIGHUISEN (77) (Netherlands)

Non-executive chairman

Appointed 12 May 1993

Tony, an entrepreneur with many years of business experience, has been involved in businesses from property owning to opencast mining and earthmoving services. He served on a number of companies' boards as director, chairman and was the founding member and shareholder of the company now known as Argent.

PANAGIOTIS ANDREA CHRISTOFIDES BCompt (53)

Lead independent non-executive director

Appointed 24 August 2016

Member of the nomination, audit and risk and remuneration committees.

Pedro has a BCompt degree from the University of Witwatersrand. He served as COO of Blue Label Distribution between 2007 and 2010. He is currently the CEO of Polsa Holdings Group of Companies Limited.

CLAYTON DEAN ANGUS CA(SA) (54)

Independent non-executive director

Appointed 18 May 2016

Chairs the audit and risk, and remuneration committees and is a member of the nomination, and social and ethics committees.

Clayton is a Chartered Accountant (SA) and was the group financial director of Nutritional Holdings Limited, a JSE Alt-X company from 1 June 2012 to 2 March 2015. He was previously the Chief Financial Officer of NOAH (Nurturing Orphans of Aids for Humanity) and also a non-executive director at Argent from March 2013 to August 2015. Clayton served his articles of traineeship with KPMG and has vast experience in business, both in South Africa and London, where he worked for two years.

KHATHUTSHELO MAPASA BSc Engineering (Chemical) (45)

Independent non-executive director

Appointed 10 April 2019

Member of the nomination, audit and risk, and remuneration committees.

K2 has a BSc Engineering (Chemical) degree from the University of Cape Town and has completed the Harvard Business School Management Development Program. He previously served as a non-executive director at Argent from August 2016 to February 2018 and resigned in order to fully focus on his core responsibilities at Basil Read, where he is currently the CEO and MD. He started in 2014 as executive officer of the mining division and an executive committee member. Prior to joining Basil Read, K2 worked for one of the largest diamond mining multi-national companies in

various technical and senior managerial roles. He also holds a number of non-executive directorship positions in privately held companies.

TREVE ROBERT HENDRY CA(SA) (55) (British)

Chief executive officer

Appointed 5 May 1997

Chairs the social and ethics committee.

Treve is a Chartered Accountant (SA) and served his articles of traineeship with Ernst & Young. After completing articles, Treve joined Ferreira's Hardware as a Financial Manager. In August 1995, he moved to PMT Steel, a subsidiary of Argent. In 1997 Treve was made Financial Director and in 1998 became Managing Director.

SUE JOAN COX CA(SA) (56)

Financial director

Appointed 1 April 2002

Member of the social and ethics committee.

Sue is a Chartered Accountant (SA) and served her articles of traineeship with Ernst & Young. After completing articles, Sue backpacked around Europe, the United States of America, the Far East and the United Kingdom for two years before returning to South Africa to start her career. She then spent the next eight years in various financial positions at Air Products, Anglo American, JCI and Goldfields before joining Argent in February 2001 as Group Accountant.

ALFRED FRANZ LITSCHKA BSc (Metallurgy), MBA (56)

Executive director

Appointed 1 January 2004

Fred joined De Beers Consolidated Mines as a Plant Metallurgist on graduation in 1990. Following stints at Premier Mine, Venetia Mine and De Beers Marine in Cape Town, Fred was appointed to the position of Metallurgical Manager in 1999. During this period he was responsible for production and metallurgical technical development for marine mining vessels. On completion of his tenure at De Beers Marine, Fred was promoted to De Beers Head Office as Senior Divisional Metallurgist in 2001. Fred was the Lead Metallurgist for the Canadian Mines development. He completed an MBA with the Gordon Institute of Business Science at the end of 2004. Fred joined Argent in June 2005 as an executive director, initially he was appointed as a non-executive director.

SUSTAINABILITY REPORT

The group conducts its business with the aim of making a profit whilst at the same time returning value to those who have invested therein. We aim to build value for our shareholders by addressing our social, environmental and economic responsibilities.

Assurance

We acknowledge that Argent's annual report, though a positive move toward compliance, is far from perfect and there are areas that can be improved upon. The directors are committed to applying themselves to that which we see as an opportunity for learning rather than just a vessel for information or a means to compliance. We have dedicated ourselves to ensuring that the non-financial information provided in this report is accurate and reasonably reflects the environmental, social and governance issues that are discussed in direct relation to the key drivers of the business.

Risk management

The board is responsible for the total process of risk management for the group and uses the risk assessment monitor as its main source of information to determine the effectiveness of the group's risk management process. The objective of risk management is to identify, assess, manage and monitor the risks to which the business is exposed. These include credit granting, crime, shift in spending patterns, foreign currency risks as well as interest rate risks. Operational and financial risks are managed through detailed systems of operating and financial controls, which are reviewed and monitored regularly.

Losses from defaulting debtors are limited by stringent credit application criteria and clearly defined credit and collection policies. These are reviewed regularly in light of prevailing economic conditions and bad debt statistics.

With the assistance of expert insurance consultants, risks are assessed and insurance cover purchased for all risks above predetermined self-insured limits. Levels of cover are reassessed annually considering claims experienced and changes within and outside of the group.

The following key risk areas have been identified for monitoring:

- De-industrialisation of South Africa – the decline in manufacturing and capital spend are indicators that will result in declining revenue and profitability for the group and only diversification away from the South African market will mitigate this risk.
- Political and labour instability – the growing risk of labour and political instability is forcing diversification to more geographical stable regions.

- Energy price and availability risk – the lack of stability of electrical supply is disruptive to economic and business recovery and the need to invest in power supply independent of the national grid over and above basic generators is critical.

Social responsibilities

The group acknowledges its social responsibilities towards the communities in which it operates and deserving institutions at large. Each year the board sets aside a specific amount for corporate social investment. Currently a child and youth care centre in KwaZulu-Natal receives the benefit of financial support from Argent as part of our ongoing commitment to the community.

Equality

The group is an equal opportunity employer and there is no discrimination on the basis of ethnic origin or gender in any manner. A number of programmes are in place to ensure that the group's employee profile will become increasingly representative of the demographics of the regions in which it operates whilst maintaining the group's high standards.

Employee participation

The group will continue to have its operating decisions made at the appropriate levels. Participative management lies at the heart of this strategy, which relies on the building of employee partnerships at every level to foster mutual trust and respect and to create an environment where people are continually mentored to strive for self-improvement. The group strives to liberate the initiative and energies of its people, because it is they who make the difference in the group's performance.

Ethics and values

The group endeavours to act with honesty, responsibility and professional integrity in its dealings with employees, shareholders, customers, suppliers and society at large. Employees are required to maintain the highest ethical standards in ensuring that business practices are conducted in a manner, which in all reasonable circumstances, is above reproach. In any instance where ethical standards are called into question, the circumstances are thoroughly investigated and resolved in an appropriate and fair manner. The group endeavours at all levels within the organisation to work against all forms of corruption and dishonesty.

Argent is committed to the following:

- employee development;
- participation and empowerment;
- respect, dignity and equal opportunity;
- a safe and healthy work environment;

- community and environmental commitment;
- open communication;
- continuous improvement; and
- product quality and customer service.

Environmental sustainability

The group is conscious of the fact that in carrying out its activities there is a potential risk of environmental damage. An effort has therefore been made to educate all employees in best practice so as to avoid long-term damage to the environment and atmosphere through the inappropriate use of plant and equipment.

Our underlying environmental philosophy is the adoption of protective strategies to manage and control the impact of our manufacturing operations upon the environment whilst at the same time safeguarding our assets and human resources.

Health and safety

We comply with the Occupational Health and Safety Act and Department of Labour rules and regulations.

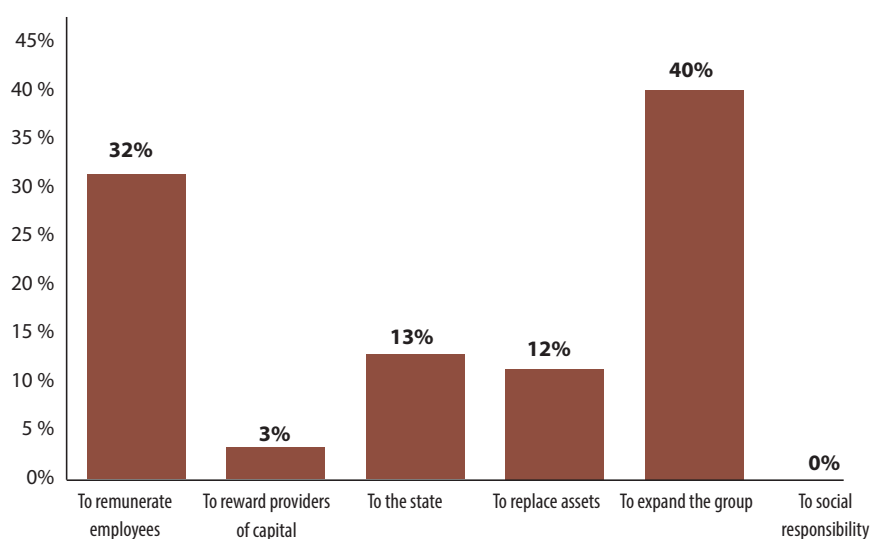
Stakeholder engagement

As a listed entity, Argent Industrial Limited complies with legal communication requirements. We believe in regular dialogue with various stakeholders and the investor community as a whole. Regular SENS announcements are published to keep the stakeholders informed whilst our website provides up-to-date information regarding the group.

VALUE-ADDED STATEMENT

Value-added is the wealth created by the group and its employees by supplying its services and expertise. This statement shows how the value was shared by those responsible for its achievements.

	2022 R 000	2021 R 000
Revenue	2 432 702	1 965 960
Purchased materials and services	1 963 276	1 583 803
	469 426	382 157
Non-operating income	741	1 110
Value-added	470 167	383 267
Applied as follows:		
To remunerate employees:		
Salaries, wages, pensions, bonuses and other benefits	149 326	140 113
To reward providers of capital:	15 003	16 918
Interest on loans	15 003	16 918
Dividends to shareholders	-	-
To the state:		
Company tax	60 533	43 779
To replace assets:		
Depreciation and amortisation	54 837	51 886
To expand the group:	190 208	130 362
Retained earnings	190 208	130 362
To social responsibility:		
Donations	260	209
	470 167	383 267



CORPORATE GOVERNANCE REPORT

The directors of Argent Industrial Limited (**Argent** or **the company** or **the group**) regard corporate governance as vitally important to the success of the group's business and are unreservedly committed to applying the principles necessary to ensure that good governance is practised. For this, they accept full responsibility. These principles include discipline, independence, responsibility, fairness, social responsibility, transparency, and accountability of the directors to all stakeholders. Corporate governance within the group is managed by a unitary board of directors and several sub-committees of the board.

The board is of the opinion that the group has been established and incorporated with the provisions of the South African Companies Act No. 71 of 2008 (**the Companies Act**) and operates in conformity with its Memorandum of Incorporation.

It has complied throughout the accounting period with all the objectives incorporated in the King IV Report on Corporate Governance™ for South Africa, 2016 (**King IV**) and the Listings Requirements of the JSE Limited (**JSE Listings Requirements**) as set out in the King IV compliance summary below:

PRINCIPLE	APPLICATION/ EXPLANATION
1. The governing body should lead ethically and effectively.	The board of directors of Argent hold each other accountable for decision-making and ethical behaviour. The chairman of the board oversees this on an ongoing basis. This responsibility is contained in the board terms of reference.
2. The governing body should govern the ethics of the organisation in a way that supports the establishment of an ethical culture.	The board, through the social and ethics committee, is responsible for the monitoring and governance of the ethics of the group. This is contained in the social and ethics committee terms of reference. Argent's code of ethics guides the interaction between employees, clients, stakeholders, suppliers, and the communities within which it operates.
3. The governing body should ensure that the organisation is and is seen to be a responsible corporate citizen.	The board together with the social and ethics committee is responsible for monitoring the overall responsible corporate citizenship performance of the group. Argent supports a child and youth care centre in KwaZulu-Natal.
4. The governing body should appreciate that the organisation's core purpose, its risks and opportunities, strategy, business model, performance, and sustainable development are all inseparable elements of the value creation process.	The company's ability to create value in a sustainable manner is illustrated throughout its business model. The audit and risk committee assists the board with the governance of risk and continuously monitors risks and ensures the implementation of various mitigating controls. This responsibility is contained in the board terms of reference and the audit and risk committee terms of reference.
5. The governing body should ensure that reports issued by the organisation enable stakeholders to make informed assessments of the organisation's performance, and its short-, medium-, and long-term prospects.	The group's annual report provides an assessment of its performance, measured against its objectives.
6. The governing body should serve as the focal point and custodian of the corporate governance in the organisation.	The board is the focal point and custodian of corporate governance within the group. Its role and responsibilities, and the way that it executes its duties and decision-making are documented and are set out in the board terms of reference. Further aspects of governance are addressed with greater impetus through the establishment of board sub-committees i.e. audit and risk, nomination and remuneration, and social and ethics committees.

PRINCIPLE	APPLICATION/ EXPLANATION
7. The governing body should comprise the appropriate balance of knowledge, skills, experience, diversity, and independence for it to discharge its governance role and responsibilities objectively and effectively.	The board and its sub-committees consider, on an annual basis, its composition in terms of balance of skills, experience, diversity, independence, knowledge, and whether this enables it to effectively discharge its role and responsibilities. The board is satisfied that there is a balance of skills, experience, diversity, independence, and knowledge needed to discharge its role and responsibilities. Through the annual self-assessment of the board and its sub-committees' the knowledge and skills set are evaluated and improved where required. Furthermore, where necessary the subject matter experts are available for matters requiring specialised guidance.
8. The governing body should ensure that its arrangements for delegation within its own structures promote independent judgement and assist with balance of power and the effective discharge of its duties.	The board and its sub-committees comply with the requirements in terms of King IV. There is a clear balance of power to ensure that no individual/s have undue decision-making powers. A lead independent non-executive director has been appointed. The audit and risk committee are satisfied that the auditor is independent and non-audit services are not performed and the audit firm has been appointed with the designated audit partner having oversight of the audit. The financial director oversees the finance function and is assisted by suitably qualified staff. An effective internal audit function is in place. An assessment of the effectiveness of the financial director's performance is conducted annually by the audit and risk committee and confirmed in the annual report.
9. The governing body should ensure that the evaluation of its own performance and that of its committees, its chair, and its individual members, support continued improvement in its performance and effectiveness.	The board and all sub-committee's terms of reference include the onus of annual assessments. Assessments of the performance of the board, its sub-committees and the company secretary are conducted annually by way of internal evaluation processes.
10. The governing body should ensure that the appointment of, and delegation to, management contribute to role clarity and effective exercise of authority and responsibilities.	A detailed delegation of authority policy and framework indicate matters reserved for the board and senior management. The board is satisfied that the group is appropriately resourced and that its delegation to management contributes to an effective arrangement by which authority and responsibilities are exercised.
11. The governing body should govern risk in a way that supports the organisation in setting and achieving its strategic objectives.	The audit and risk committee assists the board with the governance of risk. The board is aware of the importance of risk management as it is linked to the strategy, performance, and sustainability of the group. The audit and risk committee implement processes by which the risks to the sustainability of the business are identified and managed within acceptable parameters. The audit and risk committee delegates to management the task of continuously identifying, assessing, mitigating and managing risks within the existing operating environment. Mitigating controls are in place to address these risks which are monitored on a continuous basis.
12. The governing body should govern technology and information in a way that supports the organisation setting and achieving its strategic objectives.	The board, together with the audit and risk committee, oversees the governance of information technology. The board is aware of the importance of technology and information in relation to the group's strategy.

PRINCIPLE	APPLICATION/ EXPLANATION
13. The governing body should govern compliance with applicable laws and adopted, non-binding rules, codes, and standards in a way that it supports the organisation being ethical and a good corporate citizen.	The board, through the social and ethics committee, assisted by the company secretary and outsourced resources, monitors compliance with the various regulations the group is subject to. There are no material penalties, sanctions or fines for the contraventions of, or non-compliance with, regulatory obligations.
14. The governing body should ensure that the organisation remunerates fairly, responsibly and transparently to promote the achievement of strategic objectives and positive outcomes in the short-, medium-, and long-term.	The board, assisted by the nominations and remuneration committee, ensures that staff are remunerated fairly, responsibly, transparently, and in line with industry standards to promote the creation of value in a sustainable manner. This responsibility is contained in the terms of reference of the nominations and remuneration committee.
15. The governing body should ensure that assurance services and functions enable an effective control environment, and that these support the integrity of information for internal decision-making and of the organisation's external reports.	The board is satisfied that the assurance results indicate an adequate and effective control environment and integrity of reports for better decision-making. This responsibility is contained in the terms of reference of the board and the audit and risk committee.
16. In the execution of its governance roles and responsibilities, the governing body should adopt a stakeholder-inclusive approach that balances the needs, interests, and expectations of material stakeholders in the best interest of the organisation over time.	Various stakeholder groups have been identified and the board balances their legitimate and reasonable needs, interests, and expectations.
17. The governing body of an institutional investor organisation should ensure that responsible investment is practised by the organisation to promote the good governance and the creation of value by the companies in which it invests.	N/A – Argent Industrial Limited is not an institutional investor.

BOARD OF DIRECTORS

The board's primary responsibilities, based on a predetermined assessment of materiality, include giving strategic direction to the Argent group, identifying key risk areas and key performance indicators of the group's business, monitoring investment decisions, considering significant financial matters, and reviewing the performance of executive management against business plans, budgets and industry standards as well as identifying and monitoring the non-financial aspects relevant to the business. In addition, specific attention is given to ensuring that a comprehensive system of policies and procedures is operational and that compliance with corporate governance principles is reviewed regularly.

There is a set policy for appointments to the board. Nominations for appointment to the board are formal and transparent and submitted by the nomination committee, which mainly comprises of non-executive directors, to the full board for consideration. Any appointments to the board are made taking into account the need for ensuring that the board provides a diverse range of skills, knowledge and expertise, the requisite independence, the necessity of achieving a balance between skills and expertise and the professional and industry knowledge necessary to meet the group's strategic objectives, as well as the need for ensuring demographic representation. There is a clear division of responsibilities at board level to ensure a balance of power and authority, such that no one individual has unfettered powers of decision-making.

Executive directors have employment contracts for five (5) years effective from 1 September 2018 to 31 August 2023, renewable at the executive director's and remuneration committee discretion for another five (5) years. Six months written notice of intention to renew is required. In terms of the memorandum of incorporation, one third of the directors shall retire from office, except for the executive directors who shall not be subject to retirement by rotation. The retiring directors, being eligible, can be re-elected at the annual general meeting (AGM) of the company.

Specific responsibilities have been delegated to the board committees, and they operate under written terms of reference approved by the board. Each committee's terms of reference are reviewed annually by the board. Board committees are free to take independent outside professional advice as and when deemed necessary.

The board is constituted as follows:

Non-executive directors:

Independent

CD Angus – appointed 18 May 2016

PA Christofides * – appointed 24 August 2016

K Mapasa – appointed 10 April 2019

**Lead independent non-executive director*

Non-executive directors:

T Scharrighuisen – appointed 12 May 1993 (Chairman)

Executive directors:

TR Hendry (CEO) – appointed 5 May 1997

Ms SJ Cox (FD) – appointed 1 April 2002

AF Litschka – appointed 1 January 2004

Chairman/CEO

The roles of the chairman and chief executive officer (CEO) are separate. The CEO of the group reports to the chairman.

Attendance at meetings of the board (three held)

	MEETINGS ATTENDED
CD Angus	2
PA Christofides	2
Ms SJ Cox	3
TR Hendry	3
AF Litschka	3
K Mapasa	2
T Scharrighuisen	2

Audit and risk committee

The audit and risk committee identifies and continuously evaluates exposure to significant risks, reviews the appropriateness and adequacy of the systems of internal financial and operational control, reviews accounting policies and financial information issued to the public, provides effective communication between directors, management and internal and external auditors, and considers and monitors the independence of the external auditors and the appropriate rotation of the lead audit partner and recommends to the board the appointment and dismissal of the external auditors. In addition, the scope of the duties of the audit and risk committee include the statutory duties as set out in section 94 of the Companies Act.

The audit and risk committee ensure that appropriate financial reporting procedures exist and are working, which include consideration of all entities included in the group International Financial Reporting Standards (IFRS) financial statements, to ensure that it has access to all the financial information of the issuer to allow the issuer to effectively prepare and report on the financial statements of the issuer.

The audit and risk committee consider, on an annual basis, and has satisfied itself as to the experience and expertise of the financial director and that the external auditors are independent in the discharge of their duties. The use of the services of the external auditors for non-audit services requires prior approval by the committee.

In assessing the suitability of the re-appointment of BDO South Africa Inc. (BDO) and the audit partner, Mrs G Bass, the

audit and risk committee assessed the information provided by BDO as required per paragraph 22.15(h) of the JSE Listings Requirements. The audit and risk committee recommended that BDO be re-appointed as the independent auditors with Mrs G Bass as the designated auditor. The annual audit fee was approved.

Committee members have unlimited access to all information, documents and explanations required in the discharge of their duties. This authority has been extended to the internal and external auditors. The activities of the committee are reviewed by the members via an annual self-assessment control exercise. Furthermore, the board is provided with regular reports on the activities of the committee.

The committee members are all independent non-executive directors. In addition to the committee members, the chairman of the board, the financial director and certain other group executives are normally invited to attend meetings of the committee as observers. The external auditors attend the meetings and have direct and unrestricted access to the audit and risk committee at all times.

The internal audit department currently reports directly to the audit and risk committee and is also responsible to the financial director on day-to-day matters. Significant reports are copied to the CEO and there is regular communication between the CEO and internal audit.

Key audit matters relating to the 2022 audit:

The report of the independent auditors, containing the following key audit matters, and the response to these matters by management in relation to the 2022 annual financial statements, were considered by the committee:

- Impairment of goodwill;
- valuation of land and buildings; and
- impairment of investment in subsidiaries.

Within the context of the audit of the financial statements of the group and company, the committee is satisfied that these items were suitably addressed.

The JSE Proactive Monitoring Panel correspondence dated 19 February 2021 and reissued in October 2021, was considered by the committee and confirmed that

appropriate action was taken to apply the findings, where applicable.

The audit and risk committee has reviewed the group financial statements and company financial statements for the year ended 31 March 2022 and recommended to the board that the financial statements be approved.

As at 31 March 2022, the audit and risk committee were constituted as follows:

CD Angus – appointed 18 May 2016 (Chairman)

PA Christofides – appointed 24 August 2016

K Mapasa – appointed 10 April 2019

Attendance at meetings of the audit and risk committee (three held)

	MEETINGS ATTENDED
CD Angus	3
Ms SJ Cox*	3
PA Christofides	3
TR Hendry*	3
K Mapasa	3

* Attended as observer



Clayton Angus CA(SA)

Audit and risk committee chairman

Umhlanga, Durban

28 June 2022

Remuneration committee

The committee reviews and approves the remuneration and terms of employment of executive directors and senior employees of the group. The committee reviews salary trends in the marketplace and recommends emolument structures and levels to the chairman for his consideration and approval.

Non-executive directors are paid on an annual retainer basis to account for responsibilities borne by them throughout the year. They are not paid an attendance fee per meeting. They also do not qualify for share options, nor do they participate in any pay incentive schemes, to preserve their independence.

The remuneration policy has been included in the annual general meeting notice for consideration by the shareholders as a non-binding advisory resolution.

The committee has monitored the implementation of the remuneration policy and believes that compliance with the policy is satisfactory regarding guaranteed cost-to-company pay and short-term incentives. No medium-term nor long-term incentives were issued to executive directors. Annual inflationary salary increases of 7% were approved. Details of the executive and non-executive director remuneration is disclosed in note 20 on page 57 of this annual report.

Both Argent's remuneration policy and its implementation report will be presented to shareholders for separate non-binding advisory votes thereon at the upcoming AGM to be held on 19 August 2022. In the event that 25% or more of shareholders vote against either the remuneration policy or the implementation report at the meeting, Argent will engage with shareholders through dialogue, requesting written submissions or otherwise, in order to address shareholder concerns with due regard to meeting Argent's stated business objectives, while being fair and responsible toward both employees and shareholders.

The remuneration committee is constituted as follows:

CD Angus – appointed 18 May 2016 (Chairman)

PA Christofides – appointed 24 August 2016

K Mapasa – appointed 10 April 2019

Attendance at meetings of the remuneration committee (one held)

	MEETINGS ATTENDED
CD Angus	1
Ms SJ Cox*	1
PA Christofides	1
TR Hendry*	1
K Mapasa	1

* Attended as observer

All committee members are independent non-executive directors.

Nomination committee

The committee reviews and approves the appointments of directors and terms of employment of executive directors and senior employees of the group.

The nomination committee is constituted as follows:

CD Angus – appointed 18 May 2016 and appointed as Chairman on 24 August 2016

PA Christofides – appointed 24 August 2016

K Mapasa – appointed 10 April 2019

Attendance at meetings of the nomination committee (one held)

	MEETINGS ATTENDED
CD Angus	1
PA Christofides	1
K Mapasa	1

Diversity

In terms of item 3.84(i) of the JSE Listings Requirements, "The board of directors or the nomination committee, as the case may be, must have a policy on the promotion of broader diversity at board level, specifically focusing on the promotion of the diversity attributes of gender, race, culture, age, field of knowledge, skills and experience. The issuer must confirm this by reporting to shareholders in its annual report on how the board of directors or the nomination committee, as the case may be, have considered and applied the policy of broad diversity in the nomination and appointment of directors. If applicable, the board of directors or the nomination committee must further report progress in respect thereof on agreed voluntary targets."

The board supports the principles and aims of the broad diversity policy at board level and has set a voluntary target of one director. The board currently has one female board member. The race target will be considered annually. Furthermore, all future nominations will be based on merit and in line with the broad diversity policy.

Social and ethics committee

The functions and responsibilities of the committee are to monitor the company's activities with regards to matters relating to:

- social and economic development;
- issues of good corporate citizenship, including promotion of equality, prevention of unfair discrimination, reduction of corruption and contribution to development of communities;
- the company's record in charitable donations and sponsorships;
- the environment, health and safety issues;
- consumer relationships and the company's compliance with consumer protection laws;

- labour and employment, including the company's observance of the International Labour Organization Protocols and contributions towards educational development of its employees; and
- drawing matters within its mandate to the attention of the board as the occasion requires.

The group continues to support a child and youth care centre in KwaZulu-Natal.

No environment, health and public safety issues were reported to the board.

Operating in a local environment without electricity, intermittent water supply, high crime, sanctioned mass looting and labour unrest and in certain cases, without equal opportunity, creates resilience to the negative environment and a passion to succeed regardless. We are extremely proud and grateful to our staff and management for carrying the group through this trying time. It has created an enormous amount of self-worth and built up a fantastic team and camaraderie.

The exercise to implement solar panels at various companies is now being revisited.

The social and ethics committee is constituted as follows:

TR Hendry – appointed 1 May 2012 (Chairman)

Ms SJ Cox – appointed 1 May 2012

CD Angus – appointed 16 May 2016

Best practice dictates that the majority of its members be independent non-executives but as the size of the company is small, it is not practical to employ non-executive directors just to meet the minimum requirements.

Attendance at meeting of the social and ethics committee (one held)

	MEETINGS ATTENDED
CD Angus	1
Ms SJ Cox	1
TR Hendry	1

Internal audit

The internal audit function is an independent appraisal function which examines and evaluates the group's activities and the appropriateness, adequacy, and efficiency of the systems of internal control and resultant business risks. In terms of the audit and risk committee charter, the head of internal audit has the responsibility of reporting to the audit and risk committee and has unrestricted access to its chairman.

The objective of the internal audit function is to assist members of executive management in the effective discharge of their responsibilities. Its scope includes reviews of the reliability and integrity of financial and operating information, the systems of internal control, the means of safeguarding assets, the efficient management of the group's resources, and the effective conduct of its operations. Audit plans are based on an assessment of risk areas and every assignment is followed by a detailed report to management including recommendations on aspects requiring

improvement. Significant findings are reported to the audit and risk committee. The internal audit work plan is presented in advance to the audit and risk committee.

In addition, internal audit provides pivotal input to the semi-annual risk assessment monitor in terms of which key group risks are identified and assessed and management plans are formulated to reduce exposure to these risks. This risk assessment monitor is tabled for consideration semi-annually before the audit and risk committee and the board.

Risk management

The board is responsible for the total process of risk management for the group and uses the risk assessment monitor as its main source of information to determine the effectiveness of the group's risk management process. The objective of risk management is to identify, assess, manage, and monitor the risks to which the business is exposed. These include credit granting risks, crime, the shift in spending patterns, and foreign currency and interest rate risks. Operational and financial risks are managed through detailed systems of operating and financial controls which are reviewed and monitored continuously.

Losses from defaulting debtors are limited by stringent credit application criteria and clearly defined credit and collection policies. These are reviewed regularly in light of prevailing economic conditions and bad debt statistics.

With assistance from expert insurance consultants, risks are assessed, and insurance cover purchased for all risks above predetermined self-insured limits. Levels of cover are reassessed annually in light of claims, experiences and changes within and outside the group.

The following key risk areas have been identified for monitoring:

- De-industrialisation of South Africa – the recent decline in manufacturing and capital spend are indicators that will result in declining revenue and profitability for the group. Only diversification away from the South African market will mitigate this risk.
- Political and labour instability – the growing risk of labour and political instability is forcing diversification to more geographically stable regions.
- Energy price and availability risk – the lack of stability of electrical supply is disruptive to economic and business recovery and the need to invest in power supply independent of the national grid over and above basic generators is critical.

Information technology governance

The board, together with the audit and risk committee, has oversight responsibility for information technology (IT) governance and risk management. It is satisfied that the policies and procedures in place address systems and network architecture, applications, disaster recovery and security management.

The strategy to move all accounting systems to cloud-based applications and hosted sites was completed for South African based companies. We will reassess the foreign companies in the foreseeable future.

Internal control

The board of directors of Argent is responsible for the group's systems of internal control. To fulfil its responsibilities, management maintains accounting records and continues to maintain appropriate systems of internal control.

The board reports that the group's internal controls and systems are designed to provide reasonable but not absolute assurance as to the integrity and reliability of the financial statements and to safeguard, verify and maintain accountability of its assets and to detect and minimise significant fraud, potential liability, loss and material misstatement while complying with applicable laws and regulations.

The board have satisfied themselves that these systems and procedures are implemented, maintained and monitored by appropriately trained personnel with suitable segregation of authority, duties and reporting lines and by comprehensive use of advanced computer hardware and software technologies. The effectiveness of the systems of internal control in operation is monitored continually through reviews and reports.

Assurance was obtained from the external auditors that adequate accounting records are being maintained. The board noted the summarised deficiencies identified by the external audits, their recommendation in this regard, managements' response thereto and the progress made. None of the internal control deficiencies identified were considered material. At one of the group companies, gaps in the sequence of manual journal entry testing were observed and management has committed to maintaining a sequential number register to correct the deficiency.

Going concern

The board have given due consideration to the impact of the COVID-19 pandemic and the July 2021 civil unrest in South Africa on the company and group's ability to continue as going concerns. The board believes neither will have a material impact on the business activities of the company and group due to the company and group achieving results which are aligned to those achieved in pre-lockdown and July 2021 periods. Subsequent to year-end and up to date of the assessment, there have been no significant changes in circumstances which suggests that the above reviews are no longer valid. Based on the above, no material uncertainties have been identified in relation to the ability of the company and group to remain as a going concern for at least the next 12 months. The board therefore believes that the company and group are in a sound financial position and that they will continue to operate as a going concern for the foreseeable future.

As such, the financial statements have been prepared on the going concern basis. This presumes the realisation of assets and settlement of liabilities, contingent liabilities and commitments will occur in the ordinary course of business.

Closed periods

The group operates a closed period between its interim and year-end reporting dates and at times cautionary notices are extant.

During these periods, directors, officers and other designated members of the group's management who may have access to price-sensitive information, are precluded from dealing in the company's shares.

All directors' and designated managers' share dealings require the prior approval of the designated director or CEO.

Company secretary and professional advice

All directors have access to the advice and services of the company secretary, who is responsible to the board for ensuring that board procedures are followed. All directors are entitled to seek independent professional advice about the affairs of the group at the group's expense.

In keeping with the JSE Listings Requirements, the board of directors has conducted an annual review of the company secretary and is satisfied with the competence, qualification and experience of the company secretary.

Directors' responsibilities and approval

The directors are required by the South African Companies Act No. 71 of 2008 (**the Companies Act**), to maintain adequate accounting records and are responsible for the content and integrity of the financial statements and related financial information included in this annual report. It is their responsibility to ensure that the financial statements fairly present the state of affairs of the group as at the end of the financial year and the results of its operations and cash flows for the period then ended, in conformity with International Financial Reporting Standards. The external auditors are engaged to express an independent opinion on the financial statements.

The directors acknowledge that they are ultimately responsible for the system of internal financial control established by the group and place considerable importance on maintaining a strong control environment. To enable the directors to meet these responsibilities, the board of directors sets standards for internal control aimed at reducing the risk of error or loss in a cost effective manner. The standards include the proper delegation of responsibilities within a clearly defined framework, effective accounting procedures and adequate segregation of duties to ensure an acceptable level of risk. These controls are monitored throughout the group and all employees are required to maintain the highest ethical standards in ensuring the group's business is conducted in a manner that, in all reasonable circumstances, is above reproach. The focus of risk management in the group is on identifying,

assessing, managing and monitoring all known forms of risk across the group. While operating risk cannot be fully eliminated, the group endeavours to minimise it by ensuring that appropriate infrastructure, controls, systems and ethical behaviour are applied and managed within predetermined procedures and constraints.

The directors are of the opinion, based on the information and explanations given by management, that the system of internal control provides reasonable assurance that the financial records may be relied on for the preparation of the annual financial statements. However, any system of internal financial control can provide only reasonable, and not absolute, assurance against material misstatement and loss.

The directors have reviewed the group's cash flow forecast for the year to 31 March 2023 and in light of this review and the current financial position, they are satisfied that the group has, or has access to, adequate resources to continue in operational existence for the foreseeable future.

The external auditors are responsible for independently reviewing and reporting on the group's financial statements. The financial statements have been examined by the group's external auditors and their report is presented on pages 24 to 27.

The financial statements set out on pages 28 to 80 and the director's report set out on pages 22 to 23, which have been prepared on the going concern basis, were approved by the board of directors on 28 June 2022 and were signed on its behalf by:



Teunis Scharrighuisen
Non-executive chairman

Umhlanga, Durban
28 June 2022



Treve Hendry CA(SA)
Chief executive officer

Umhlanga, Durban
28 June 2022

CERTIFICATE BY THE COMPANY SECRETARY

In my capacity as company secretary I hereby certify, in terms of section 88(2)(e) of the Companies Act, that for the year ended 31 March 2022, the company has lodged with the Companies and Intellectual Property Commission all such returns and notices as are required of a public company in terms of said Act. All such returns and notices, to the best of my knowledge and belief, appear to be true, correct and up to date.



Jaco Dauth
Company secretary
Umhlanga, Durban
28 June 2022

PREPARATION OF THE FINANCIAL STATEMENTS

The preparation of the financial statements in accordance with International Financial Reporting Standards for the year ended 31 March 2022, which appear on pages 28 to 80, has been supervised by the financial director of Argent Industrial Limited, Ms SJ Cox.



Ms Sue Cox CA(SA)
Financial director
Umhlanga, Durban
28 June 2022

STATEMENT BY THE CHIEF EXECUTIVE OFFICER AND FINANCIAL DIRECTOR

In compliance with paragraph 3.84(k) of the JSE Listings Requirements, the directors, whose names are stated below, hereby confirm that:

- the annual financial statements set out on pages 28 to 80 fairly present in all material respects the financial position, financial performance and cash flows of the issuer in terms of IFRS;
- no facts have been omitted or untrue statements made that would make the annual financial statements false or misleading;
- internal financial controls have been put in place to ensure that material information relating to the issuer and its consolidated subsidiaries have been provided to effectively prepare the financial statements of the issuer; and
- the internal financial controls are adequate and effective and can be relied upon in compiling the annual financial statements, having fulfilled our role and function within the combined assurance model pursuant to principle 15 of the King Code. Where we are not satisfied, we have disclosed to the audit and risk committee and the external auditors the deficiencies in the design and operational effectiveness of the internal financial controls and any fraud that involves directors, and have taken the necessary remedial action.



Treve Hendry CA(SA)
Chief executive officer
Umhlanga, Durban
28 June 2022



Ms Sue Cox CA(SA)
Financial director
Umhlanga, Durban
28 June 2022

CHIEF EXECUTIVE OFFICER'S REVIEW

Argent Industrial Limited is a South African group with both local and international manufacturing and commodity trading interests.

The group has interests in South Africa (SA), the United Kingdom (UK), and the United States of America (USA) and actively exports its products to over 35 countries around the world.

Results

The group exceeded its objectives for the 2022 financial year by investing in stable, developed international markets, by further growing its export markets, through efficiently sourcing commodities globally, recognising and rewarding entrepreneurial management in its operations, and through the repurchase of its own shares.

The consolidated earnings after taxation attributable to owners increased to R190.2 million, up significantly from R130.4 million in 2021. This is after accounting for a R0.973 million IFRS 16 expense and allowing for the amalgamation of Toolroom Services and Castor & Ladder, which resulted in a cost of R4.3 million in asset disposals, write-downs and retrenchments.

Headline earnings per share grew to 339.2 cents from 217.9 cents in 2021, calculated on the weighted average shares in issue over the financial year of 57.634 million shares.

American Shutters, a Cape Town based leading supplier of stylish door and window shutter systems in South Africa was purchased on 2 September 2021 for a cash consideration of R57.4 million. The rationale behind the transaction is to compliment the group's Xpanda Security product range and for the shutter company to benefit from Xpanda's extensive dealer network that would extend its presence throughout SA, Africa and the overseas dealer network, the impact of which is already being noticed.

The group also purchased the entire issued share capital of UK-based, Fluid Transfer Group Limited (Fluid Transfer) from Rockpool Investments Nominee Limited through Argent Industrial UK Limited, a wholly owned subsidiary of Argent. The rationale for the acquisition is the opportunity to exploit the synergies in products, customers, and technologies of the two respective businesses. Fuel Proof Limited are leaders in the field of fuel storage and supply systems. The Fluid Transfer Group on the other hand specialises in the design and building of mobile aircraft refuelling systems, whose customer base is predominately in the UK, North Africa and the Middle East. The cash consideration was GBP1, settled on 29 October 2021 and there are no outstanding conditions precedent to the sale. The effective date of the transaction was 1 November 2021.

In line with Argent's share repurchase strategy, an additional 3.3 million shares were cancelled during this period at a cost of R42.1 million, equating to an average purchase price of R12.74 per share.

Prospects

The group increased its turnover from the overseas operations to R603 million and export revenue to R277 million. The strategy is to increase overseas exposure, our focus in the coming years.

All efforts will be on the following; to get Fluid Transfer ready for the increased activity and refuelling requirements that come with the return to capacity of the aviation industry, establishing an Xpanda Security operation in the UK, which is currently serviced through exports from SA, expanding Partington Engineering's manufacturing capabilities in the UK, bedding down the Castor & Ladder and Toolroom amalgamation, expanding the American Shutters operations into KwaZulu-Natal and finding additional businesses to acquire that suit our model in the UK and USA.

During the year, the group sold the assets of Allan Maskew for R5.3 million, realising the net asset value of the business, and reorganised the Toolroom Services operation by removing uneconomical products and production lines and incorporating the balance into Castor & Ladder. Neither of these operations contributed to the groups bottom line and will not be missed.

All the assets required for Partington Engineering's business expansion have been brought into production except for the tube bender which is due to be delivered in July 2022. The targeted orderbook for Fluid Transfer to build 42 refuelling trucks for this year has already been achieved, while Xpanda Security has received the first of several orders for securing the sensitive products of a major UK retail chain.

The relocation of Castor & Ladder to its new location is complete and the operation is back to full production. The new American Shutters showroom in Umhlanga Rocks in KwaZulu-Natal has been completed and the poorly located showroom and operation in Johannesburg have been relocated to a busy centre in Fourways, both of which will significantly improve the visibility of the brand. American Shutters also has an existing export market in the UK which we look to expand via their aluminium security shutters.

The group now has a buyer for the Alan Maskew property which is currently tenanted to an Argent subsidiary and several external tenants. The sale value of the property is R17 million which will be finalised on receipt of the bank guarantees.

Return to shareholders

Argent has adopted a policy of returning 30% of its after-tax income to shareholders either via a dividend or via share buybacks. This amount will be made available every six months commencing from 1 October 2021. A final dividend of 42 cents per share has been approved and declared by the board of directors.



TR Hendry CA(SA)
Chief executive officer

Umhlanga, Durban
28 June 2022

DIRECTORS' REPORT

The directors of Argent Industrial Limited (**Argent or the company or the group**) have pleasure in submitting the financial statements of the company and group for the year ended 31 March 2022.

Nature of business

Argent carries on the business of a holding company. The group derives its income from the sale of manufactured products and the trading of steel and steel-related products.

Results of operations

Earnings attributable to ordinary shareholders in respect of the year ended 31 March 2022 was R190.2 million (2021 – R130.4 million) and represent earnings of 330.0 cents per share (2021 – 217.3 cents per share).

The earnings attributable to the various classes of business of the group are disclosed in note 27 to the financial statements.

Dividends

Details of dividends are reflected in note 24 to the financial statements. No interim ordinary dividend was declared. A final dividend of 42 cents per share has been approved and declared.

Share-based remuneration scheme

Full details of the company's share-based remuneration scheme are set out in note 26 to the financial statements.

Directors' emoluments

The emoluments of executive and non-executive directors are determined by the company's remuneration committee. Further information relating to the earnings of the directors is set out in note 20 to the financial statements.

Directors

There were no changes to the board of directors.

The names of the directors in office at the date of the report appear on page 7 of this annual report.

The following directors who retire by rotation in terms of the memorandum of incorporation, and being eligible for re-election, will be standing for re-election at the annual general meeting (AGM) of the shareholders of Argent: Mr CD Angus, Mr PA Christofides and Mr K Mapasa.

Secretary and registered office

The address of the secretary and the registered office of the company is recorded on page 6.

Directors' shareholdings

The directors have a direct or indirect interest in 6 621 797 (2021 – 12 350 876) of the issued ordinary shares of the company. Further information relating to the directors' shareholding is set out on page 81 of this report. No material changes have arisen since year-end.

Authorised and issued stated capital

Details of the authorised, issued, and unissued shares are set out in note 13 to the financial statements.

Subsidiaries

Details of major subsidiaries appear on page 80 of this report. The aggregate net profit of the subsidiaries attributable to shareholders of the company is as follows:

	2022	2021
Net profit (R 000)	190 208	130 362

Acquisitions

On 2 September 2021, the group acquired American Shutters Proprietary Limited (American Shutters) for R57.4 million. They are a major supplier of custom-made adjustable louvre-shutters.

On 28 October 2021, the group acquired Fluid Transfer Group Limited (Fluid Transfer) through Argent Industrial UK Limited, a 100% held subsidiary of Argent, for an amount of GBP1. The effective date of the transaction was 1 November 2021. Fluid Transfer is the leading UK manufacturer of aviation refuelling vehicles and systems. The company has a global customer base and has been trading since 1967.

Risk management and insurance

It is the group's belief that its risk should be managed to protect its assets and earnings against unacceptable financial loss and to safeguard against legal liabilities. Possible catastrophic risks are insured at minimum cost with satisfactory cover. Non-catastrophic risks are self-insured. Property, plant, and equipment are insured at current replacement values.

Going concern

The financial statements have been prepared on the going concern basis since the directors have every reason to believe that the company and group have adequate resources in place to continue to operate for the foreseeable future. There has been no material impact from the COVID-19 pandemic nor the July 2021 civil unrest in South Africa.

Events after the reporting period

No material facts or circumstances have occurred between the accounting date and the date of this report.

Resolutions

No special resolutions, the nature of which might be significant to shareholders in their appreciation of the state of affairs of the group, were passed by the company's subsidiaries during the period covered by this annual report.

Share buyback programme

Annually, the directors seek, and obtain, the approval of the shareholders in the AGM to repurchase Argent shares.

This authority, valid until the following year's AGM and subject to the Listings Requirements of the JSE Limited, allows the Argent group to repurchase its own shares up to a maximum of 20% of the issued shares, at a price not greater than 10% above the preceding five-day weighted average. Shareholders will be asked to renew this authority at the company's AGM in August 2022.

During the year, Argent repurchased 3 311 467 shares at an average share price of R12.74 per share, costing a total of R42 186 187.



Teunis Scharrighuisen
Non-executive chairman

Umhlanga
Durban

28 June 2022



Treve Hendry CA(SA)
Chief executive officer

Umhlanga
Durban

28 June 2022

INDEPENDENT AUDITOR'S REPORT

TO THE SHAREHOLDERS OF ARGENT INDUSTRIAL LIMITED

Report on the audit of the consolidated and separate financial statements

Opinion

We have audited the consolidated and separate financial statements of Argent Industrial Limited (the group and company) set out on pages 28 to 81, which comprise the group and company statements of financial position as at 31 March 2022, and the group and company statements of profit or loss and other comprehensive income, group and company statements of changes in equity and the group and company statements of cash flows for the year then ended, and notes to the group and company financial statements, including a summary of significant accounting policies.

In our opinion, the consolidated and separate financial statements present fairly, in all material respects, the consolidated and separate financial position of Argent Industrial Limited as at 31 March 2022, and its consolidated and separate financial performance and consolidated and separate cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Companies Act of South Africa.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's

Responsibilities for the *Audit of Consolidated and Separate Financial Statements* section of our report. We are independent of the group and company in accordance with the Independent Regulatory Board of Auditors' Code of *Professional Conduct for Registered Auditors* (IRBA Code) and other independence requirements applicable to performing audits of financial statements in South Africa. We have fulfilled our other ethical responsibilities in accordance with the IRBA Code and in accordance with other ethical requirements applicable to performing audits in South Africa. The IRBA Code is consistent with the corresponding sections of the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants* (including *International Independence Standards*). We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

KEY AUDIT MATTER	HOW OUR AUDIT ADDRESSED THE KEY AUDIT MATTER
Impairment assessment relating to goodwill (Consolidated financial statements) Goodwill arose from business combinations made by the Group. Refer to note 4 in the consolidated financial statements. As required by International Accounting Standards (IAS 36) – Impairment of Assets, management performs an annual impairment test on the recoverability of goodwill which is subjective in nature due to judgements and estimation uncertainty having to be made of future performance. Management uses a discounted cash flow model to determine the value-in-use for each appropriate cash generating unit. There are judgements and estimates made in determining the inputs into these models, including: • Revenue growth rate (including market share and volume growth); • Expected changes to selling prices and direct costs during the period; • Discount rate applied to the projected cash flows; and • Budgeted results. The revenue growth rate used involved judgement and the current economic climate increased the complexity of forecasting. Scrutiny is thus placed on forecast assumptions and discount rates. Accordingly, as a result of the significance of the balance and the abovementioned management estimates and judgements, the impairment assessment relating to goodwill is considered to be a matter of most significance to the audit of the consolidated financial statements.	In evaluating the impairment assessment relating to goodwill, we assessed the calculations prepared by management, with particular focus on the growth rate and discount rate. We performed various procedures, including the following: • We assessed management's value-in-use calculation against the requirements of IAS 36; • We assessed the design and implementation of key controls over the impairment process and calculation; • We assessed the objectivity, competence and capabilities of management's in-house valuation expert with reference to their qualifications and professional experience in the industry; • We evaluated the determination of the cash-generating units with reference to the requirements of the accounting standard; • We tested the mathematical accuracy of the value-in-use calculations for each cash-generating unit and the key assumptions applied in the model; • We evaluated the reasonableness of the revenue and costs forecasts against current year actuals and approved budgets, taking into account our understanding of the business and the current market conditions; • We made use of our internal valuations expertise to assess the appropriateness of management's calculations, the variable inputs used, and the reasonability of assumptions and valuation techniques. We made reference to board approved budgets, historical performance and external market data; and • We evaluated the adequacy of the disclosure about these assumptions to which the outcome of the annual impairment test is most sensitive, that is, those that have the most significant determinations of the recoverable amount of goodwill to assess compliance with the requirements of IAS 36.

KEY AUDIT MATTER	HOW OUR AUDIT ADDRESSED THE KEY AUDIT MATTER
Valuation of land and buildings (Consolidated financial statements) Management performs an annual valuation of the property portfolio per the revaluation model of International Accounting Standards (IAS 16) – Property, Plant and Equipment. Refer to note 3 in the consolidated financial statements. Management uses a net income capitalisation method of valuation to value the land and buildings. This method determines the net normalised annual income of the property, assuming the property is let at market-related rentals and market-related escalations. The following key assumptions are used: • Rentals and property expenses are adjusted to agree with those achieved by similar properties in similar areas; and • The capitalisation rate is determined with reference to the market. Accordingly, as a result of the significance of the balance and the abovementioned management estimates and judgements, the valuation of land and buildings is considered to be a matter of most significance to the audit of the consolidated financial statements.	We focused our testing on the key assumptions made by management and our procedures included amongst others: • We assessed the design and implementation of the key controls in the valuation process and calculation including the assessment of the objectivity, competence and capabilities of management's in-house valuation expert with reference to their qualifications and professional experience; • We identified the key assumptions in the method used with reference to property valuation methodologies; • We tested the mathematical accuracy of management's calculations; • We performed an estimated calculation in order to test management's assessment using the latest independent published sources; • We agreed square meters of lettable area and extents to underlying external information; and • We assessed the adequacy of the disclosure in the financial statements, including disclosure of significant inputs against the requirements of IFRS.
Impairment assessment relating to investments in subsidiaries (Separate annual financial statements) We consider the impairment assessment relating to investments in subsidiaries to be a matter of most significance to the audit of the separate financial statements for the following two reasons: • Investments in subsidiaries represent the largest asset category on the separate statement of financial position. • An impairment of these investments resulting from impairment indicators identified could have a significant impact on the equity reserve of the company. Management uses either a net asset value or discounted cash flow model to determine the value-in-use for each subsidiary. There are judgements made in determining the inputs into the recoverable amount, including: • Revenue growth rate (including market share and volume growth); • Expected changes to selling prices and direct costs during the period; • Discount rate applied to the projected cash flows; and • Budgeted results. The revenue growth rate used involved judgement and the current economic climate increased the complexity of forecasting. Scrutiny is thus placed on forecast assumptions and discount rates. Refer to the notes to the separate financial statements and, specifically, to the information regarding recognition, the impairment assessment and the disclosure in note 8.	Investments in subsidiaries were evaluated for indicators of impairment through enquiry and inspection of external and internal sources of information. In respect of subsidiaries with indicators of impairments, we inspected the impairment assessment calculations prepared by management, with particular focus on the growth rate and discount rate. We performed various procedures, including the following: • We assessed management's value-in-use impairment assessments against the requirements of IAS 36; • We assessed the design and implementation of key controls over the impairment process and calculation including the assessment of the objectivity, competence and capabilities of management's in-house valuation expert with reference to their qualifications and professional experience in the industry; • We tested the mathematical accuracy of the value-in-use calculation of the relevant subsidiaries and the key assumptions in the model; • We evaluated the reasonableness of the revenue and costs forecasts against current year actuals and approved budgets, taking into account our understanding of the business and the current market conditions; • We made use of our internal valuations expertise to assess the appropriateness of management's calculations, the variable inputs used, and the reasonability of assumptions and valuation techniques. We made reference to board approved budgets, historical performance and external market data; and • We evaluated the adequacy of the disclosure about these assumptions to which the outcome of the impairment test is most sensitive, that is, those that have the most significant determinations of the recoverable amount to assess compliance with the requirements of IAS 36.

Other information

The directors are responsible for the other information. The other information comprises the information included in the document titled "Argent Industrial Limited Annual Report for the year ended 31 March 2022", which includes the Directors' Report, the Audit and Risk Committee's Report and the Certificate by the Company Secretary as required by the Companies Act of South Africa. The other information does not include the consolidated and separate financial statements and our auditor's report thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not and will not express an audit opinion or any form of assurance conclusion thereon.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed on the other information obtained prior to the date of this auditor's report, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the directors for the consolidated and separate financial statements

The directors are responsible for the preparation and fair presentation of the consolidated and separate financial statements in accordance with International Financial Reporting Standards and the requirements of the Companies Act of South Africa, and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the group's and the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the group and/or the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the consolidated and separate financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the group's and the company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the group's and the company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the

audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the group and/or the company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

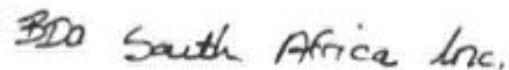
From the matters communicated with the directors, we determine those matters that were of most significance in the

audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

In terms of the IRBA Rule published in Government Gazette Number 39475 dated 4 December 2015, we report that BDO South Africa Incorporated has been the auditor of Argent Industrial Limited for 14 years.

BDO South Africa Incorporated
Registered Auditors



Gillian Bass
Director
Registered Auditor

28 June 2022

5A Rydall Vale Office Park
38 Douglas Saunders Drive
La Lucia, 4051

GROUP AND COMPANY STATEMENTS OF FINANCIAL POSITION

AS AT 31 MARCH 2022

		GROUP		COMPANY	
	Note	2022 R 000	2021 R 000	2022 R 000	2021 R 000
ASSETS					
Property, plant and equipment	3	456 745	452 494	-	-
Intangible assets	4	2 896	3 259	-	-
Goodwill	4	248 459	198 330	-	-
Right-of-use assets	5	54 719	76 535	-	-
Long-term receivables	6	5 523	9 610	497	-
Employee share incentive scheme loan	7	-	-	6 792	14 716
Deferred taxation	17	2 881	2 235	-	-
Interest in subsidiaries	8	-	-	370 794	354 976
Non-current assets		771 223	742 463	378 083	369 692
Inventories	10	529 579	344 261	-	-
Trade and other receivables	11	477 647	350 543	10 671	7 484
Current portion of long-term receivables	6	762	2 499	762	-
Loans to subsidiaries	8	-	-	275 042	192 924
Bank balance and cash	25.3	183 468	246 234	35 088	51 306
Current assets		1 191 456	943 537	321 563	251 714
Non-current assets held for sale	12	17 000	-	-	-
TOTAL ASSETS		1 979 679	1 686 000	699 646	621 406
EQUITY AND LIABILITIES					
Capital and reserves					
Stated capital and treasury shares	13	241 316	277 997	317 845	360 031
Reserves	14	(2 693)	5 846	-	-
Retained earnings		1 023 587	832 196	375 136	257 500
Attributable to owners of the parent		1 262 210	1 116 039	692 981	617 531
Non-controlling interest	9	15 187	17 369	-	-
Total shareholders' funds		1 277 397	1 133 408	692 981	617 531
Interest-bearing borrowings	15	83 779	72 494	-	-
Lease liabilities	5	40 708	62 345	-	-
Other liabilities	16	-	13 893	-	-
Deferred taxation	17	56 610	48 481	-	-
Non-current liabilities		181 097	197 213	-	-
Trade and other payables	18	432 518	279 433	6 478	3 875
Bank overdraft	25.3	15 245	-	-	-
Current portion of interest-bearing borrowings	15	33 879	28 075	-	-
Current portion of lease liabilities	5	25 356	28 098	-	-
Taxation		14 187	19 773	187	-
Current liabilities		521 185	355 379	6 665	3 875
TOTAL EQUITY AND LIABILITIES		1 979 679	1 686 000	699 646	621 406

GROUP AND COMPANY STATEMENTS OF PROFIT OR LOSS

FOR THE YEAR ENDED 31 MARCH 2022

	Note	GROUP		COMPANY	
		2022 R 000	2021 R 000	2022 R 000	2021 R 000
Revenue	19	2 432 702	1 965 960	158 629	23 908
Cost of sales		(1 820 366)	(1 470 213)	-	-
Gross profit		612 336	495 747	158 629	23 908
Other operating income		872	878	5 000	11 256
Other operating expense		(348 949)	(307 091)	(45 823)	(1 483)
Operating profit before finance income and expense	20	264 259	189 534	117 806	33 681
Finance income	21	3 353	3 218	17	55
Finance expense	21	(15 003)	(16 918)	-	-
Profit before taxation		252 609	175 834	117 823	33 736
Taxation	22	(60 533)	(43 779)	(187)	-
Profit for the year		192 076	132 055	117 636	33 736
Attributable to owners of the					
- Parent		190 208	130 362	117 636	33 736
- Non-controlling interest		1 868	1 693	-	-
		192 076	132 055	117 636	33 736
Basic earnings per share (cents)	23.1	330.0	217.3		
Diluted earnings per share (cents)	23.2	325.3	216.0		

GROUP AND COMPANY STATEMENTS OF OTHER COMPREHENSIVE INCOME

FOR THE YEAR ENDED 31 MARCH 2022

	GROUP		COMPANY	
	2022 R 000	2021 R 000	2022 R 000	2021 R 000
Profit for the year	192 076	132 055	117 636	33 736
Other comprehensive income for the year				
Items that may be reclassified subsequently to profit and loss				
Exchange differences on translating foreign operations	(9 473)	(22 315)	-	-
Items that will not be reclassified subsequently to profit and loss				
Revaluation of land and buildings	2 188	-	-	-
Tax effect of above transactions	(591)	-	-	-
Transfer of reserve to retained earnings	(1 183)	-	-	-
Total other comprehensive income for the year	183 017	109 740	117 636	33 736
Attributable to owners of the				
- Parent	181 149	108 047	117 636	33 736
- Non-controlling interest	1 868	1 693	-	-
	183 017	109 740	117 636	33 736

GROUP AND COMPANY STATEMENTS OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 MARCH 2022

	GROUP						
	Stated capital R 000	Treasury shares R 000	Employee share incentive reserve R 000	Revaluation reserve R 000	Foreign currency translation reserve R 000	Retained earnings R 000	Total attributable to owners of the parent R 000
						Non- controlling interest R 000	Total shareholders' funds R 000
Balance at 31 March 2020	386 021	(88 191)	973	8 068	18 600	701 834	1 027 305
Share-based payments	-	6 157	520	-	-	-	6 677
Share buyback	(25 990)	-	-	-	-	-	(25 990)
Profit for the year	-	-	-	-	(22 315)	130 362	108 047
Non-controlling interest – dividend	-	-	-	-	-	1 693	(4 500)
Balance at 31 March 2021	360 031	(82 034)	1 493	8 068	(3 715)	832 196	1 116 039
Share-based payments	-	5 505	520	-	-	-	6 025
Share buyback	(42 186)	-	-	-	-	-	(42 186)
Other comprehensive income	-	-	(1 183)	1 597	-	1 183	1 597
Profit for the year	-	-	-	-	(9 473)	190 208	180 735
Non-controlling interest – dividend	-	-	-	-	-	1 868	(4 050)
Balance at 31 March 2022	317 845	(76 529)	830	9 665	(13 188)	1 023 587	1 262 210
Note	13	13	14	14	14	15 187	1 277 397

	COMPANY		
	Stated capital R 000	Retained earnings R 000	Total R 000
	Note		
Balance at 31 March 2020			
Share buyback	386 021	223 764	609 785
Profit for the year	(25 990)	-	(25 990)
Balance at 31 March 2021	13	360 031	617 531
Share buyback	(42 186)	-	(42 186)
Profit for the year	-	117 636	117 636
Balance at 31 March 2022	13	317 845	692 981

GROUP AND COMPANY STATEMENTS OF CASH FLOWS

FOR THE YEAR ENDED 31 MARCH 2022

		GROUP		COMPANY	
	Note	2022 R 000	2021 R 000	2022 R 000	2021 R 000
CASH FLOWS FROM OPERATING ACTIVITIES					
Cash generated from operations	25.1	181 973	307 047	2 675	19 474
Finance income	21	3 353	3 218	17	55
Finance expense	21	(15 003)	(16 918)	-	-
Normal taxation paid	25.2	(57 335)	(35 738)	-	-
Net cash inflow from operating activities		112 988	257 609	2 692	19 529
CASH FLOWS FROM INVESTING ACTIVITIES					
Purchase of property, plant and equipment	3	(56 142)	(31 777)	-	-
Proceeds on disposal of property, plant and equipment		4 846	13 372	-	-
Acquisition of subsidiaries net of cash acquired	25.8	(48 697)	(40 265)	(57 481)	-
Employee share incentive scheme	7	-	-	2 205	6 158
Share-based payments	7	5 505	6 157	-	-
Long-term receivables repaid	25.7	1 774	2 623	-	-
Long-term receivables advanced	25.7	-	-	(1 259)	-
Net cash (outflow)/inflow from investing activities		(92 714)	(49 890)	(56 535)	6 158
CASH FLOWS FROM FINANCING ACTIVITIES					
Share buyback		(42 186)	(25 990)	(42 186)	(25 990)
Repayment of lease liabilities	25.5	(21 521)	(19 371)	-	-
Repayment other liabilities	25.6	(13 893)	(33 745)	-	-
Advances to subsidiaries		-	-	-	39 154
Proceeds on loans to/from subsidiaries		-	-	142 492	-
Repayments on loans to/from subsidiaries		-	-	(62 681)	-
Proceeds from interest-bearing borrowings	25.4	12 470	24 746	-	-
Repayment of interest-bearing borrowings	25.4	(25 057)	(51 440)	-	-
Net cash (outflow)/inflow from financing activities		(90 187)	(105 800)	37 625	13 164
NET (DECREASE)/INCREASE IN CASH AND CASH EQUIVALENTS					
		(69 913)	101 919	(16 218)	38 851
Cash and cash equivalents at beginning of year		246 234	158 570	51 306	12 455
Exchange differences on cash and cash equivalents		(8 098)	(14 255)	-	-
Cash and cash equivalents at end of year	25.3	168 223	246 234	35 088	51 306

NOTES TO THE GROUP AND COMPANY FINANCIAL STATEMENTS

1. Accounting policies

1.1 Basis of preparation

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS), the South African Companies Act, No. 71 of 2008, the Financial Reporting Pronouncements as issued by the Financial Reporting Standards Council and the Listings Requirements of the JSE Limited.

The group financial statements are prepared on the historical cost basis except for land and buildings which are measured under the revaluation model and certain financial instruments, which are carried at fair value through profit or loss as appropriate and incorporate the following principal accounting policies, which have been consistently applied in all material respects.

The financial statements have been prepared on the going concern basis, which assumes that the group will continue in operation for the foreseeable future.

The following amendment was adopted:

Those not having an effect on the financial statements are as follows:

- IBOR Reform and its Effects on Financial Reporting – Phase 2: In August 2020, the International Accounting Standards Board (IASB) issued amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16. These amendments complement those made in 2019 (IBOR – phase 1) and focus on the effects on entities when an existing interest rate benchmark is replaced with a new benchmark rate as a result of the reform. The amendment did not have a significant impact on the group and company's borrowing facilities as disclosed in note 15.

All amounts in the financial statements, reports and supporting schedules are stated to the nearest R 000, except where otherwise indicated.

1.2 Significant estimates and judgements

The preparation of financial statements in conformity with IFRS requires management to make judgements, estimates and assumptions that affect the application of policies and reported amounts of assets and liabilities, income and expenses. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgements about carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates made by management from time to time.

The areas identified and disclosed are specific to the financial statements of Argent Industrial Limited.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

Significant estimates are made in the following areas:

- Property, plant and equipment – Revaluation of land and buildings – note 3.
- Discount rate in the impairment of goodwill – note 4.

Significant judgements are made in the following area:

- Investment in subsidiaries/control assessment – note 8.

1.3 Basis of consolidation

The group financial statements consolidate those of the parent company and all subsidiaries under its control. The parent controls a subsidiary if it is exposed, or has rights, to variable returns from its involvement with the subsidiary and has the ability to affect those returns through its power over the subsidiary.

Subsidiaries are fully consolidated from the date on which control is transferred to the group. They are deconsolidated from the date that control ceases.

The acquisition method of accounting is used to account for the acquisition of subsidiaries by the group. Identifiable assets, liabilities and contingent liabilities acquired or assumed are initially measured at their respective fair values at acquisition date.

1.4 Property, plant and equipment

Property, plant and equipment are originally recognised at acquisition cost or manufacturing cost, including any costs directly attributable to bringing the assets to the location and condition necessary for them to be capable of operating in the manner intended by the group's management. Property, plant and equipment, except for land and buildings, are subsequently measured at cost less accumulated depreciation and accumulated impairment losses.

An item of property, plant and equipment is recognised as an asset when it is probable that future economic benefits associated with the item will flow to the group and company, and the cost of the item can be measured reliably.

If a replacement cost is recognised in the carrying amount of an item of property, plant and equipment, the carrying amount of the replacement part is derecognised.

Depreciation is calculated on a straight-line basis at rates considered appropriate to reduce carrying amounts over the useful life of the assets to estimated residual values. The depreciation method, useful life and residual value, if significant, are reassessed annually.

The useful lives of the classes of plant, machinery and equipment reflect current estimated life over which the group has the ability and intention to use such assets.

The current estimated useful life is as follows:

Item	Average useful life
Buildings	50 years
Land	Indefinite
Plant and equipment	15 years
Motor vehicles	10 years
Furniture, fittings and equipment	3 to 10 years

Land and buildings are carried at revalued amounts, being the fair values at the date of revaluation less any subsequent accumulated depreciation (on buildings) and subsequent accumulated impairment losses. Revaluations are made with sufficient regularity such that the carrying amount does not differ materially from that which would be determined using fair value at the statement of financial position date. Any increase in an asset's carrying amount, as a result of revaluation, is credited to other comprehensive income. The increase is recognised in profit or loss to the extent that it reverses a revaluation decrease of the same asset previously recognised in profit or loss.

When an item of property, plant and equipment is revalued, any accumulated depreciation at the date of the revaluation is eliminated against the gross carrying amount of the asset and the net amount restated to the revalued amount of the asset.

The depreciation charge for each period is recognised in profit or loss unless it is included in the carrying amount of another asset. As no finite useful life for land can be determined, related carrying amounts are not depreciated. The gain or loss arising from the derecognition of an item of property, plant and equipment is included in profit or loss when the item is derecognised. The gain or loss arising from the derecognition of an item of property, plant and equipment is determined as the difference between the net disposal proceeds, if any, and the carrying amount of an item.

1.5 Intangible assets

Intangible assets, other than goodwill, are stated at cost less accumulated amortisation and impairment. Intangible assets with finite useful lives are amortised on a straight-line basis over their estimated useful lives. The amortisation methods and estimated remaining useful lives are reviewed at least annually.

The current estimated useful life is 15 years.

Expenditure on purchased patents is capitalised. Expenditure to extend the term of the patent is capitalised. All other expenditure is charged to the statement of profit or loss when incurred.

Internally generated brands, mastheads, publishing titles, customer lists and items similar in substance are not recognised as intangible assets.

1.6 Goodwill

Goodwill is initially measured at cost, being the excess of the cost of a business combination over the company's interest of the net fair value of the identifiable assets, liabilities and contingent liabilities.

Subsequently, goodwill is measured at cost less any accumulated impairment losses. Goodwill is allocated to cash-generating units and is tested annually for impairment and whenever there is an indication of impairment.

1.7 Investments in subsidiaries

The cost of an investment in a subsidiary is the aggregate of:

- the fair value, at the date of exchange, of assets given, liabilities incurred or assumed, and equity instruments issued by the group; and
- any costs directly attributable to the purchase of the subsidiary.

Long-term loans to subsidiaries are capitalised to the cost of the investment when there is no obligation to pay the loans.

All transactions and balances between group companies are eliminated on consolidation, including unrealised gains and losses on transactions between group companies. Where unrealised losses on intra-group asset sales are reversed on consolidation, the underlying asset is also tested for impairment from a group perspective. Amounts reported in the financial statements of subsidiaries have been adjusted where necessary to ensure consistency with the accounting policies adopted by the group.

Profit or loss and other comprehensive income of subsidiaries acquired or disposed of during the year are recognised from the effective date of acquisition, or up to the effective date of disposal, as applicable.

1.8 Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined using the weighted average cost method.

Raw materials are valued inclusive of freight, shipping and handling costs.

Work in progress and finished goods are valued at raw material cost plus direct labour and a proportion of manufacturing overhead expenses based on normal capacity.

The amount of any write-down of inventories to net realisable value and all losses of inventories are recognised as an expense in the period the write-down or loss occurs.

1.9 Provisions

Provisions are recognised when the group has a present obligation, as a result of a past event, for which it is probable that an outflow of economic benefits will be required to settle the obligation, and a reliable estimate can be made for the amount of the obligation.

Provisions are reviewed at each reporting date and adjusted to reflect the best estimate of the consideration required to settle the present obligation, taking into account the risks and uncertainties surrounding the obligation. Where the effect of discounting is material, provisions are measured at their present value using a pre-tax discount rate that reflects the current market assessment of the time value of money and the risks for which future cash flow estimates have not been adjusted.

When some, or all, of the economic benefits required to settle a provision are expected to be recovered from a third party, a receivable is recognised as an asset if it is virtually certain that reimbursement will be received and the amount of the receivable can be measured reliably.

1.10 Financial instruments

Initial recognition

The company classifies financial instruments, or their component parts, on initial recognition as a financial asset, a financial liability or an equity instrument in accordance with the substance of the contractual arrangement.

All financial assets are classified at amortised cost except for derivatives and the BEE loan which are classified at fair value through profit and loss (FVTPL).

All income and expenses relating to financial assets that are recognised in profit or loss are presented within finance costs, finance income or other financial items, except for impairment of trade receivables which is presented in operating expenses.

All financial liabilities are classified at amortised cost.

Loans to/(from) group companies

These include loans to subsidiaries and are recognised initially at fair value plus direct transaction costs.

Subsequently these loans are measured at amortised cost using the effective interest rate method, less expected credit losses.

The group identifies a significant increase in credit risk when a default event such as a liquidation or deregistration has occurred.

Loans to subsidiaries are repayable on demand, as subsidiaries have access to highly liquid assets.

Although unlikely, if the loan cannot be repaid at the reporting date, an overtime repayment strategy will be implemented.

BEE minority shareholder loan

The BEE minority shareholder loan is initially recognised at fair value.

Subsequently, it is classified as a loan at fair value through profit or loss as there is no contractual cash flow.

Employee share incentive scheme loan

The employee share incentive scheme loan is initially recognised at fair value.

Subsequently, it is classified as a loan at fair value through profit or loss as there is no contractual cash flow.

Trade and other receivables

Trade receivables are measured at initial recognition at fair value plus direct transaction costs, and are subsequently measured at amortised cost using the effective interest rate method. Appropriate allowances for expected credit losses are recognised in profit or loss when there is a specifically impaired trade receivable. Significant financial difficulties of the debtor, probability that the debtor will enter bankruptcy or financial reorganisation, and default or delinquency in payments (more than 90 days overdue) are considered indicators that the trade receivable is impaired.

In measuring the expected credit losses, the trade receivables have been assessed on a collective basis as they possess shared credit risk characteristics. They have been grouped based on the days past due.

The carrying amount of the asset is reduced through the use of an allowance account, and the amount of the loss is recognised in the statement of profit or loss within operating expenses. When a trade receivable is uncollectible, having been handed over for debt collection, it is written off against the allowance account for trade receivables. Subsequent recoveries of amounts previously written off are credited against operating expenses in the statement of profit or loss.

Trade and other payables

Trade payables are initially measured at fair value less direct transaction costs, and are subsequently measured at amortised cost, using the effective interest rate method.

Cash and cash equivalents

Cash and cash equivalents are initially measured at fair value plus direct transaction costs, and are subsequently measured at amortised cost, using the effective interest rate method.

Bank overdraft and borrowings

Bank overdrafts and borrowings are initially measured at fair value less direct transaction costs, and are subsequently measured at amortised cost, using the effective interest rate method. Any difference between the proceeds (net of transaction costs) and the settlement or redemption of borrowings is recognised over the term of the borrowings.

Other financial liabilities are measured initially at fair value less direct transaction costs, and subsequently at amortised cost, using the effective interest rate method.

Other loans and receivables

Other financial assets are initially recognised at fair value plus transaction costs, and are subsequently carried at amortised cost less expected credit losses.

The loss allowance for a financial instrument is measured at an amount equal to the lifetime expected credit losses if the credit risk on that financial instrument has increased significantly since initial recognition. If the credit risk of a financial instrument has not increased significantly since initial recognition, the loss allowance is measured at an amount equal to 12-month expected credit losses.

The group considers whether there has been a significant increase in the risk of a default occurring since initial recognition rather than at evidence of a loan being credit impaired at the reporting date or of an actual default occurring.

A loan is considered to be in default when there is evidence that the borrower is in significant financial difficulty such that it will have insufficient funds to repay the loan. This is assessed based on a number of factors including various solvency and liquidity ratios.

A loan is considered to be credit impaired if it meets the definition of a defaulted loan.

Impairment of financial assets

IFRS 9 impairment requirements use forward-looking information to recognise expected credit losses – the ‘expected credit loss’ (ECL) model. Instruments within the scope of the requirements include loans, trade and other receivables and bank and cash.

The group considers a broader range of information when assessing credit risk and measuring expected credit loss, including past events, current conditions, reasonable and supportable forecasts that affect collectability of the future cash flows of the instrument.

In applying this forward-looking approach, a distinction is made between:

- financial instruments that have not deteriorated significantly in credit quality since initial recognition or that have low credit risk (Stage 1); and
- financial instruments that have deteriorated significantly in credit quality since initial recognition and whose credit risk is now high (Stage 2).

Stage 3 would cover financial assets that have objective evidence of impairment at the reporting date.

‘12-month expected credit losses’ are recognised for the first category while ‘lifetime expected credit losses’ are recognised for the second category.

Measurement of the expected credit losses is determined by a probability-weighted estimate of credit losses over the expected life of the financial instrument.

The group makes use of a provision matrix as a practical expedient to the determination of expected credit losses on trade receivables. The provision matrix is based on historical credit loss experience, adjusted for factors that are specific to the debtors, general economic conditions and an assessment of both the current and the forecast direction of conditions at the reporting date, including the time value of money, where appropriate.

Derivatives

Derivative financial instruments, which are not designated as hedging instruments, consisting of foreign exchange contracts are initially measured at fair value on the contract date, and are re-measured to fair value at subsequent reporting dates.

Changes in the fair value of derivative financial instruments are recognised in profit or loss as they arise.

Offsetting

Financial assets and liabilities are off-set and the net amount presented in the statement of financial position when the group has a legal right to set off the amounts and intends to settle on a net basis or to realise the asset and settle the liability simultaneously. Income and expenses are presented on a net basis only when permitted by the accounting standards, or for gains and losses arising from a group of similar transactions.

Derecognition of financial instruments

Financial assets are derecognised when the contractual rights to the cash flows from the financial assets expire, or when the financial asset and all substantial risks and rewards are transferred.

A financial liability is derecognised when it is extinguished, discharged, cancelled or expires.

1.11 Revenue

Revenue arises primarily from the sale of manufactured products and trading of steel and steel-related products.

To determine whether to recognise revenue, the group follows a 5-step process:

1. Identifying the contract with a customer;
2. Identifying the performance obligations;
3. Determining the transaction price;
4. Allocating the transaction price to the performance obligations; and
5. Recognising revenue when/as performance obligations are satisfied.

Revenue is recognised at a point in time, when the group satisfies performance obligations by transferring the promised goods or services to its customers.

The majority of the group's revenue is derived from the sale of goods with revenue recognised at a point in time when control over goods has transferred to the customer. This is generally when the steel and steel-related products are delivered to the customer. However, for export sales, control might also be transferred when delivered to the port of departure or port of arrival, depending on the specific terms of contract with a customer. There is limited judgement needed in identifying when the point of control passes. Once physical delivery of the products to the agreed location has occurred, the group no longer has physical possession and usually will have a present right to payment (as a single payment on delivery) and retains none of the significant risks and rewards of the goods in question.

The group's revenue is derived from fixed price contracts and therefore the amount of revenue to be earned from each contract is determined by reference to those fixed prices. For most contracts, there is a fixed unit price for each product sold, with reductions given for bulk orders placed at a specific time. Therefore, there is no judgement involved in allocating the contract price to each unit ordered in such contracts (it is the total contract price divided by the number of units ordered). Where a customer orders more than one product line, the group is able to determine the split of the total contract price between each product line by reference to each product's standalone selling price (all products are capable of being, and are, sold separately).

Practical exemptions

The group has taken advantage of the practical exemptions:

- not to account for significant financing components where the time difference between receiving consideration and transferring control of goods (or services) to its customer is one year or less; and
- expense the incremental costs of obtaining a contract when the amortisation period of the asset otherwise recognised would have been one year or less.

The group recognises contract liabilities for consideration received in respect of unsatisfied performance obligations and reports these amounts included in contract liabilities under trade and other payables.

Similarly, if the group satisfies a performance obligation before it receives the consideration, the group recognises either a contract asset or a receivable included in its trade and other receivables in its statement of financial position, depending on whether something other than the passage of time is required before the consideration is due.

For contracts that permit the customer to return an item, the amount of revenue recognised is adjusted for expected returns, which are estimated based on historical data. In these circumstances, a refund liability and a right to recover

returned goods asset are recognised. The right to recover returned goods asset is measured at the former carrying amount of the inventory less any expected costs to recover goods. The refund liability is included in other payables and the right to recover returned goods is included in inventory. The group and company review their estimates of expected returns at each reporting date and update the amounts of the asset and liability accordingly.

Dividend income from investments is accounted for under IFRS 9.

Revenue relating to company

Dividends are recognised in profit or loss only when the entity's right to receive payment of the dividend is established.

1.12 Other income

Interest is recognised, in profit or loss, using the effective interest rate method.

1.13 Cost of sales

When inventories are sold, the carrying amount of those inventories is recognised as an expense in the period in which the related revenue is recognised. The amount of any write-down of inventories to net realisable value and all losses of inventories, are recognised as an expense in the period the write-down or loss occurs. The amount of any reversal of any write-down of inventories, arising from an increase in net realisable value, is recognised as a reduction in the amount of inventories recognised as an expense in the period in which the reversal occurs.

1.14 Taxation

Current tax assets and liabilities

Current tax for current and prior periods is, to the extent unpaid, recognised as a liability. If the amount already paid in respect of current and prior periods exceeds the amount due for those periods, the excess is recognised as an asset.

Current tax liabilities/(assets) for the current and prior periods are measured at the amount expected to be paid to/(recovered from) the tax authorities, using the tax rates (and tax laws) that have been enacted or substantively enacted by the reporting date.

Deferred tax assets and liabilities

A deferred tax liability is recognised for all taxable temporary differences unless the deferred tax asset or deferred tax liability arises from the initial recognition of an asset or liability in a transaction that:

- is not a business combination; and
- at the time of the transaction, affects neither accounting profit nor taxable profit/(tax loss).

A deferred tax asset is recognised for all deductible temporary differences to the extent that it is probable that taxable profit will be available against which the deductible temporary difference can be utilised, unless the deferred tax asset arises from the initial recognition of an asset or liability

in a transaction that:

- is not a business combination; and
- at the time of the transaction, affects neither accounting profit nor taxable profit/(tax loss).

A deferred tax asset is recognised for the carry forward of unused tax losses to the extent that it is probable that future taxable profit will be available against which the unused tax losses can be utilised.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the period when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted by the reporting date.

Tax expenses

Current and deferred taxes are recognised as income or an expense and included in profit or loss for the period, except to the extent that the tax arises from:

- a transaction or event which is recognised, in the same or a different period, directly in comprehensive income or equity; or
- a business combination.

Current tax and deferred taxes are charged or credited directly to comprehensive income or equity if the tax relates to items that are credited or charged, in the same or a different period, directly to comprehensive income or equity.

1.15 Dividends

Dividends to equity holders are only recognised as a liability when declared and are included in the statement of changes in equity.

1.16 Impairments – non-financial assets

The carrying amount of the group's non-financial assets, other than inventories (refer accounting policy note 1.8) and deferred tax assets (refer accounting policy note 1.14) are reviewed at each reporting date to determine whether there is an indication of impairment. If any such indication exists, the asset's recoverable amount is estimated. An impairment loss is recognised whenever the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount. Impairment losses are recognised in profit or loss.

The recoverable amount of other assets is the greater of their fair value less cost to sell and value-in-use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the cash-generating unit to which the asset belongs.

An impairment loss of assets carried at cost less any accumulated depreciation or amortisation is recognised immediately in profit or loss. If an asset's carrying amount is

decreased as a result of a revaluation, the decrease shall be recognised in profit or loss. However, the decrease shall be recognised in other comprehensive income to the extent of any credit balance existing in the revaluation surplus in respect of that asset. The decrease recognised in other comprehensive income reduces the amount accumulated in equity under the heading of revaluation surplus.

Goodwill acquired in a business combination is, from the acquisition date, allocated to each of the cash-generating units, or groups of cash-generating units, that are expected to benefit from the synergies of the combination.

An impairment loss is recognised for cash-generating units if the recoverable amount of the unit is less than the carrying amount of the unit. The impairment loss is allocated to reduce the carrying amount of the assets of the unit in the following order:

- first, to reduce the carrying amount of any goodwill allocated to the cash-generating unit; and
- then, to the other assets of the unit, pro rata on the basis of the carrying amount of each asset in the unit.

Goodwill is tested for impairment at least annually and whenever there is an indicator of impairment.

Goodwill impairment is never reversed.

1.17 Foreign currency

Foreign currency transactions

Functional and presentation currency items included in the annual financial statements of each of the group's entities are measured using the currency of the primary economic environment in which the entity operates (its functional currency). The consolidated financial statements are presented in ZAR, which is the company's functional and presentation currency.

Transactions in foreign currencies are translated to the respective functional currencies of group entities at exchange rates at the date of the transactions. Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated to the functional currency at the exchange rate ruling at that date. Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are translated to the functional currency at the exchange rate at the date that the fair value was determined. Foreign currency differences arising on translation are recognised in profit or loss.

Foreign operations

The assets and liabilities of foreign operations, including goodwill and fair value adjustments arising on acquisition, are translated to ZAR at foreign exchange rates at the reporting date. The income and expenses of foreign operations are translated to ZAR at the average rates for the year. Foreign currency differences are recognised in other comprehensive income. When a foreign operation is disposed of, in part or in full, the relevant amount in the foreign currency translation reserve is transferred to profit or loss.

1.18 Leases

As a lessee, the group leases properties and recognises a right-of-use asset and lease liability at the lease commencement date.

Right-of-use asset and lease liability

The right-of-use asset is initially measured at lease liability plus certain other costs and is depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease, or if not applicable, the group's incremental borrowing rate. The lease liability is subsequently increased by the interest cost on the lease liability and decreased by lease payments made. It is remeasured when there is a change in the future lease payments arising from a change in index or rate or a change to the lease term.

Extension and termination options

Extension options (or periods after termination options) are only included in the lease term if the lease is reasonably certain to be extended (or not terminated). Factors such as the importance of the underlying asset to our operations, undertaking of significant leasehold improvements and our past practices were considered to determine reasonable certainty.

The assessment is reviewed if a significant event or a significant change in circumstances occurs that is within the control of the lessee.

Discount rate

The lease liabilities were measured at the present value of the remaining lease payments, discounted using the group's incremental borrowing rate as at inception date. This incremental borrowing rate was derived from rates applicable to the group's external borrowing facilities in issue.

1.19 Cash and cash equivalents

Cash and cash equivalents comprise of cash on hand and demand deposits, and other short-term highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of changes in value.

For the purpose of the cash flow statement, cash includes cash on hand, deposits held on call with banks, and bank overdrafts.

1.20 Segments

Operating segments are reported in a manner consistent with the internal reporting provided to the chief executive officer (CEO) and all the executive board members. Segment results reported include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

All segment revenue and expenses are directly attributable

to the segment. Segment assets include all operating assets used by a segment and consist principally of property, plant and equipment, as well as current assets. Segment liabilities include all operating liabilities and consist principally of trade creditors. These assets and liabilities are all directly attributable to the segments. Segment revenue, expenses and results include transfers between business segments and between geographical segments. Such transfers are accounted for at competitive market prices charged to unaffiliated customers for similar goods. These transfers are eliminated on consolidation. The key operating decision makers are the executive board members.

1.21 Retirement benefits

Provision is made for retirement benefits for eligible employees by way of a provident fund. The fund is a defined contribution plan under which amounts to be paid as retirement benefits are determined by contributions to the fund together with investment earnings thereon. Contributions are charged against profit or loss as incurred.

1.22 Short-term employee benefits

The cost of all short-term employee benefits is recognised during the year in which the employee renders the related service. The accruals for employee entitlements to remuneration and annual leave represent the amount which the group has a present obligation to pay as a result of the employee's services provided to the reporting date. The accruals have been calculated at undiscounted amounts based on current remuneration rates.

1.23 Share-based payments

Services received or acquired in a share-based payment transaction are recognised when the services are received. A corresponding increase in equity is recognised if the services are received in an equity-settled share-based payment transaction.

If the fair value of the services received cannot be estimated reliably, their value and the corresponding increase in equity are measured indirectly by reference to the fair value of the equity instruments granted.

If the share-based payments granted do not vest until the counterparty completes a specified period of service, the group accounts for those services as they are rendered by the counterparty during the vesting period (or on a straight-line basis over the vesting period).

If the share-based payments vest immediately, the services received are recognised in full.

Where the equity instruments are no longer outstanding, the accumulated share-based payment reserve in respect of those equity instruments is transferred to retained earnings.

For cash-settled share-based payments, a liability equal to the portion of services received is recognised as the current fair value at each date of the statement of financial position.

2. Statements and interpretations not yet effective

New standards or revisions to current standards have been issued with effective dates applicable to future statements of the group. Only those standards not yet adopted and that could be expected to be applicable to the group are set out below, i.e. those applicable to unrelated industries or economies are not dealt with herein.

The group expects to adopt the amendments from the effective dates. It did not early adopt any new, revised or amended accounting standards. The impact on adopting these standards by the group has been noted below.

The following amended standards are not expected to have a significant impact on the group and company financial statements:

STANDARD	EXPECTED ADOPTION DATE	DETAILS OF AMENDMENT
IAS 1 Presentation of Financial Statements	1 January 2023	Classification of Liabilities as Current or Non-current: Narrow-scope amendments to IAS 1 to clarify how to classify debt and other liabilities as current or non-current.
Conceptual Framework for Financial Reporting	1 January 2022	Amendments to IFRS 3: Updates a reference to the Conceptual Framework for Financial Reporting without changing the accounting requirements for business combinations.
IAS 37 Provisions, Contingent Liabilities and Contingent Assets	1 January 2022	Amendment – Onerous Contracts – Cost of Fulfilling a Contract: Specifies the costs a company includes when assessing whether a contract will be loss-making and is therefore recognised as an onerous contract. These amendments are expected to result in more contracts being accounted for as onerous contracts because they increase the scope of costs that are included in the onerous contract assessment.
IAS 1 Presentation of Financial Statements (Amendment-Disclosure of Accounting Policies)	1 January 2023	The amendment required companies to disclose their material accounting policy information rather than their significant accounting policies, with additional guidance to the Standard to explain how an entity can identify material accounting policy information with examples of when accounting policy information is likely to be material.
IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors (Amendment-Definition of Accounting Estimates)	1 January 2023	The amendment clarifies how companies should distinguish changes in accounting policies from changes in accounting estimates, by replacing the definition of a change in accounting estimates with a new definition of accounting estimates. Under the new definition, accounting estimates are “monetary amounts in financial statements that are subject to measurement uncertainty”. The requirements for recognising the effect of change in accounting prospectively remain unchanged.
IAS 12 Income Taxes (Amendment – Deferred Tax related to Assets and Liabilities arising from a Single Transaction)	1 January 2023	The amendment clarifies whether the initial recognition exemption applies to certain transactions that result in both an asset and a liability being recognised simultaneously (e.g. a lease in the scope of IFRS16). The amendments introduce an additional criterion for the initial recognition exemption under IAS 12.15, whereby the exemption does not apply to the initial recognition of an asset or liability which at the time of the transaction, gives rise to equal taxable and deductible temporary differences.
IAS 16 Property, Plant and Equipment	1 January 2022	Amendment – Proceeds before Intended Use: Prohibit a company from deducting amounts received from selling items produced while the company is preparing the asset for its intended use from the cost of property, plant and equipment. Instead, a company will recognise such sales proceeds and any related costs in profit or loss.
IFRS 9 Financial Instruments	1 January 2022	Annual Improvements to IFRS Standards 2018–2020: The amendment clarifies which fees an entity includes when it applies the ‘10 per cent’ test in assessing whether to derecognise a financial liability.
Annual Improvements to IFRS: 2018–2020 Cycle	1 January 2022	In May 2020, the IASB issued minor amendments to IFRS 1 First-time Adoption of International Financial Reporting Standards, IFRS 9 Financial Instruments, IAS 41 Agriculture and the Illustrative Examples accompanying IFRS 16 Leases.

3 Property, plant and equipment

	GROUP				
Note	Land and buildings R 000	Plant and equipment R 000	Motor vehicles R 000	Furniture, fittings and equipment R 000	Total 2022 R 000
Carrying amount at beginning of year	282 871	126 988	37 969	4 666	452 494
Gross carrying amount	288 785	256 145	81 702	16 846	643 478
Accumulated depreciation and impairments	(5 914)	(129 157)	(43 733)	(12 180)	(190 984)
Exchange difference on translation of foreign operations	(225)	(3 703)	(678)	(209)	(4 815)
Reclassification to non-current assets held for sale	12 (17 000)	-	-	-	(17 000)
Business combinations	25.8 -	8 795	658	2 467	11 920
Additions	5 952	32 376	14 983	2 831	56 142
Disposals	(3 304)	(5 514)	(2 262)	(1 084)	(12 164)
Revaluation	2 188	-	-	-	2 188
Depreciation	(858)	(19 151)	(9 501)	(2 512)	(32 022)
Carrying amount at end of year	269 624	139 791	41 170	6 160	456 745
Gross carrying amount	276 034	286 565	85 869	27 081	675 549
Accumulated depreciation and impairments	(6 410)	(146 774)	(44 699)	(20 921)	(218 804)

The carrying amount would have been R260.7 million had land and buildings been accounted for using the cost model.

	GROUP				
	Land and buildings R 000	Plant and equipment R 000	Motor vehicles R 000	Furniture, fittings and equipment R 000	Total 2021 R 000
Carrying amount at beginning of year	288 426	135 486	36 969	5 239	466 120
Gross carrying amount	298 563	263 413	79 557	16 548	658 081
Accumulated depreciation and impairments	(10 137)	(127 927)	(42 588)	(11 309)	(191 961)
Exchange difference on translation of foreign operations	(2 624)	(4 437)	(684)	(213)	(7 958)
Business combinations	-	2 201	3 043	98	5 342
Additions	3 085	17 736	8 101	2 855	31 777
Disposals	(5 024)	(6 145)	(2 532)	(189)	(13 890)
Depreciation	(992)	(17 853)	(8 040)	(2 012)	(28 897)
Carrying amount at end of year	282 871	126 988	37 969	4 666	452 494
Gross carrying amount	288 785	256 145	81 702	16 846	643 478
Accumulated depreciation and impairments	(5 914)	(129 157)	(43 733)	(12 180)	(190 984)

The carrying amount would have been R273.9 million had land and buildings been accounted for using the cost model.

Pledged security

Certain items of property, plant and equipment with a net book value of R16 million (2021 – R17.3 million) are encumbered as set out in note 15. A register containing details of the property, plant and equipment is available for inspection at the registered office of the company.

Valuation of land and buildings

Land and buildings is recognised at the revalued amount, which is based on directors' valuations prepared every year at year-end. The carrying amount of properties is the fair value as determined by the directors less subsequent accumulated depreciation and impairment losses. The effective date of the revaluations was 31 March 2022.

The fair values of the land and buildings are estimated using an income approach which capitalises the estimated rental income stream, net of projected operating costs, using a discount rate derived from market yields and take into account the type of the property and the property's location.

The most significant inputs, all of which are unobservable, are the estimated rental value and the discount rate. The estimated fair value increases if estimated rental increases or if discount rates (market yields) decline.

A 1% increase or decrease in the discount rate will impact the fair value by R2.9 million (2021 – R2.1 million). A 1% increase or decrease in the rental rates will impact the fair value by R2.1 million (2021 – R2.3 million).

The assumed discount rates applied for the future income streams range between 10.1% and 10.7% (2021 – 9.7% and 11.6%).

The directors assessed the useful lives of the buildings to be 50 years, and the residual values exceed their carrying values, with the exception of New Joules North America that has a useful life of 39 years (2021 – 39 years).

Refer to note 30.8 for the fair value measurement disclosure.

4 Intangible assets and goodwill

	GROUP		
	Patents R 000	Goodwill R 000	Total 2022 R 000
Carrying amount at beginning of year	3 259	198 330	201 589
Gross carrying amount	4 801	328 725	333 526
Accumulated amortisation and impairments	(1 542)	(130 395)	(131 937)
Additions	-	45 919	45 919
Exchange difference on translation of foreign operation	(41)	4 210	4 169
Amortisation for the year	(322)	-	(322)
Carrying amount at end of year	2 896	248 459	251 355
Gross carrying amount	4 731	378 854	383 585
Accumulated amortisation and impairments	(1 835)	(130 395)	(132 230)

	GROUP		
	Patents R 000	Goodwill R 000	Total 2021 R 000
Carrying amount at beginning of year	4 314	150 144	154 458
Gross carrying amount	5 788	280 539	286 327
Accumulated amortisation and impairments	(1 474)	(130 395)	(131 869)
Additions	-	48 186	48 186
Exchange difference on translation of foreign operation	(705)	-	(705)
Amortisation for the year	(350)	-	(350)
Carrying amount at end of year	3 259	198 330	201 589
Gross carrying amount	4 801	328 725	333 526
Accumulated amortisation and impairments	(1 542)	(130 395)	(131 937)

External patents

The patent is a railway retarder and has a remaining useful life of 8 years (2021 – 9 years).

Goodwill

The carrying amount of goodwill is allocated to the significant cash-generating units (CGUs) as follows:

	TOTAL 2022 R 000	TOTAL 2021 R 000
American Shutters	46 384	-
Fuel Proof (incorporated in England)	58 021	54 590
OSA Door Parts (incorporated in England)	38 880	37 994
Partington Engineering (incorporated in England)	43 009	48 186
Xpanda Security	34 867	34 867

The group purchased the entire issued share capital of American Shutters for R57.4 million and Fluid Transfer Group for GBP1. Refer to note 25.8 for additional disclosure.

The recoverable amounts of the CGUs have been determined by considering the higher of their fair value less costs to sell and value-in-use. Their value-in-use was determined to be the higher and was therefore used as their recoverable amount.

All the recoverable amounts are in excess of the carrying values and range from R78 million to R450 million.

The key assumptions for the value-in-use calculations are those regarding the discount rates, growth rates and expected changes to selling prices and direct costs during the period. Management estimates discount rates using pre-tax rates that reflect current market assessments of the time value of money and the risks specific to the CGUs. Budgets are prepared for a five-year period as this is deemed reasonable for a forward-looking forecast.

The average projected growth rate and discount rates are as follows:

	PRE-TAX DISCOUNT RATE 2022 %	GROWTH RATE 2022 %	PRE-TAX DISCOUNT RATE 2021 %	GROWTH RATE 2021 %
American Shutters	18.9	7.0	-	-
Fuel Proof (incorporated in England)	11.7	3.0	8.6	1.5
OSA Door Parts (incorporated in England)	11.7	3.0	8.6	1.5
Partington Engineering (incorporated in England)	11.4	3.0	8.6	1.5
Xpanda Security	19.3	6.5	14.8	6.5

Changes in selling prices and direct costs are based on past practices and expectations of future changes in the market.

The discounted cash flows are most sensitive to changes in the discounted rate. The discount rates required for impairment to occur are as follows:

	PRE-TAX DISCOUNT RATE 2022 %	PRE-TAX DISCOUNT RATE 2021 %
American Shutters	24.44	-
Fuel Proof (incorporated in England)	31.14	25.2
OSA Door Parts (incorporated in England)	28.5	24.2
Partington Engineering (incorporated in England)	23.84	19.9
Xpanda Security	20.19	15.0

5 Leases

Right- of-use assets

	GROUP	
	Land and buildings 2022 R 000	Land and buildings 2021 R 000
Carrying amount at beginning of year	76 535	100 945
Additions	9 477	9 640
Business combinations	894	-
Depreciation	(22 493)	(22 639)
Effect of cancellation to lease terms	(8 479)	(8 583)
Exchange difference on translation of foreign operations	(1 215)	(2 828)
Carrying amount at end of year	54 719	76 535

Lease liabilities

	GROUP	
	Land and buildings 2022 R 000	Land and buildings 2021 R 000
Carrying amount at beginning of year	90 443	113 405
Additions	9 477	9 640
Business combinations	899	-
Interest expense	7 544	8 330
Effect of cancellation to lease terms	(11 887)	(10 206)
Lease payments	(29 065)	(27 701)
Exchange difference on translation of foreign operations	(1 347)	(3 025)
Carrying amount at end of year	66 064	90 443
Less: Portion payable within twelve months reflected under current liabilities	25 356	28 098
Non-current portion	40 708	62 345

The group leases buildings from external parties.

Future undiscounted contractual amounts

	Due in less than a year R 000	Due in one to two years R 000	Due in two to three years R 000	Due after four years R 000
Lease liabilities payments	26 182	18 345	13 460	21 974

There are no short-term and low value asset lease expenses.

The leases are for fixed periods and fixed amounts. There are no restrictions imposed by the leases and no unusual or unique lease terms.

6 Long-term receivables

	GROUP		COMPANY	
	2022 R 000	2021 R 000	2022 R 000	2021 R 000
BEE minority shareholder loan	5 026	8 656	-	-
Loan advanced to BEE minority shareholders for the purchase of interest in subsidiaries. Indefinite period of repayment at an interest rate of 1%. The loan is secured by a cession of shares in the subsidiary.				
The fair value has been calculated with reference to the underlying net asset value in the company where the shares are held.				
Barnes Tubing Industries Proprietary Limited	-	1 496	-	-
The loan was fully repaid during the year.				
Algoa Components Manufacturers Proprietary Limited (formerly Stateline Tubing Industries Proprietary Limited)	1 259	1 957	1 259	-
The loan bears interest at prime less 1.625% and is repayable in equal monthly instalments until fully repaid in 20 months time.				
Aggregate repayments are due as follows:				
Year ending 31 March	R 000			
- 2023	814			
- 2024	507			
The loan is secured by project related materials used at the sellers leased premises.				
Total long-term receivables	6 285	12 109	1 259	-
Less: Portion receivable within 12 months	762	2 499	762	-
Non-current portion	5 523	9 610	497	-

The BEE minority shareholder loan is subsequently measured at fair value, while the long-term receivables are subsequently measured at amortised cost.

No balances are past due and the group has collateral for these long-term receivables. Management believe that all balances are of a good credit quality as there have been no defaults on repayment terms – refer note 30.3.

As a result, management have assessed there to be an immaterial expected credit loss and no allowance has been raised.

7 Employee share incentive scheme loan

	COMPANY	
	2022 R 000	2021 R 000
Employee share incentive scheme loan	6 792	14 716
An analysis of the Argent Employee Share Incentive Scheme loan is as follows:		
Balance at the beginning of the year	14 716	12 922
Share options exercised	(5 505)	(6 158)
Fair value adjustment of loan	(2 419)	7 952
Total employee share incentive scheme loan	6 792	14 716

The loan is interest free with no fixed terms of repayment set. The unallocated shares are under the control of the trustees of the Scheme. The fair value of the loan is linked to the market price of shares in Argent Industrial Limited.

8 Interest in subsidiaries

	COMPANY	
	2022 R 000	2021 R 000
Opening cost less impairment	354 976	354 976
Original cost	411 036	411 036
Impairments	(56 060)	(56 060)
New acquisitions	57 481	-
Impairments	(41 663)	-
Argent Steel Group Proprietary Limited	(12 787)	-
Toolroom Services Proprietary Limited	(28 876)	-
Closing cost less impairments	370 794	354 976
Original cost	468 517	411 036
Impairments	(97 723)	(56 060)

The carrying value of investment in subsidiaries is shown net of impairments and is determined using a value-in-use model. This is the same valuation method to value goodwill. The rationale for this is that the legal entities are the same as the cash-generating units (CGU). Refer to note 4 for the assumptions used in assessing indicators for impairment. Refer to note 25.8 for additional disclosure on new acquisitions.

The group impaired interest in Argent Steel Group Proprietary Limited as a result of the company no longer trading and Toolroom Services Proprietary Limited due to the amalgamation of the business into Castor & Ladder Proprietary Limited.

	COMPANY	
	2022 R 000	2021 R 000
Subsidiary loans		
Opening balance	192 924	243 553
Advances/(repayments)	82 118	(50 629)
Loans to subsidiaries included in current assets	275 042	192 924
Loans owing by subsidiaries	299 948	280 511
Loans owing to subsidiaries	(24 906)	(87 587)
Loans to subsidiaries included in current assets	275 042	192 924

The loans are interest free and payable on demand. The loans to and from subsidiaries are intended to settle on a net basis as they are managed on a group basis according to group cash flow requirements. The loans are continuously advanced or realised during a normal 30 day operating cycle.

The loans are individually assessed based on the solvency of the company being assessed. Credit risk for loan receivables from related parties has not increased significantly since their initial recognition.

Where subsidiaries do not have sufficient resources to repay the loan on demand, the holding company has the right to allocate cash resources accordingly as the bank facility is held at group level. The expected credit loss is therefore considered to be negligible as the subsidiaries have the ability to settle, if required.

For further details of interest in subsidiaries refer page 80.

9 Non-controlling interest

Subsidiary with material non-controlling interests (NCI)

The information below relates to Argent Industrial Engineering Proprietary Limited, a subsidiary included in the group results with 45% non-controlling interests.

- Proportion of ownership interests and voting rights held by NCI 45% (2021 – 45%).
- Total comprehensive loss allocated to NCI R0.114 million (2021 – income R0.601 million).
- Accumulated NCI R9.5 million (2021 – R9.1 million after dividend).
- A dividend of R4 million was paid to the NCI (2021 – R4.5 million).

	GROUP	
	2022 R 000	2021 R 000
Summarised financial information is set out below:		
Non-current assets	33 236	33 574
Current assets	7 058	6 695
Total assets	40 294	40 269
Non-current liabilities	1 102	921
Current liabilities	5 224	6 726
Total liabilities	6 326	7 647
Equity attributable to owners of the parent	18 682	17 942
Non-controlling interests	13 544	13 658
Revenue	21 196	17 964
(Loss)/profit for the year attributable to the owners of the parent	(139)	735
(Loss)/profit for the year attributable to the NCI	(114)	601
(Loss)/profit for the year	(253)	1 336
Total comprehensive loss/income for the year attributable to the owners of the parent	(139)	735
Total comprehensive loss for the year attributable to the NCI	(4 164)	(3 899)
Total comprehensive loss for the year	(4 303)	(3 164)
Net cash from/(used in) operating activities	4 801	(377)
Net cash used in investing activities	(2 564)	(643)
Net cash (used in)/from financing activities	(304)	2 368
Net cash inflow	1 933	1 348

10 Inventories

	GROUP	
	2022 R 000	2021 R 000
Raw materials	196 041	85 996
Work in progress	22 557	6 762
Goods in transit	9 479	8 367
Finished goods	301 502	243 136
Total inventories	529 579	344 261

An allowance is created to write-down inventory to the lower of cost or net realisable value. The write-down of R3.6 million (2021 – R9 million) is included in operating profit. The current years write-down is a result of the unprofitable products of Toolroom Services that were not included into the amalgamation with Castor & Ladder. Management makes estimates of the selling price and direct costs to sell inventory in determining the net realisable value.

Inventory provisions include write-downs which take into account historical information related to sales trends, ageing profiles, market factors and stock counts which impact the expected write-down between the estimated net realisable value and the original cost. Net realisable value represents the estimated selling price less all estimated costs of completion and costs to be incurred in marketing, selling and distribution.

Inventory to value of R18.6 million (2021 – R13.8 million) has been used as security for the coronavirus business interruption loan scheme owing to Barclays Bank PLC – refer to note 15.

11 Trade and other receivables

	GROUP		COMPANY	
	2022 R 000	2021 R 000	2022 R 000	2021 R 000
Financial instruments				
Trade receivables due from external parties*	416 868	331 989	10 082	5 556
Forward exchange contract	-	732	-	-
Impairment for trade receivables	(10 496)	(10 636)	-	-
Deposits	916	1 378	-	-
Sub total financial instruments	407 288	323 463	10 082	5 556
Non-financial instruments				
Other receivables	4 624	9 312	589	1 928
Prepayments	38 292	17 768	-	-
VAT	27 443	-	-	-
Sub total non-financial instruments	70 359	27 080	589	1 928
Total trade and other receivables	477 647	350 543	10 671	7 484

	GROUP		COMPANY	
	2022 R 000	2021 R 000	2022 R 000	2021 R 000
Categorisation of trade and other receivables				
Trade and other receivables are categorised as follows in accordance with IFRS 9 – Financial Instruments:				
Financial instruments at amortised cost	407 288	323 463	10 082	5 556
Non-financial instruments	70 359	27 080	589	1 928
	477 647	350 543	10 671	7 484

* Trade receivables for the company are intra-group.

Trade receivables of R157 million (2021 – R121 million) have been ceded for facilities granted-refer note 25.3.

	GROUP	
	2022 R 000	2021 R 000
Reconciliation of impairment allowance		
Opening balance	(10 636)	(13 725)
Recognised during year	(3 240)	(2 510)
Written off during year	3 380	5 599
Closing balance	(10 496)	(10 636)

The creation and release of provision for impaired receivables has been included in operating expenses in the statement of profit or loss. Amounts charged to the allowance are generally written off when there is no expectation of recovering additional cash. The total amount receivable represents the maximum exposure for trade receivables and other current assets, before any credit enhancements or collateral that may be held.

Exposure to credit risk

Trade receivables inherently expose the group to credit risk, being the risk that the group will incur financial loss if customers fail to make payments as they fall due.

There has been no significant changes to the credit risk management policies since the prior reporting period – note 30.3.

A loss allowance is recognised for all trade receivables, and is monitored at the end of each reporting period. In addition to the loss allowance, the group identifies receivables to be credit impaired when a default event such as liquidation or deregistration of the customer has occurred.

The group measures the loss allowance for trade receivables by applying the simplified approach which is prescribed by IFRS 9. In accordance with this approach, the loss allowance on trade receivables is determined as the lifetime expected credit losses on trade receivables. These lifetime expected credit losses are estimated using a provision matrix, which is presented below. The provision matrix has been developed by making use of past default experience of debtors and data that is determined to be predictive of the risk of loss (including but not limited to debts which are three months past due, external ratings and available industry information). The credit profile of the customer is assessed with subsequent payment.

Credit insurance is underwritten by Credit Guarantee Insurance Corporation of Africa Limited (CGIC). The risk of default is considered low based on the credit rating of CGIC. 15% of CGIC insured debtors remain exposed to credit risk.

In determining the recoverability of deposits, the group considers any change in the credit quality of the receivables from the date credit was initially granted up to a 12 month period and there has been no significant increase in credit risk. Consequently, there is no expected credit loss and hence no allowance for impairments has been raised. Debtor balances less than 30 days has increased by 20.6% in comparison to the prior year due to increased turnover for that period. The ageing group of more than 120 days has decreased due to collections. The risk of default was assessed as low.

The loss allowance was determined as follows:

	GROUP				
	Default rate %	Estimated gross carrying amount at default R 000	Loss allowance (lifetime expected credit loss) R 000	Specifically impaired trade receivables R 000	Total impairment for trade receivables R 000
2022					
Less than 30 days	0.689%	188 398	(1 298)	-	(1 298)
31 – 60 days	0.945%	39 723	(375)	-	(375)
61 – 90 days	2.071%	12 328	(255)	-	(255)
91 – 120 days	5.583%	3 240	(181)	-	(181)
More than 120 days	15.190%	5 482	(833)	-	(833)
		249 171	(2 942)	-	(2 942)
Insured debtors – Credit Guarantee Insurance Corporation of Africa Limited (CGIC)		157 160	-	-	-
Specifically impaired trade receivables		10 537	-	(7 554)	(7 554)
Total trade receivables due from external parties		416 868	(2 942)	(7 554)	(10 496)

	GROUP				
	Default rate %	Estimated gross carrying amount at default R 000	Loss allowance (lifetime expected credit loss) R 000	Specifically impaired trade receivables R 000	Total impairment for trade receivables R 000
2021					
Less than 30 days	0.673%	141 069	(949)	-	(949)
31 – 60 days	0.983%	40 316	(396)	-	(396)
61 – 90 days	2.386%	12 863	(307)	-	(307)
91 – 120 days	6.900%	1 387	(96)	-	(96)
More than 120 days	15.852%	6 024	(955)	-	(955)
		201 659	(2 703)	-	(2 703)
Insured debtors – Credit Guarantee Insurance Corporation of Africa Limited (CGIC)		120 047	-	-	-
Specifically impaired trade receivables		10 283	-	(7 933)	(7 933)
Total trade receivables due from external parties		331 989	(2 703)	(7 933)	(10 636)

Fair values of trade and other receivables

The fair values of the trade receivables approximate their carrying values.

12 Non-current assets held for sale

	GROUP	
	2022 R 000	2021 R 000
Property		
Portion 3 of Erf 7352 and Portion 4 of Erf 5214 Benoni - 11 Barnsley Road, Benoni, Gauteng	17 000	-
Total non-current assets held for sale	17 000	-

The group decided to exit the specialised rubber products industry and the property housing this business was not required. An agreement to sell the premises has been reached and transfer should be finalised by July 2022.

13 Stated capital and treasury shares

	GROUP		COMPANY	
	2022 R 000	2021 R 000	2022 R 000	2021 R 000
Authorised stated capital				
200 000 000 ordinary shares of no par value (2021 – 200 000 000 ordinary shares of no par value)				
Issued stated capital				
57 239 238 ordinary shares of no par value (2021 – 60 550 705 ordinary shares of no par value)	317 845	360 031	317 845	360 031
Balance at the beginning of the year	360 031	386 021	360 031	386 021
Share buyback	(42 186)	(25 990)	(42 186)	(25 990)
Treasury shares	(76 529)	(82 034)	-	-
Balance at the beginning of the year	(82 034)	(88 191)	-	-
Share options exercised	5 505	6 157	-	-
Issue of shares	-	-	-	-
Total stated capital and treasury shares	241 316	277 997	317 845	360 031

Issued stated capital number of shares

	2022 Number 000	2021 Number 000
Opening shares in issue	60 551	64 916
Share buyback movement	(3 312)	(4 365)
Closing shares in issue	57 239	60 551
Treasury shares	(847)	(2 126)
Closing shares in issue excluding treasury shares	56 392	58 425

During the year 3 311 467 shares were repurchased at an average share price of R12.74 and cancelled as part of the share buyback programme. The unissued shares are under the control of the directors until the next annual general meeting. There are no unlisted securities.

The Argent Employee Share Incentive Trust was created to administer the Share Option Scheme. The trust is controlled by Argent Industrial Limited and, therefore, the trust is consolidated in accordance with IFRS 10 – Consolidated Financial Statements – refer note 7.

14 Reserves

	GROUP	
	2022 R 000	2021 R 000
Revaluation reserve	9 665	8 068
Foreign currency translation reserve	(13 188)	(3 715)
Employee share incentive reserve	830	1 493
Total reserves	(2 693)	5 846

The revaluation reserve relates to land and buildings measured under the revaluation model. Refer to note 3.

The foreign currency translation reserve relates to the translation of foreign entities at year end from their functional currency to rand.

The employee share incentive reserve relates to the share-based payments reserve for employee share option benefits.

15 Interest-bearing borrowings

	GROUP	
	2022 R 000	2021 R 000
Secured		
Instalment sale obligations	15 104	7 010
Secured by plant and equipment with a net book value of R16 million (2021 – R17.3 million) (refer note 3).		
Repayments are made in equal monthly instalments.		
Aggregate repayments are due as follows:		
Year ending 31 March	R 000	
- 2023	5 466	
- 2024	4 653	
- 2025 and later	6 943	
The effective average interest rate applicable to these liabilities is 0.75% below prime to 0.35% above prime and repayable over 36 interruption months except for one contract repayable over 48 months and 3 contracts payable over 60 months.		
Coronavirus business interruption loan scheme owing to Barclays Bank PLC	9 620	18 369
Repayments are due as follows:		
Year ending 31 March	R 000	
- 2023	7 910	
- 2024	1 935	
Secured by inventory with a net book value of R18.6 million (2021 – R13.8 million) bearing interest at 2.75% above Bank of England base rate (refer note 10).		

		GROUP	
		2022 R 000	2021 R 000
Loan facility owing to Investec Bank Limited		92 934	75 190
Repayments are due as follows:			
Year ending 31 March	R 000		
- 2023	28 108		
- 2024	28 108		
- 2025 and later	51 531		
The loan bears an average interest rate of prime and is repayable in monthly instalments of approximately R2 million with the last payment due January 2026.			
The loan account between Argent Industrial Investments Proprietary Limited and Argent Industrial Limited has been subordinated and ceded in favour of Investec Bank Limited by Argent Industrial Limited.			
Total interest-bearing borrowings		117 658	100 569
Less: Portion payable within 12 months reflected under current liabilities		33 879	28 075
Non-current portion		83 779	72 494

In terms of the company's memorandum of incorporation, the directors' borrowing powers are unlimited.

16 Other liabilities

		GROUP	
		2022 R 000	2021 R 000
Service benefits for executive directors			
Cash settled share-based liability		-	1 638
Service benefits		-	1 638
Contingent consideration of business combination			
Contingent consideration for the acquisition of Partington Engineering Limited (Partington)			
Fair value of contingent consideration		-	12 255
Contingent consideration of business combination		-	12 255
The contingent consideration was reversed as the terms for the payment were not met.			
Total other liabilities		-	13 893

17 Deferred taxation

	GROUP	
	2022 R 000	2021 R 000
The following deferred taxation balances are reflected on the statement of financial position:		
Deferred taxation assets	2 881	2 235
Deferred taxation liabilities	(56 610)	(48 481)
Total deferred taxation	(53 729)	(46 246)
A deferred tax asset of R1.5 million (2021 – R3.9 million) has been recognised in respect of tax losses, as future taxable income of sufficient amount is expected to be earned.		
Reconciliation		
Balance at beginning of year	(46 246)	(44 303)
Acquisition of subsidiaries – capital allowances	1 509	(3 133)
Fair value of BEE minority loan	(51)	-
Leases	(569)	559
Change in tax rate	(1 549)	-
Temporary differences	(6 823)	631
Capital allowances	(3 693)	1 097
Assessable losses	(2 498)	(784)
Revaluation of land and buildings	(591)	-
Leave pay and bonus accruals	(115)	81
Expected credit losses	74	237
Balance at end of year	(53 729)	(46 246)
Analysis		
Capital allowances	(61 361)	(57 628)
Fair value of BEE minority loan	1 392	1 443
Leases	6 209	6 778
Assessable losses	1 484	3 982
Revaluation of land and buildings	(2 176)	(1 585)
Leave pay and bonus accruals	455	570
Expected credit losses	268	194
Balance at end of year	(53 729)	(46 246)

Assessed losses totalling R326 125 (2021 – R8 million) have no recognised deferred taxation asset.

The deferred taxation asset in American Shutters Proprietary Limited, Gammid Group Proprietary Limited and Pro Crane Services Proprietary Limited arises due to temporary differences on the right-of-use of assets. Fluid Transfer International Limited deferred taxation asset arises due to temporary differences from an assessed loss.

The directors have tested the deferred taxation asset recognised for recoverability in terms of IAS 12. The turnaround strategy supporting the recognition of this asset makes certain key assumptions which the board has considered and believes to be reasonable in the circumstances.

The principal assumptions are summarised as follows:

- Restructuring of certain brands;
- Cost control via shared resources; and
- Introduction of additional revenue streams which are reasonably and broadly achievable.

18 Trade and other payables

	GROUP		COMPANY	
	2022 R 000	2021 R 000	2022 R 000	2021 R 000
Financial instruments				
Trade payables	265 876	174 700	-	-
Accruals	11 493	25 428	-	-
Goods in transit	4 363	6 682	-	-
Contract liabilities	73 795	25 352	-	-
Debtor overpayments	18 450	9 604	-	-
Minority shareholder loans	15	15	-	-
Other payables	8 428	5 045	6 478	3 875
Sub total financial instruments	382 420	246 826	6 478	3 875
Non-financial instruments				
VAT	17 122	893	-	-
Leave pay and bonus accruals	1 685	2 036	-	-
Payroll accruals	31 291	29 678	-	-
Sub total non-financial instruments	50 098	32 607	-	-
Total trade and other payables	432 518	279 433	6 478	3 875
Categorisation of trade and other payables				
Trade and other payables are categorised as follows in accordance with IFRS 9 – Financial Instruments:				
Financial instruments at amortised cost	382 420	246 826	6 478	3 875
Non-financial instruments	50 098	32 607	-	-
	432 518	279 433	6 478	3 875

The fair values of the trade and other payables approximate their carrying value.

19 Revenue

	GROUP		COMPANY	
	2022 R 000	2021 R 000	2022 R 000	2021 R 000
Revenue by category:				
Manufacturing	1 552 922	1 315 537	158 629	23 908
Steel trading	877 813	650 236	-	-
Properties	1 967	187	-	-
Total revenue by category	2 432 702	1 965 960	158 629	23 908
Revenue by geographical location:				
South Africa – local	1 551 852	1 432 653	158 629	23 908
South Africa – exports	277 108	240 307	-	-
South Africa – total	1 828 960	1 672 960	158 629	23 908
Rest of world	603 742	293 000	-	-
Total revenue by geographical location	2 432 702	1 965 960	158 629	23 908

All revenue is transferred at a point in time. The company revenue is dividend income from subsidiaries.

Revenue includes R73.8 million (2021 – R25.3 million) contract liability balances from performance obligations partially satisfied in the current period. The new acquisitions contributed to an increase in incomplete work in progress in comparison to the prior year.

The timing of recognition of revenue relating to contract liabilities is normally within three to six months.

20 Operating profit before finance costs

are arrived at after taking into account:

	GROUP		COMPANY	
	2022 R 000	2021 R 000	2022 R 000	2021 R 000
Income				
Profit on foreign exchange transactions	872	878	-	5
Fair value adjustment of employee share incentive scheme loan	-	-	-	7 952
Expenses				
Auditors' remuneration				
- Audit fees current year	2 837	2 656	-	-
- Audit fees prior year	161	188	-	-
Fair value adjustment of employee share incentive scheme loan	-	-	2 419	-
Loss on disposal of property, plant and equipment	7 316	518	-	-
Loss on foreign exchange transactions	4 025	4 871	-	-
Impairment of investment in subsidiaries	-	-	41 663	-
Depreciation				
- Land and buildings	858	992	-	-
- Plant and equipment	19 151	17 853	-	-
- Motor vehicles	9 501	8 040	-	-
- Furniture, fittings and equipment	2 512	2 012	-	-

	GROUP		COMPANY	
	2022 R 000	2021 R 000	2022 R 000	2021 R 000
Amortisation of intangibles				
- Patents	322	350	-	-
Depreciation of right-of-use assets				
- Land and buildings	22 493	22 639	-	-
Research and development	35	4	-	-
Staff costs	149 326	140 113	-	-
Included in staff costs are:				
- Defined contribution plan expense	12 865	13 952	-	-
- Retrenchment costs	830	6 539	-	-
- Share-based payments	520	520	-	-

Executive directors' emoluments

	GROUP						
	Emoluments R 000	Fees* R 000	Travel allowance and medical aid R 000	Performance related R 000	Provident fund contributions R 000	Share options and benefits R 000	Total 2022 R 000
Ms SJ Cox	2 969	302	94	1 486	418	3 574	8 843
TR Hendry	3 261	381	604	1 871	491	3 574	10 182
AF Litschka	2 839	236	403	1 521	421	2 476	7 896
Total	9 069	919	1 101	4 878	1 330	9 624	26 921

* Fees include amounts for services rendered to the company and subsidiaries.

Executive directors' emoluments

	GROUP						
	Emoluments R 000	Fees* R 000	Travel allowance and medical aid R 000	Performance related R 000	Provident fund contributions R 000	Share options and benefits R 000	Total 2021 R 000
Ms SJ Cox	2 873	277	109	495	403	1 065	5 222
TR Hendry	3 177	346	337	648	446	1 065	6 019
AF Litschka	2 642	247	379	500	392	422	4 582
Total	8 692	870	825	1 643	1 241	2 552	15 823

Non-executive directors' emoluments

	GROUP	
	Fees 2022 R 000	Fees 2021 R 000
CD Angus	71	66
P Christofides	71	66
K Mapasa	77	69
T Scharrihuisen	252	240
Total	471	441

Directors' emoluments paid by:

	Total 2022 R 000	Total 2021 R 000
Company	1 390	1 311
Subsidiaries	26 002	14 953
Total	27 392	16 264

Executive directors have employment contracts for five years effective from 1 September 2018 to 31 August 2023, renewable at the executive directors' discretion and the remuneration committee for another five years.

Executive directors are entitled to receive the cash equivalent of the following number of shares on cessation of service:

	Balance at beginning of year	Exercised	Yearly accrual	Balance at end of year 2022
Ms SJ Cox	60 000	(80 000)	20 000	-
TR Hendry	60 000	(80 000)	20 000	-
AF Litschka	60 000	(80 000)	20 000	-
Total	180 000	(240 000)	60 000	-

During the year the board approved that the executive directors may utilise the cash equivalent of the share entitlement. At year end, no liability relating to the continued cessation benefits was required (2021 – R1.6 million).

Executive directors share option allocations are granted on the same terms as the Argent Employee Share Option Scheme. Non-executive directors do not qualify for share options.

	Balance at beginning of year	Options granted	Options exercised	Options lapsed	Balance at end of year 2022
Movement in the number of options granted					
Ms SJ Cox	708 590	55 599	(481 793)	-	282 396
TR Hendry	708 590	55 599	(481 793)	-	282 396
AF Litschka	708 590	-	(314 996)	(111 198)	282 396
Total	2 125 770	111 198	(1 278 582)	(111 198)	847 188

	Balance at beginning of year	Options granted	Options exercised	Options lapsed	Balance at end of year 2021
Movement in the number of options granted					
Ms SJ Cox	1 134 784	208 696	(634 890)	-	708 590
TR Hendry	1 134 784	208 696	(634 890)	-	708 590
AF Litschka	1 134 784	-	(150 000)	(276 194)	708 590
Total	3 404 352	417 392	(1 419 780)	(276 194)	2 125 770

	Options with exercise price R4.62	Balance at end of year 2022
Details of number of options		
Ms SJ Cox	282 396	282 396
TR Hendry	282 396	282 396
AF Litschka	282 396	282 396
Total	847 188	847 188

	Options with exercise price R4.62	Options with exercise price R4.15	Balance at end of year 2021
Details of number of options			
Ms SJ Cox	423 594	284 996	708 590
TR Hendry	423 594	284 996	708 590
AF Litschka	423 594	284 996	708 590
Total	1 270 782	854 988	2 125 770

Details of the options are disclosed in note 26.

21 Net interest expense

	GROUP		COMPANY	
	2022 R 000	2021 R 000	2022 R 000	2021 R 000
Interest expensed at amortised cost				
Instalment sale contracts	752	710	-	-
Mortgage bonds and loans	6 707	7 878	-	-
Lease liabilities	7 544	8 330	-	-
Total finance expense	15 003	16 918	-	-
Interest income at amortised cost				
Other	(741)	(1 110)	(6)	-
Bank balance	(2 612)	(2 108)	(11)	(55)
Total finance income	(3 353)	(3 218)	(17)	(55)
Net interest expense	11 650	13 700	(17)	(55)

22 Taxation

	GROUP		COMPANY	
	2022 R 000	2021 R 000	2022 R 000	2021 R 000
Current taxation				
- current year	51 584	42 168	187	-
- prior years	165	-	-	-
Deferred taxation				
- current year	8 824	4 744	-	-
- acquisition of subsidiaries	1 509	(3 133)	-	-
- change in tax rate	(1 549)	-	-	-
Charge for the year	60 533	43 779	187	-
Comprising:				
South African normal taxation	41 203	24 506	187	-
Foreign taxes – United Kingdom and United States of America	19 330	19 273	-	-
Amount per statements of profit or loss	60 533	43 779	187	-
Deferred taxation recognised directly in other comprehensive income	(591)	-	-	-
Estimated taxation losses available for off set against future taxable income are as follows:				
Estimated taxation losses	490	22 231	-	-
Applied to reduce deferred taxation	(164)	(6 622)	-	-
Total	326	15 609	-	-

	GROUP		COMPANY	
	2022 %	2021 %	2022 %	2021 %
Reconciliation of rate of taxation				
Average taxation rate	23.5	23.5	28.0	28.0
Difference in rate of taxation due to:				
Impairments	-	-	10.5	(6.6)
Non-taxable income: dividend received	-	-	(37.7)	(19.8)
Non-taxable income: employment tax incentive	(0.1)	0.2	-	-
Non-deductible expenses: expenses not in production of income	1.9	1.2	0.1	0.3
Capital gains	-	0.1	-	-
Tax losses not recognised	(0.8)	0.3	(0.8)	(1.9)
Change in tax rate	(0.6)	-	-	-
Effective rate of taxation	23.9	25.3	0.1	0.0

23 Earnings per share

	GROUP	
	2022 R 000	2021 R 000
23.1 Basic earnings per share (cents)	330.0	217.3
The calculation of basic earnings per share is based on earnings of R190.2 million (2021 – R130.4 million) and a weighted average of 57.634 million (2021 – 59.999 million) shares in issue		
23.2 Diluted earnings per share (cents)	325.3	216.0
The calculation of diluted earnings per share is based on earnings of R190.2 million (2021 – R130.4 million) and a weighted average of 58.477 million (2021 – 60.361 million) shares in issue		
23.3 Headline earnings per share (cents)	339.2	217.9
The calculation of headline earnings per share is based on net profit of R195.4 million (2021 – R130.7 million) and a weighted average of 57.634 million (2021 – 59.999 million) shares in issue		
23.4 Diluted headline earnings per share (cents)	334.3	216.6
The calculation of diluted headline earnings per share is based on net profit of R195.4 million (2021 – R130.7 million) and a weighted average of 58.477 million (2021 – 60.361 million) shares in issue		
	2022 Number 000	2021 Number 000
23.5 Weighted average shares		
Opening shares in issue	58 425	61 371
Treasury share movement	426	473
Share buyback movement	(1 217)	(1 845)
Weighted average shares for the year	57 634	59 999
23.6 Diluted weighted average shares		
Weighted average shares for the year	57 634	59 999
Dilutive portion of remaining share options	843	362
Diluted weighted average shares for the year	58 477	60 361

	GROUP			
	2022 Gross R 000	2022 Net R 000	2021 Gross R 000	2021 Net R 000
23.7 Reconciliation between earnings and headline earnings:				
Earnings attributable to ordinary shareholders		190 208		130 362
Adjusted for:				
Loss on disposal of property, plant and equipment	7 316	5 268	518	373
Headline earnings attributable to ordinary shareholders	7 316	195 476	518	130 735

24 Dividends

A final dividend of 42 cents (2021 – nil) per share has been approved and declared subsequent to 31 March 2022, payable on 1 August 2022 to shareholders recorded in the register at close of business on 26 July 2022. This dividend has not been included as a liability in these financial statements.

25 Note to the cash flow statement

	GROUP		COMPANY	
	2022 R 000	2021 R 000	2022 R 000	2021 R 000
25.1 Reconciliation of profit before taxation to cash generated from operations				
Profit before taxation	252 609	175 834	117 823	33 736
Adjustments:				
Loss on disposal of property, plant and equipment	7 316	518	-	-
Profit on cancellation of leases	(3 409)	(1 623)	-	-
Effects of exchange rate changes	(1 933)	(4 224)	-	-
Impairment of investment in subsidiaries	-	-	41 663	-
Movement in employee incentive scheme loan	-	-	2 419	(7 952)
Share-based payment expenses	520	520	-	-
Depreciation of property, plant and equipment	32 022	28 897	-	-
Amortisation of intangibles	322	350	-	-
Depreciation of right-of-use assets	22 493	22 639	-	-
Dividend received	-	-	(158 629)	(23 908)
Finance income	(3 353)	(3 218)	(17)	(55)
Finance expense	15 003	16 918	-	-
Operating profit before working capital changes	321 590	236 611	3 259	1 821
Changes in working capital	(139 617)	70 436	(584)	17 653
Inventories	(154 492)	31 359	-	-
Trade and other receivables	(3 086)	(32 482)	(3 187)	19 915
Trade and other payables	17 961	71 559	2 603	(2 262)
Cash generated from operations	181 973	307 047	2 675	19 474

	GROUP		COMPANY	
	2022 R 000	2021 R 000	2022 R 000	2021 R 000
25.2 Taxation paid				
Taxation unpaid at beginning of year	(19 773)	(12 389)	-	-
Taxation charged to the statements of profit or loss and directly to other comprehensive income (excluding deferred taxation)	(51 749)	(42 168)	(187)	-
Acquisition of subsidiaries	-	(954)	-	-
Taxation unpaid at end of year	14 187	19 773	187	-
Total	(57 335)	(35 738)	-	-
25.3 Cash and cash equivalents, consisting of cash on hand and balance with banks				
Bank balance and cash	183 468	246 234	35 088	51 306
Bank overdraft	(15 245)	-	-	-
Total	168 223	246 234	35 088	51 306

The group and company consider that its cash and cash equivalents have a low credit risk based on the external ratings of the counterparties. Based on this there is no expected credit loss and hence no provision for impairment.

Credit insurance underwritten by Credit Guarantee Insurance Corporation of Africa Limited (CGIC) has been ceded to Nedbank Limited as security for banking facilities.

	GROUP		COMPANY	
	2022 R 000	2021 R 000	2022 R 000	2021 R 000
25.4 Interest-bearing borrowings				
Balance at beginning of year	100 569	128 337	-	-
Acquisition	30 366	624	-	-
Proceeds	12 470	24 746	-	-
Exchange difference on translation of foreign operations	(690)	(1 698)	-	-
Capital repayments	(25 057)	(51 440)	-	-
Balance at end of year	117 658	100 569	-	-
25.5 Lease liabilities				
Balance at beginning of year	90 443	113 405	-	-
New leases	9 477	9 640	-	-
Acquisition	899	-	-	-
Cancellation of leases	(11 887)	(10 206)	-	-
Exchange difference on translation of foreign operations	(1 347)	(3 025)	-	-
Capital repayments	(21 521)	(19 371)	-	-
Balance at end of year	66 064	90 443	-	-
25.6 Other liabilities				
Balance at beginning of year	13 893	35 383	-	-
Acquisition	-	12 255	-	-
Capital repayments	(13 893)	(33 745)	-	-
Balance at end of year	-	13 893	-	-

	GROUP		COMPANY	
	2022 R 000	2021 R 000	2022 R 000	2021 R 000
25.7 Long-term receivables				
Balance at beginning of year	12 109	19 232	-	-
Dividend – non-cash flow	(4 050)	(4 500)	-	-
Advances	-	-	1 259	-
Capital repayments	(1 774)	(2 623)	-	-
Balance at end of year	6 285	12 109	1 259	-

	GROUP		
	American Shutters (1)	Fluid Transfer Group (2)	2022 R 000
25.8 Business combinations			
The fair value of assets and liabilities assumed were as follows:			
Property, plant and equipment	1 443	10 477	11 920
Right-of-use assets	894	-	894
Deferred taxation asset	-	1 509	1 509
Inventories	10 072	20 754	30 826
Trade and other receivables	12 590	111 428	124 018
Bank balance and cash	2 680	6 444	9 124
Trade and other payables	(15 683)	(119 441)	(135 124)
Lease liabilities	(899)	-	(899)
Interest-bearing borrowings	-	(30 366)	(30 366)
Goodwill/(excess of fair value)	46 384	(465)	45 919
Total purchase price	57 481	340	57 821
Deduct bank balance on acquisition	(2 680)	(6 444)	(9 124)
Cash flow on acquisition net of cash acquired	54 801	(6 104)	48 697

	2022 R 000
Fair value of consideration transferred	
Amount settled in cash	57 821
Total fair value of consideration transferred	57 821
Goodwill on acquisition	45 919

The goodwill arising on the acquisition is attributable to the anticipated profitability of the business.

- (1) On 2 September 2021, the group purchased the entire issued share capital of American Shutters Proprietary Limited (**American Shutters**) for a cash purchase consideration of R57.4 million.

American Shutters is a major supplier of stylish door and window shutter systems that provides privacy, light control and security in various materials and finishes.

	2022 R 000
Revenue since acquisition date included in consolidated results for the year	34 687
Profit after taxation since acquisition date included in consolidated results for the year	4 759
Group revenue had the business combination been included for the entire year	2 456 809
Group profit after taxation had the business combination been included for the entire year	188 546

- (2) On 28 October 2021, the group purchased the entire share capital of Fluid Transfer Group Limited (**Fluid Transfer**) for a cash consideration of GBP1. The acquisition was purchased through Argent Industrial UK Limited, a 100% held subsidiary of Argent. The effective date of the transaction was 1 November 2021.

Fluid Transfer is the leading UK manufacturer of aviation refuelling dispensers and refuellers and is a supplier of marine refuelling systems and standard fuel tankers. The company has a global customer base and has been trading since 1967.

The rationale for the transaction is an opportunity to compliment the product range offered by Fuel Proof Limited, who are leaders in the field of fuel storage and supply systems, which will reduce their cost basis through shared resources thus increasing their margins and product range.

The managing director of Fluid Transfer has an option to acquire 20% of Fluid Transfer for an amount of GBP263 000. The option must be exercised before the net asset value of Fluid Transfer exceeds GBP1 315 000 and within five years from date of acquisition.

	2022 R 000
Revenue since acquisition date included in consolidated results for the year	102 193
Profit after taxation since acquisition date included in consolidated results for the year	13 584
Group revenue had the business combination been included for the entire year	2 537 877
Group profit after taxation had the business combination been included for the entire year	181 197

26 Employee benefits

Employees, including senior management and executive directors, participate in a share-based remuneration scheme. The scheme is equity settled. All shares allocated to the share option scheme are to be exercised during a five-year option period in five tranches. Should the option holder resign from the company prior to the option maturity date, the shares will not be issued. Payment of the strike price will therefore not be required, and options will be cancelled.

Summary of activity in share option plans:

	2022 Number 000	2021 Number 000	2022 Weighted exercise price R	2021 Weighted exercise price R
Outstanding at the beginning of the year	2 126	3 404	4.43	4.38
Granted during the year	111	418	4.62	4.47
Exercised during the year	(1 279)	(1 420)	4.31	4.34
Lapsed during the year	(111)	(276)	4.62	4.39
Outstanding at the end of the year	847	2 126	4.62	4.43

Outstanding options

	Exercise date within one year Number 000	Exercise date from two to five years Number 000	Exercise date after five years Number 000	Total Number 000
Options with exercise price R4.62	424	424	-	847
Outstanding at the end of the year	424	424	-	847

Total expenses of R0.520 million (2021 – R0.520 million) related to equity-settled share-based payment transactions.

The fair value of the share options at grant date is determined based on the Black-Scholes model. The model inputs were as follows

	Grant date 31 March 2019
Number of options granted (000)	2 118
Fair value at measurement date (R)	8.17
Share price at grant date (R)	4.62
Expected option lifetime (years)	5
Volatility %	22.88
Risk free % rate (based on national government bonds)	10.50

In determining share price volatility, consideration has been given to historical volatility as well as the expected option lifetime.

	GROUP	
	2022 R 000	2021 R 000
The amounts included in staff costs in respect of share-based payments	520	520

27 Segments

27.1 Business Segments

For management purposes the group is organised into three major operating divisions, namely manufacturing, steel trading and properties. These divisions are the basis on which the company reports its segment information. These segments are derived from the primary operating activity of the particular business. The group executive directors are the key operating decision makers.

The Argent group is predominately an industrial manufacturing business that manufactures branded consumer goods that are sold both locally and internationally. The branded goods are sold directly to the consumer via the group's broad footprint of companies based in all the major centres around South Africa and our businesses based in the United Kingdom and the United States of America. These goods are also sold to all the major retailers in South Africa and neighbouring countries as well as a range of independent agents.

Steel trading makes up the second biggest category in the group and this segment makes up a complete range of ferrous steel, aluminium and stainless steel products. This is a very competitive sector and the group's strategy is to supply as many value added products and services as possible, which include cut-to-length, blanking, tube manufacture, flame cutting etc. Steel products are also traded internally to the group's manufacturing businesses. The group has distribution centres that offer a combination of steel trading and the distribution of the group's manufactured products. These centres are regionally spread to optimise the group's service offering around the country.

The group also has an extensive property portfolio with seven properties valued at R220 million. Income is generated for the group by charging the companies market-related rentals.

Each of these operating segments are managed separately as each requires different technologies, marketing approaches and other resources. All inter-segment transfers are carried out at arm's length with prices based on those charged to unrelated customers in stand-alone sales of identical goods or services.

During the 2022 period, the group's revenue depended on a multiple of customers in the manufacturing and steel trading industries.

Segment report for the year ended 31 March 2022

	Manufacturing R 000	Steel trading R 000	Properties R 000	Consolidated R 000
Revenue from external sales	1 552 922	877 813	1 967	2 432 702
Inter-segment sales	138 625	116 722	22 322	
Total revenue	1 691 547	994 535	24 289	
Profit before taxation	159 644	79 902	13 063	252 609
Taxation				(60 533)
Profit for the year				192 076
Segment assets	1 307 990	415 592	256 097	1 979 679
Segment liabilities	372 253	202 693	127 336	702 282
Capital expenditure	51 690	1 899	2 553	56 142
Depreciation/amortisation	30 313	2 031	-	32 344
Depreciation on right-of-use assets	12 154	10 339	-	22 493
Interest paid on lease liabilities	2 155	5 389	-	7 544
Finance income	3 487	(134)	-	3 353
Finance expense excluding lease liabilities	1 094	84	6 281	7 459

Segment report for the year ended 31 March 2021

	Manufacturing R 000	Steel trading R 000	Properties R 000	Consolidated R 000
Revenue from external sales	1 315 537	650 236	187	1 965 960
Inter-segment sales	189 614	113 311	29 259	
Total revenue	1 505 151	763 547	29 446	
Profit before taxation	118 160	45 657	12 017	175 834
Taxation				(43 779)
Profit for the year				132 055
Segment assets	1 123 070	318 554	244 376	1 686 000
Segment liabilities	281 541	151 157	119 894	552 592
Capital expenditure	26 041	3 146	2 590	31 777
Depreciation/amortisation	27 277	1 970	-	29 247
Depreciation on right-of-use assets	12 300	10 339	-	22 639
Interest paid on lease liabilities	2 214	6 116	-	8 330
Finance income	2 600	384	234	3 218
Finance expense excluding lease liabilities	1 059	101	7 428	8 588

27.2 Geographical Segments

Segment report for the year ended 31 March 2022

	South Africa R 000	Rest of the world R 000	Consolidated R 000
Revenue from external sales	1 828 960	603 742	2 432 702
Profit before taxation	146 781	105 828	252 609
Taxation			(60 533)
Profit for the year			192 076
Segment assets	1 476 425	503 254	1 979 679
Segment liabilities	515 333	186 949	702 282
Capital expenditure	19 168	36 974	56 142
Depreciation/amortisation	18 434	13 910	32 344
Depreciation on right-of-use assets	13 672	8 821	22 493
Interest paid on lease liabilities	6 587	957	7 544
Finance income	3 219	134	3 353
Finance expense excluding lease liabilities	6 939	520	7 459

Segment report for the year ended 31 March 2021

	South Africa R 000	Rest of the world R 000	Consolidated R 000
Revenue from external sales	1 432 653	533 307	1 965 960
Profit before taxation	76 299	99 535	175 834
Taxation			(43 779)
Profit for the year			132 055
Segment assets	1 338 355	347 645	1 686 000
Segment liabilities	450 367	102 225	552 592
Capital expenditure	12 701	19 076	31 777
Depreciation/amortisation	18 309	10 938	29 247
Depreciation on right-of-use assets	13 400	9 239	22 639
Interest paid on lease liabilities	7 059	1 271	8 330
Finance income	3 001	217	3 218
Finance expense excluding lease liabilities	8 110	478	8 588

28 Related party transactions and balances

Details of transactions between the group and its related parties are disclosed below. Transactions that are eliminated on consolidation are not included in this note. Debtors, creditors and amounts owed by and to subsidiaries are detailed in the subsidiary note on page 80.

Certain directors are also directors of the following entities that lease certain land and buildings to the group. The amount of the rentals paid by the group for the year amounted to:

	GROUP		COMPANY	
	2022 R 000	2021 R 000	2022 R 000	2021 R 000
N W N Automotive Precision Engineering Proprietary Limited	5 464	9 014	-	-
Mercado Investments Proprietary Limited	1 770	1 609	-	-
CXT Manufacturing Proprietary Limited	2 787	2 521	-	-

Dividends received from subsidiary companies:

	COMPANY	
	2022 R 000	2021 R 000
American Shutters Proprietary Limited	3 500	-
Argent Steel Group Proprietary Limited	78 416	-
Fuel Proof Limited	24 188	-
OSA Door Parts Limited	29 025	-
Koch's Cut & Supply Steel Centre Proprietary Limited	1 500	-
Toolroom Services Proprietary Limited	12 000	-
Tricks Wrought Iron Services Proprietary Limited	-	23 908
Xpanda Security Proprietary Limited	10 000	-
Dividends received	158 629	23 908

Key management personnel compensation

Details of the compensation paid to the board of directors are disclosed in note 20 and details of shareholdings in the company are disclosed on page 81.

29 Guarantees and other commitments

	GROUP	
	2022 R 000	2021 R 000
29.1 The company's bankers hold guarantees issued by the company for facilities granted to its subsidiary companies.		
29.2 The group's bankers hold letters of guarantee in respect of performance bonds	9 190	4 465
29.3 Letters of credit issued by the company's bankers	17 097	2 911

30 Financial instruments and risk management

30.1 Categories of financial assets and liabilities

The carrying amounts and fair values of each category of financial assets and liabilities are as follows:

	GROUP		
	Financial instruments at fair value through profit or loss R 000	Financial instruments at amortised cost R 000	Total carrying amount R 000
2022			
Financial assets			
Other long-term receivables	-	1 259	1 259
BEE minority shareholder loan	5 026	-	5 026
Trade and other receivables	-	407 288	407 288
Cash and cash equivalents	-	183 468	183 468
	5 026	592 015	597 041
Financial liabilities			
Other financial liabilities	-	117 658	117 658
Bank overdraft	-	15 245	15 245
Trade and other payables	-	382 420	382 420
	-	515 323	515 323

	GROUP		
	Financial instruments at fair value through profit or loss R 000	Financial instruments at amortised cost R 000	Total carrying amount R 000
2021			
Financial assets			
Long-term receivables	-	3 453	3 453
BEE minority shareholder loan	8 656	-	8 656
Trade and other receivables	-	322 731	322 731
Forward exchange contracts	732	-	732
Cash and cash equivalents	-	246 234	246 234
	9 388	572 418	581 806
Financial liabilities			
Other financial liabilities	-	100 569	100 569
Other liabilities	12 255	-	12 255
Trade and other payables	-	246 826	246 826
	12 255	347 395	359 650

	COMPANY		
	Financial instruments at fair value through profit or loss R 000	Financial instruments at amortised cost R 000	Total carrying amount R 000
2022			
Financial assets			
Loans to subsidiaries	-	465 972	465 972
Long-term receivables	-	1 259	1 259
Employee share incentive scheme loan	6 792	-	6 792
Trade and other receivables	-	10 671	10 671
Cash and cash equivalents	-	35 088	35 088
	6 792	512 990	519 782
Financial liabilities			
Trade and other payables	-	6 478	6 478
	-	6 478	6 478

	COMPANY		
	Financial instruments at fair value through profit or loss R 000	Financial instruments at amortised cost R 000	Total carrying amount R 000
2021			
Financial assets			
Loans to subsidiaries	-	192 924	192 924
Employee share incentive scheme loan	14 716	-	14 716
Trade and other receivables	-	7 484	7 484
Cash and cash equivalents	-	51 306	51 306
	14 716	251 714	266 430
Financial liabilities			
Trade and other payables	-	3 875	3 875
	-	3 875	3 875

VAT receivable and prepayments are excluded from financial assets as they are not financial instruments. VAT payable and all payroll accruals are excluded from financial liabilities as they are not financial instruments.

30.2 Risk management

In the normal course of its operations, the group is exposed to currency, interest rate, liquidity, foreign currency and credit risk. This note presents information about the group's exposure to each of these risks, the group's objectives, policies and processes for measuring and managing risk, and the group's management of capital.

In order to manage these risks, the group has developed a comprehensive risk management process to facilitate control and monitoring. The directors have overall responsibility for the establishment and oversight of the group's risk management framework. Risk management is carried out by the board and management at operational level under policies approved by the directors. The group does not enter into any trade financial instruments, including derivative financial instruments (apart from forward exchange contracts).

30.3 Credit risk management

Credit risk is the risk of financial loss to the group if a customer or counterparty to a financial instrument fails to meet its contractual obligations. The group's credit risk arises due to cash deposits, cash equivalents, loans to related parties, other financial assets and trade receivables.

At 31 March 2022, the group did not consider there to be any significant concentration of credit risk which had not been adequately provided for because individual debtors are assessed on an individual basis. An adequate loss allowance based on the expected credit losses has been recognised.

Financial assets exposed to credit risk at year end were as follows:

	GROUP		COMPANY	
	2022 R 000	2021 R 000	2022 R 000	2021 R 000
Financial instruments				
Loans to subsidiaries	-	-	465 972	192 924
Employee share incentive scheme loan	-	-	6 792	14 716
Long-term receivables	6 285	12 109	1 259	-
Trade and other receivables	416 868	331 989	10 671	7 484
Forward exchange contracts	-	732	-	-
Impairment for trade receivables	(10 496)	(10 636)	-	-
Deposits	916	1 378	-	-
Cash and cash equivalents	183 468	246 234	35 088	51 306

Trade receivables comprises of a widespread customer base. Management evaluate credit risk relating to customers on an ongoing basis. Risk control assesses the credit quality of the customer, taking into account its financial position and past experience. Individual risk limits are set based on internal or external ratings in accordance with limits set by management. The utilisation of credit limits is regularly monitored. Credit guarantee insurance is purchased when deemed appropriate.

Refer to note 1.2 of accounting policies for significant judgements and estimates applied.

30.4 Foreign currency risk

The group operates internationally and is exposed to foreign exchange risk arising from currency exposures, primarily with respect to the US Dollar, British Pound and Euro. Foreign exchange risk arises from future commercial transactions, recognised assets and liabilities and new investments in foreign operations.

The group enters into forward exchange contracts from time to time. The contracts are entered into in order to manage the group's exposure to fluctuations in foreign currency exchange rates. The contracts are matched with anticipated future cash flows in foreign currencies. As at 31 March 2022, the group had the following exposure to forward exchange contracts:

Amount in foreign currency purchased		Forward exchange rate	Maturity date
USD	2 184 709	14.5768 – 16.375	1 April 2022 – 28 September 2022
EURO	1 336 690	16.7949 – 18.918	20 April 2022 – 15 August 2022

The company has certain investments in foreign operations, whose net assets are exposed to foreign currency translation risk. Currency exposure arising from the net assets of the company's foreign operations is managed primarily through holding cash denominated in the relevant foreign currency.

	GROUP	
	2022	2021
Closing exchange rates used for conversion of foreign balances were:		
USD	14.61	14.83
GBP	19.24	20.41
EUR	16.25	17.38
Average exchange rates used for conversion of foreign operations were:		
USD	14.94	16.24
GBP	20.33	21.31

Foreign currency denominated financial assets and liabilities which expose the group to currency risk are disclosed below. The amounts shown are those reported to key management translated into Rand at the closing rate.

	2022			2021		
	USD R 000	GBP R 000	EUR R 000	USD R 000	GBP R 000	EUR R 000
Financial liabilities	-	-	-	(1 841)	-	(3 593)
Total exposure	-	-	-	(1 841)	-	(3 593)

Sensitivity analysis

At year-end, the sensitivity of the net open exposure on the operating profit is as follows:

	2022			2021		
	USD R 000	GBP R 000	EUR R 000	USD R 000	GBP R 000	EUR R 000
Net exposure						
+ 10%	-	-	-	(184)	-	(359)
- 10%	-	-	-	184	-	359

30.5 Interest rate risk

The group is exposed to interest rate risk from long-term borrowings at variable rates. Fluctuations in interest rates impact on the value of the short term investments. Interest rate risks are not hedged.

Cash flow sensitivity analysis for variable instruments

An increase/decrease of 100 basis points in interest rates at the reporting date would have decreased/increased profit or loss by R0.938 million (2021 – R0.998 million). This analysis assumes that all other variables remain constant.

30.6 Liquidity risk

Liquidity risk is the risk that the group will not be able to meet its financial obligations as they fall due. The group's approach to managing liquidity risk is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the group's reputation.

The risk is managed through cash flow forecasts and ensuring that adequate borrowing facilities are maintained. In terms of the company's memorandum of incorporation, its borrowing powers are unlimited.

The following table details the group's remaining contractual maturity for its non-derivative financial liabilities. This table has been drawn up based on the undiscounted cash flows of financial liabilities based on the earliest date on which the group can be required to pay.

	GROUP				
	Current interest rate	Due in less than a year R 000	Due in one to two years R 000	Due in two to three years R 000	Due after four years R 000
2022					
Trade and other payables	0%	432 518	-	-	-
Overdraft facilities used	7.75%	15 245	-	-	-
Interest-bearing borrowings	7.0 – 8.1%	41 484	34 696	35 051	23 423
Lease liabilities	3.0 – 10.25%	26 182	18 345	13 460	21 974

	GROUP				
	Current interest rate	Due in less than a year R 000	Due in one to two years R 000	Due in two to three years R 000	Due after four years R 000
2021					
Trade and other payables	0%	279 433	-	-	-
Interest-bearing borrowings	6.75 – 8.2%	34 055	29 587	21 673	30 629
Lease liabilities	3.0 – 10.25%	28 558	28 511	20 721	34 314
Other liabilities	0%	-	13 893	-	-

	COMPANY				
	Current interest rate	Due in less than a year R 000	Due in one to two years R 000	Due in two to three years R 000	Due after four years R 000
2022					
Trade and other payables	0%	6 478	-	-	-

	COMPANY				
	Current interest rate	Due in less than a year R 000	Due in one to two years R 000	Due in two to three years R 000	Due after four years R 000
2021					
Trade and other payables	0%	3 875	-	-	-

30.7 Capital management

Capital is regarded as total equity. The group's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. The board of directors also determines the level of dividends paid to shareholders.

The group may purchase its own shares on the market, if the cash resources of the company are in excess of its requirements. In this regard the directors will take into account, inter alia, an appropriate capitalisation structure for the company and the long-term cash needs of the company and will ensure that any such utilisation is in the interest of the shareholders.

The group monitors capital on the basis of the ratio of interest-bearing borrowings to total equity. This ratio is calculated as interest-bearing borrowings divided by total equity as follows:

	GROUP		COMPANY	
	2022 R 000	2021 R 000	2022 R 000	2021 R 000
Interest-bearing borrowings	117 658	100 569	-	-
Total equity	1 277 397	1 133 408	692 981	617 531
Ratio of interest-bearing borrowings to total equity	9.2%	8.9%	0%	0%

30.8 Fair value measurement

Fair value measurement of financial and non-financial instruments

Assets and liabilities measured at fair value in the statement of financial position are grouped into three levels of a fair value hierarchy.

The three levels are defined based on the observability of significant inputs to the measurement, as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities;
- Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly; and
- Level 3: unobservable inputs for the asset or liability.

The following table sets out the group's assets and liabilities that are measured and recognised at fair value:

2022	Level 1 R 000	Level 2 R 000	Level 3 R 000	Total R 000
Recurring fair value measurements				
Financial assets:				
BEE minority shareholder loan	-	-	5 026	5 026
Total recurring financial assets	-	-	5 026	5 026
Non-financial assets:				
Land and buildings	-	-	269 624	269 624
Total recurring non-financial assets	-	-	269 624	269 624
Non-recurring fair value measurements				
Land and buildings held for sale	-	-	17 000	17 000
Total non-recurring fair value measurements	-	-	17 000	17 000

2021	Level 1 R 000	Level 2 R 000	Level 3 R 000	Total R 000
Recurring fair value measurements				
Financial assets:				
BEE minority shareholder loan	-	-	8 656	8 656
Forward exchange contracts	-	732	-	732
Total recurring financial assets	-	732	8 656	9 388
Non-financial assets:				
Land and buildings	-	-	282 871	282 871
Total recurring non-financial assets	-	-	282 871	282 871

The group has measured land and buildings at fair value on a non-recurring basis as a result of the reclassification of land and buildings as held for sale.

There have been no transfers between Level 1 and Level 2 recurring fair value measurements during 2021 and 2022.

The group's policy is to recognise transfers into and out of the different fair value hierarchy levels at the date the event or change in circumstances that caused the transfer occurred.

Measurement of fair value of financial and non-financial instruments

The group's finance team performs valuations of financial items for financial reporting purposes, including Level 3 fair values, in consultation with third party valuation specialists for complex valuations. Valuation techniques are selected based on the characteristics of each instrument, with the overall objective of maximising the use of market-based information. The finance team reports directly to the financial director (FD) and to the audit and risk committee. Valuation processes and fair value changes are discussed among the audit and risk committee and the valuation team at least every year, in line with the group's reporting dates. The valuation techniques used for instruments categorised in Level 2 and 3 are described below.

Foreign currency forward contracts (Level 2)

The group's foreign currency forward contracts are not traded in active markets. These have been fair valued using observable forward exchange rates and interest rates corresponding to the maturity of the contract. The effects of non-observable inputs are not significant for foreign currency forward contracts.

BEE minority shareholder loan (Level 3)

The fair value of the loan (note 6) was based on unobservable inputs. The fair value has been calculated by discounting the loan at a market-related interest rate and with reference to the underlying value of the shares.

The reconciliation of the carrying amounts of financial assets classified within Level 3 is as follows:

	GROUP	
	2022 R 000	2021 R 000
Opening balance	8 656	12 737
Cash inflow	(4 050)	(4 502)
Recognised in profit or loss		
Fair value adjustment	420	421
BEE minority shareholder loan	5 026	8 656

Land and Buildings (Level 3)

The group's land and buildings is estimated based on appraisals performed by the directors. The valuation processes and fair value changes are reviewed by the board of directors and audit and risk committee at each reporting date.

The fair values of the land and buildings is estimated using an income approach which capitalises the estimated rental income stream, net of projected operating costs, using a discount rate derived from market yields and takes into account the type of property and the property's location.

The most significant inputs, all of which are unobservable, are the estimated rental value and the discount rate. The estimated fair value increases if the discount rate (market yields) decline. Rental base range is R31.4 to R63 per square metre (2021 – R31.4 to R63). Expense ratio range is from 10% to 38% (2021 – 7.6% to 38%).

A 1% increase or decrease in the discount rate will impact the fair value by R2.9 million (2021 – R2.1 million). A 1% increase or decrease in the rental rates will impact the fair value by R2.1 million (2021 – R2.3 million).

The assumed discount rates applied for the future income streams range between 10.1% and 10.7% (2021 – 9.7% and 11.6%).

The reconciliation of the carrying amounts of financial liabilities classified within Level 3 is as follows:

	GROUP	
	2022 R 000	2021 R 000
Opening balance	282 871	288 426
Additions	5 952	3 085
Disposals	(3 304)	(5 024)
Reclassification to non-current assets held for sale	(17 000)	-
Recognised in other comprehensive income		
Exchange difference on translation of foreign operation	(225)	(2 624)
Recognised in profit or loss		
Revaluation	2 188	-
Depreciation	(858)	(992)
Land and buildings	269 624	282 871

The following table sets out the company's assets that are measured and recognised at fair value:

2022	Level 1 R 000	Level 2 R 000	Level 3 R 000	Total R 000
Recurring fair value measurements				
Financial assets:				
Employee share incentive scheme loan	-	-	6 792	6 792
Total recurring financial assets	-	-	6 792	6 792

Employee share incentive scheme loan (Level 3)

The fair value of the loan (note 7) is linked to the market price of shares in Argent Industrial Limited. The fair value of the employee share incentive scheme loan has been fair valued based on observable market share prices of Argent Industrial Limited.

The reconciliation of the carrying amounts of financial assets classified within Level 3 is as follows:

	COMPANY	
	2022 R 000	2021 R 000
Opening balance	14 716	12 922
Recognised in profit or loss		
Share options exercised	(5 505)	(6 158)
Fair value adjustment	(2 419)	7 952
Employee share incentive scheme loan	6 792	14 716

31 Going concern

No material uncertainties have been identified in relation to the ability of the company and group to remain going concerns for at least the next 12 months. The directors thus believe that the company and group are in a sound financial position and that they will continue to operate as going concerns for the foreseeable future.

As such, the financial statements have been prepared on the going concern basis. This presumes the realisation of assets and settlement of liabilities, contingent liabilities and commitments will occur in the ordinary course of business.

32 Events after the reporting period

No material facts or circumstances have occurred between the accounting date and the date of this report.

SUBSIDIARY COMPANIES

NAME OF SUBSIDIARY All Proprietary Limited and incorporated in South Africa unless otherwise stated	Issued stated capital in Rand unless otherwise stated	% held by Argent 2022	Shares at cost less impairments R 000	% held by Argent 2021	Shares at cost less impairments R 000	Loan owing to Argent by subsidiary R 000	Loan owing by Argent to subsidiary R 000	Loan owing to Argent by subsidiary R 000	Loan owing by Argent to subsidiary R 000	Related party debtor R 000	Related party debtor R 000	Main business
Allan Maskew	100	100	-	100	-	-	5	7 078	-	-	22	A
American Shutters	100	100	57 480	-	-	-	-	-	-	137	-	A
Argent Industrial Engineering *	100	55	-	55	-	-	-	-	-	254	348	A
Argent Industrial Investments	3 300	100	1 912	100	1 912	5 514	-	-	-	-	-	C
Argent Industrial UK (Incorporated in England)	GBP100	100	-	100	-	99 825	-	47 750	-	-	-	A
Argent Steel Group	20 136 169	100	-	100	12 786	-	-	-	77 282	-	72	A
Burbage Iron Craft (Incorporated in England)	GBP100	100	11 790	100	11 790	-	-	-	-	-	-	A
Cannock Gates (Incorporated in England)	GBP100	100	5 000	100	5 000	-	-	-	-	-	-	A
Castor & Ladder	100	100	13 798	100	13 798	27 940	-	21 280	-	408	175	A
Fluid Transfer Group (Incorporated in England)	GBP31 508	100	-	-	-	-	-	-	-	-	-	A
Fuel Proof (Incorporated in England)	GBP100	100	110 186	100	110 186	-	-	-	-	-	-	A
Gammid Group	1 000	100	-	100	-	31 898	-	29 038	-	69	-	B
Hendor Mining Supplies	100	100	-	100	-	10 237	-	14 898	-	196	169	A
Jetmaster	11 960	100	25 100	100	25 100	2 828	-	6 308	-	91	113	A
Koch's Cut & Supply Steel Centre	100	100	5 300	100	5 300	-	5 899	-	7 559	199	68	A
KZN Steel Office Manufacturers	100	100	-	100	-	-	1 254	-	272	6 198	2 636	A
Megamix	100	100	-	100	-	10 183	-	10 183	-	800	721	A
Mngou Suppliers *	1 000	49	-	49	-	1	-	1	-	-	-	A
New Joulès Manufacturing	1 000	100	-	100	-	8 350	-	8 350	-	6	4	A
New Joulès Engineering North America Inc.(Incorporated in America)	USD1 000	100	6 247	100	6 247	-	-	-	-	-	-	A
OSA Door Parts (Incorporated in England)	GBP100	100	49 572	100	49 572	-	-	-	-	-	-	A
Partington Engineering (Incorporated in England)	GBP100	100	-	100	-	-	-	-	-	-	-	A
Phoenix Steel Group	100	100	-	100	-	89 235	-	104 115	-	558	373	B
Pro Crane Services	100	75	6 757	75	6 757	-	-	-	-	195	152	A
Roll-Tec Safety (Incorporated in England)	GBP12	100	8 135	100	8 135	-	-	-	-	-	-	A
Rifumo Concepts *	300	49	-	49	-	-	-	33	-	-	-	A
Toolroom Services	90	100	-	100	28 876	-	16 748	-	2 474	-	194	A
Tricks Wrought Iron Services	100	100	19 409	100	19 409	-	1 000	-	-	(26)	(28)	A
Xpanda Security	51 300	100	50 108	100	50 108	13 937	-	31 477	-	997	537	A
Total			370 794		354 976	299 948	24 906	280 511	87 587	10 082	5 556	

* Argent Industrial Limited (the company) has control over these entities as the company is able to elect the board of members and therefore direct the relevant activities of the investees, and has the ability to use its power to affect the amount of the investor's returns.

Refer to note 8 for additional information.

Main Business: A = Manufacturing B = Steel trading C = Properties

ANALYSIS OF SHAREHOLDERS/BENEFICIAL HOLDERS

AS AT 31 MARCH 2022

	NUMBER OF SHARES HELD		% OF TOTAL ISSUED SHARES	
	2022	2021	2022	2021
Directors' direct	3 888 325	3 509 444	6.79	5.80
Directors' indirect	2 733 472	8 841 432	4.78	14.60
Pension, provident funds, insurance companies and other corporate bodies	43 795 092	41 828 027	76.51	69.08
Individuals:				
- holders of 5 000 or more shares	5 382 068	5 234 894	9.40	8.65
- holders of less than 5 000 shares	1 440 281	1 136 908	2.52	1.87
Total	57 239 238	60 550 705	100	100

SHAREHOLDERS IN EXCESS OF FIVE PERCENT

AS AT 31 MARCH 2022

	NUMBER OF SHARES	%
Morgan Stanley and Company	13 494 459	23.58
Giflo Trading Proprietary Limited	6 019 999	10.52
Clearstream Banking S.A Luxembourg	5 084 266	8.88
Government Employees Pension Fund	4 223 039	7.38

DIRECTORS' SHAREHOLDING

AS AT 31 MARCH 2022

	2022 NUMBER OF SHARES HELD			2021 NUMBER OF SHARES HELD		
	Direct	Indirect	Total	Direct	Indirect	Total
CD Angus	-	-	-	-	-	-
Ms SJ Cox	1 258 648	346 694	1 605 342	1 239 252	274 854	1 514 106
PA Christofides	-	-	-	-	-	-
TR Hendry	1 884 541	1 640 083	3 524 624	1 765 052	1 657 219	3 422 271
AF Litschka	340 036	346 695	686 731	150 040	274 854	424 894
K Mapasa	5 100	-	5 100	5 100	-	5 100
T Scharrighuisen	400 000	400 000	800 000	350 000	6 634 505	6 984 505
Total	3 888 325	2 733 472	6 621 797	3 509 444	8 841 432	12 350 876

There were no changes in directors' shareholding after year-end and prior to the issue of the annual report.

JSE LIMITED PERFORMANCE

AS AT 31 MARCH 2022

	2022	2021	2020	2019	2018
Number of shares traded (000)	11 154	11 596	29 413	24 913	30 918
% of total issued shares	19.5	19.2	45.3	30.2	34.9
Value of shares traded (R 000)	138 046	72 251	164 554	100 907	124 090
Prices quoted (cents per share)					
- highest	1 599	999	620	590	500
- lowest	880	390	401	307	360
- closing	1 348	910	495	535	400
Market capitalisation at year-end (R 000)	771 585	551 011	321 332	440 674	354 752
Price earnings ratio	4.1	4.2	3.8	5.3	(1.9)
Earnings yield	24.5	23.9	26.4	18.9	(51.3)
Dividend yield	-	-	-	1.9	5.3

SUMMARY OF SHAREHOLDER SPREAD

AS AT 31 MARCH 2022

	2022				2021			
	MEMBERS		SHARES		MEMBERS		SHARES	
Shareholder type	Number	%	Number	%	Number	%	Number	%
Public	2 643	99.66	49 770 246	86.95	2 128	99.48	46 074 052	76.09
Directors	8	0.30	6 621 797	11.57	10	0.47	12 350 876	20.40
Share option scheme	1	0.04	847 195	1.48	1	0.05	2 125 777	3.51
Total	2 652	100	57 239 238	100	2 139	100	60 550 705	100

SHAREHOLDERS' DIARY

Financial year-end: March
Annual general meeting: 19 August 2022

REPORTS AND PROFIT STATEMENT

Half-year interim report: September
Financial statements published: June
Website address: www.argent.co.za
Email address: argent10@argent.co.za

NOTICE OF ANNUAL GENERAL MEETING

Notice is hereby given of the annual general meeting (AGM) of shareholders of Argent Industrial Limited (Argent or the company or the group) to be held in the company's boardroom at First Floor, Ridge 63, 8 Sinembe Crescent, La Lucia Ridge Office Estate, Umhlanga, on Friday, 19 August 2022 at 11:00.

Purpose

The purpose of the AGM is to transact the business set out in the agenda below.

Agenda

- 1. Presentation of the audited annual financial statements of the company, including the reports of the directors and the audit and risk committee for the year ended 31 March 2022. The annual report, containing the complete audited annual financial statements, is available at www.argent.co.za or can be obtained from the company's registered office, at no charge, during office hours.**
- 2. To consider and, if deemed fit, approve, with or without modification, the following resolutions:**

Note:

For any of the ordinary resolutions numbers 1 to 10 to be adopted, more than 50% of the voting rights exercised on each such ordinary resolution must be exercised in favour thereof.

- 2.1 Ordinary resolution number 1: Re-election of Mr K Mapasa as an independent non-executive director**

"Resolved that Mr K Mapasa, who retires by rotation in terms of the memorandum of incorporation and, being eligible and offering himself for re-election, be and is hereby re-elected as an independent non-executive director."

Mr K Mapasa's abbreviated curriculum vitae can be viewed on page 7 of the annual report.
- 2.2 Ordinary resolution number 2: Re-election of Mr PA Christofides as an independent non-executive director**

"Resolved that Mr PA Christofides, who retires by rotation in terms of the memorandum of incorporation and, being eligible and offering himself for re-election, be and is hereby re-elected as an independent non-executive director."

Mr PA Christofides' abbreviated curriculum vitae can be viewed on page 7 of the annual report.
- 2.3 Ordinary resolution number 3: Re-election of Mr CD Angus as an independent non-executive director**

"Resolved that Mr CD Angus, who retires by rotation in terms of the memorandum of incorporation and, being eligible and offering himself for re-election, be and is hereby re-elected as an independent non-executive director."

Mr CD Angus's abbreviated curriculum vitae can be viewed on page 7 of the annual report.

The reason for ordinary resolutions numbers 1 to 3 (inclusive) is that the memorandum of incorporation of the company, the Listings Requirements of the JSE Limited (JSE Listings Requirements) and, to the extent applicable, the South African Companies Act No. 71 of 2008, as amended (the Companies Act), require that a component of the non-executive directors rotate at every annual general meeting of the company and, being eligible, may offer themselves for re-election as directors.

2.4 Ordinary resolution number 4: Appointment of Mr PA Christofides as a member of the audit and risk committee of the company

"Resolved that Mr PA Christofides, an independent non-executive director of the company and being eligible, subject to the approval of ordinary resolution number 2, be and is hereby appointed as a member of the audit and risk committee of the company, as recommended by the board of directors of the company (the board), until the next annual general meeting of the company."

2.5 Ordinary resolution number 5: Appointment of Mr K Mapasa as a member of the audit and risk committee of the company

"Resolved that Mr K Mapasa, an independent non-executive director of the company and being eligible, subject to the approval of ordinary resolution number 1, be and is hereby appointed as a member of the audit and risk committee of the company, as recommended by the board, until the next annual general meeting of the company."

2.6 Ordinary resolution number 6: Appointment of Mr CD Angus as a member of the audit and risk committee of the company

"Resolved that, Mr CD Angus, an independent non-executive director of the company and being eligible, subject to the approval of ordinary resolution number 3, be and is hereby appointed as a member of the audit and risk committee of the company, as recommended by the board, until the next annual general meeting of the company."

The reason for ordinary resolution numbers 4 to 6 (inclusive) is that the company, being a public listed company, must appoint an audit committee and the

Companies Act requires that the members of such audit committee be appointed, or re-appointed, as the case may be, at each annual general meeting of the company. For the avoidance of doubt, all references to the audit and risk committee of the company is a reference to the audit committee as contemplated in the Companies Act.

2.7 Ordinary resolution number 7: Re-appointment of auditor

“Resolved that BDO South Africa Inc. be and is hereby re-appointed as the independent auditor of the company and its subsidiaries (**the group**) and that Mrs G Bass, be and is hereby appointed as the designated auditor to hold office for the ensuing year on the recommendation of the audit and risk committee of the company.”

The reason for ordinary resolution number 7 is that the company, being a public listed company, must have its financial results audited and such auditor must be appointed or re-appointed, as the case may be, each year at the annual general meeting of the company as required by the Companies Act.

2.8 Ordinary resolution number 8: Unissued shares placed under control of the directors

“Resolved that the unissued shares in the company, limited to 5% of the number of shares in issue as at 31 March 2022, be and are hereby placed under the control of the directors until the next annual general meeting and that they be and are hereby authorised to issue any such shares as they may deem fit, subject to the provisions of the Companies Act, the memorandum of incorporation and the provisions of the JSE Listings Requirements, save that the aforementioned 5% limitation shall not apply to any shares issued in terms of a rights offer.”

The reason for ordinary resolution number 8 is that the board requires authority from shareholders in terms of the memorandum of incorporation to issue shares in the company. This general authority, once granted, allows the board from time to time, when it is appropriate to do so, to issue ordinary shares as may be required, inter alia, in terms of capital raising exercises and to maintain a healthy capital adequacy ratio. This general authority is subject to the restriction that it is limited to 5% of the number of shares in issue as at 31 March 2022.

2.9 Ordinary resolution number 9: Non-binding advisory vote on Argent’s remuneration policy

“Resolved that the company’s remuneration policy, as set out in annexure A to the notice of AGM, be and is hereby endorsed by way of a non-binding advisory vote.”

The reason for ordinary resolution number 9 is that the King IV Report on Corporate Governance™ for South Africa, 2016 (King IV) recommends, and the JSE Listings Requirements require, that the remuneration policy of a company be tabled for a non-binding advisory vote by shareholders at each annual general meeting of such company. This enables shareholders to express their views on the remuneration policy adopted. The effect of ordinary resolution number 9, if passed, will be to endorse the company’s remuneration policy. Ordinary resolution number 9 is of an advisory nature only and failure to pass this resolution will therefore not have any legal consequences relating to existing remuneration agreements. However, the board will take the outcome of the vote into consideration when considering amendments to the company’s remuneration policy.

2.10 Ordinary resolution number 10: Non-binding advisory vote on Argent’s implementation report on the remuneration policy

“Resolved that the company’s implementation report with regard to its remuneration policy, as set out on pages 88 to 95 of this annual report, be and is hereby endorsed by way of a non-binding advisory vote.”

The reason for ordinary resolution number 10 is that King IV recommends, the JSE Listings Requirements require, that the implementation report on a company’s remuneration policy be tabled for a non-binding advisory vote by shareholders at each annual general meeting of the company. This enables shareholders to express their views on the implementation of a company’s remuneration policy. The effect of ordinary resolution number 10, if passed, will be to endorse the company’s implementation report in relation to its remuneration policy. Ordinary resolution number 10 is of an advisory nature only and failure to pass this resolution will therefore not have any legal consequences relating to existing remuneration agreements. However, the board will take the outcome of the vote into consideration when considering amendments to the company’s remuneration policy and its implementation.

Should 25% or more of the votes exercised in respect of ordinary resolution number 9 and/or ordinary resolution number 10 be against either resolution, the board will engage with shareholders through dialogue, requesting written submissions or otherwise, in order to address shareholder concerns.

3 To consider and, if deemed fit, approve, with or without modification, the following special resolutions:

Note:

For the special resolutions to be adopted, at least 75% of the voting rights exercised on each special resolution must be exercised in favour thereof.

3.1 Special Resolution number 1: Remuneration of non-executive directors

"Resolved, in terms of section 66(9) of the Companies Act, that the company be and is hereby authorised to remunerate its non-executive directors for their services as non-executive directors on the basis set out below, provided that this authority will be valid until the next annual general meeting of the company:

	CURRENT ANNUAL REMUNERATION				
	Board member R 000	Committee member			Total R 000
		Audit and risk R 000	Remuneration R 000	Nomination R 000	
Non-executive directors					
CD Angus	68	1	1	1	71
PA Christofides	68	1	1	1	71
K Mapasa	74	1	1	1	77
T Scharrighuisen	251	-	-	-	251
	PROPOSED ANNUAL REMUNERATION WITH EFFECT FROM 1 APRIL 2022				
	Board member R 000	Committee member			Total R 000
		Audit and risk R 000	Remuneration R 000	Nomination R 000	
Non-executive directors					
CD Angus	72	1	1	1	76
PA Christofides	72	1	1	1	76
K Mapasa	79	1	1	1	82
T Scharrighuisen	269	-	-	-	269

The reason for special resolution number 1 is for the company to obtain the approval of shareholders by special resolution for the payment of remuneration to its non-executive directors in accordance with the requirements of the Companies Act.

The effect of special resolution number 1 is that the company will be able to pay its non-executive directors for the services they render to the company as non-executive directors without requiring further shareholder approval until the next annual general meeting of the company.

3.2 Special Resolution number 2: Inter-company loans

"Resolved, in terms of section 45(3)(a)(ii) of the Companies Act, as a general approval, that the board be and is hereby authorised to approve that the company provides any direct or indirect financial assistance (financial assistance will herein have the meaning attributed to it in section 45(1) of the Companies Act) that the board may deem fit to any company or corporation that is related or inter-related (related or inter-related will herein have the meaning attributed to it in section 2 of the Companies Act) to the company, on the terms and conditions and for amounts that the board may determine, provided that the aforementioned approval shall be subject to the provisions of section 45(3)(b) of the Companies Act and shall be valid until the date of the next annual general meeting of the company."

The reason for and effect of special resolution number 2 is to grant the directors of the company the authority until the next annual general meeting to provide financial assistance to any company or corporation which is related or inter-related to the company. This means that the company is authorised to grant loans to its subsidiaries and to guarantee the debt of its subsidiaries. The company has satisfied the solvency and liquidity test as defined in section 4 of the Companies Act.

3.3 Special Resolution number 3: Share repurchases by the company and its subsidiaries

"Resolved as a special resolution that the company, and the subsidiaries of the company, be and are hereby authorised, as a general approval, to repurchase or purchase, as the case may be, any of the shares issued by the company, upon

such terms and conditions and in such amounts as the directors of the company and of its subsidiaries may from time to time determine, but subject to the provisions of sections 46 and 48 of the Companies Act, the memorandum of incorporation, the JSE Listings Requirements and, if applicable, the requirements of any other stock exchange on which the shares of the company may be quoted or listed, namely that:

- the general repurchase of the shares may only be implemented through the order book operated by the JSE trading system and done without any prior arrangement between the company and the counterparty;
- this general authority shall only be valid until the next annual general meeting of the company, provided that it shall not extend beyond 15 months from the date of this resolution;
- an announcement must be published on SENS as soon as the company or its subsidiaries have acquired shares constituting, on a cumulative basis, 3% of the number of shares in issue prior to the repurchase, pursuant to which the aforesaid 3% threshold is reached, containing full details thereof, as well as for each 3% in aggregate of the initial number of shares repurchased thereafter;
- the general authority to repurchase is limited to a maximum of 20%, in aggregate in any one financial year, of the company's issued share capital at the time the authority is granted;
- a resolution has been passed by the board approving the repurchase and confirming that the company has satisfied the solvency and liquidity test as defined in the Companies Act and that since the solvency and liquidity test was applied there have been no material changes to the financial position of the group;
- the general repurchase is authorised by the memorandum of incorporation;
- repurchases must not be made at a price more than 10% above the weighted average of the market value of the shares for five business days immediately preceding the date that the transaction is affected. The JSE should be consulted for a ruling if the company's securities have not traded in such five-business day period;
- the company may, at any point in time, only appoint one agent to effect any repurchase(s) on the company's behalf; and
- the company may not effect a repurchase during any prohibited period as defined in terms of the JSE Listings Requirements unless a repurchase programme has been submitted to the JSE in writing and executed by an independent third party, as contemplated in terms of paragraph 5.72(h) of the JSE Listings Requirements."

The reason for and effect of special resolution number 3 is to grant the directors a general authority in terms of the memorandum of incorporation and the JSE Listings Requirements for the repurchase by the company and its subsidiaries of shares issued by the company on the basis reflected in special resolution number 3.

In terms of section 48(2)(b)(i) of the Companies Act, subsidiaries may not hold more than 10%, in aggregate, of the number of the issued shares of a company. For the avoidance of doubt, (i) a pro rata repurchase by the company from all its shareholders and (ii) intra-group repurchases by the company of its shares from wholly-owned subsidiaries, share incentive schemes pursuant to Schedule 14 of the JSE Listings Requirements and/or non-dilutive share incentive schemes controlled by the company, where such repurchased shares are to be cancelled, will not require shareholder approval, save to the extent as may be required by the Companies Act.

Information relating to the special resolutions

1. The directors of the company or its subsidiaries will only utilise the general authority to repurchase shares of the company, as set out in special resolution number 3, to the extent that the directors, after considering the maximum shares to be repurchased, are of the opinion that the position of the group would not be compromised as to the following:
 - the company and the group's ability, in the ordinary course of business, to pay its debts for a period of 12 months after the date of this notice of AGM and for a period of 12 months after the repurchase;
 - the consolidated assets of the company and group (fairly valued) will, at the time of this notice of AGM and at the time of making such determination, and for a period of 12 months thereafter, be in excess of the consolidated liabilities of the company and group (fairly valued). The assets and liabilities should be recognised and measured in accordance with the accounting policies used in the latest audited annual financial statements of the group;
 - the ordinary capital and reserves of the company and the group, after the repurchase, will remain adequate for the purpose of the business of the group for a period of 12 months after this notice of AGM and after the date of the share repurchase; and
 - the working capital available to the group after the repurchase will be sufficient for the group's ordinary business purposes for a period of 12 months after the date of the notice of the AGM and for 12 months thereafter and/or after the date of the repurchase.

2. General information in respect of major shareholders, material changes and the stated capital of the company can be found on pages 81 to 82 of the annual report.
3. The directors of the company, whose names are reflected on page 7 of the annual report, collectively and individually accept full responsibility for the accuracy of the information given and certify that to the best of their knowledge and belief there are no facts that have been omitted which would make any statement false or misleading, and that all reasonable enquiries to ascertain such facts have been made and that the notice of AGM contains all information required by law and the JSE Listings Requirements.

VOTING

1. The date on which shareholders must be recorded as such in the share register maintained by the transfer secretaries of the company (the Share Register) for purposes of being entitled to receive this notice is Friday, 17 June 2022.
2. The date on which shareholders must be recorded in the share register for purposes of being entitled to attend and vote at this AGM is Friday, 12 August 2022. The last date to trade will be Monday, 8 August 2022.
3. Meeting participants will be required to provide proof of identification to the reasonable satisfaction of the chairman of the AGM and must accordingly bring a copy of their identity document, passport, or drivers' license. If in doubt as to whether any document will be regarded as satisfactory proof of identification, meeting participants should contact the transfer secretaries for guidance.
4. Shareholders entitled to attend and vote at the AGM may appoint one or more proxies to attend, speak and vote thereat in their stead. A proxy need not be a shareholder of the company. A form of proxy, which sets out the relevant instructions for its completion, is enclosed for use by certificated shareholders or own-name registered dematerialised shareholders who wish to be represented at the AGM. Completion of a form of proxy will not preclude such shareholder from attending and voting (in preference to that shareholder's proxy) at the AGM.
5. The instrument appointing a proxy and the authority (if any) under which it is signed must reach the transfer secretaries of the company at the address given below by no later than 11:00 on Wednesday, 17 August 2022.
6. Dematerialised shareholders, other than own-name registered dematerialised shareholders, who wish to attend the AGM in person, will need to request their Central Securities Depository Participant (CSDP) or broker to provide them with the necessary authority in terms of the custody agreement entered into between such shareholders and the CSDP or broker.
7. Dematerialised shareholders, other than own-name registered dematerialised shareholders, who are unable to attend the AGM and who wish to be represented thereat, must provide their CSDP or broker with their voting instructions in terms of the custody agreement entered into between themselves and the CSDP or broker in the manner and time stipulated therein.
8. Shareholders present in person, by proxy or by authorised representative shall, on a show of hands, have one vote each and, on a poll, will have one vote in respect of each share held.

By order of the board



Mr Jaco Dauth

Company Secretary
29 June 2022
Umlhanga

Registered office

First floor, Ridge 63,
8 Sinembe Crescent,
La Lucia Ridge Office Estate, 4019
(PO Box 5108, Sinembe Park, La Lucia
Ridge Office Estate, 4019)

Transfer secretaries

JSE Investor Services Proprietary Limited
13th floor, Rennie House,
19 Ameshoff Street,
Johannesburg, 2001
(PO Box 4844, Johannesburg, 2000)

ANNEXURE A: ARGENT INDUSTRIAL LIMITED REMUNERATION POLICY

This report comprises four sections:

Part 1 – Background statement

Part 2 – Remuneration policy

Part 3 – Implementation of remuneration policy

Part 4 – Non-executive remuneration

Part 1. Background statement

The Argent remuneration committee (committee) is pleased to present the remuneration report for the year ended 31 March 2022. Since we presented the remuneration policy to shareholders in 2018, no material changes were made to the policy or its implementation. The committee considered the impact of the King IV on remuneration which has further enhanced the disclosure in this report. The committee also considered the voting outcomes on the 2021 remuneration policy (100% in favour) and is satisfied that its policies are aligned with sound governance principles.

Notwithstanding the decentralised and diversified nature of the group, and the geographic spread of its operations, the remuneration policy is administered and driven centrally by the remuneration committee. The committee provides oversight on senior executive remuneration in the subsidiaries and the measurement of set targets against actual performance as well as the share incentive awards. This report details the remuneration policy and implementation thereof for senior management, executive directors as well as fees paid to non-executive directors and details of the share incentive plans used by the group.

The group's performance for the year under review has again been most gratifying with ongoing operations reflecting sustained growth thanks to Argent's focus on its strategy to "unlock intrinsic value" in the group.

Shareholder engagement

The group's remuneration policy and the implementation thereof are placed before shareholders for consideration and approval under the terms of an advisory non-binding vote at the 2022 annual general meeting (AGM) as provided for in the Listings Requirements of the JSE Limited (JSE Listing Requirements) and recommended by King IV.

In the event that 25% or more of the votes cast are recorded against either the remuneration policy resolution or the implementation resolution, then:

- Executive management will engage shareholders to ascertain the reasons for dissenting vote. Where considered appropriate, members of the committee may participate in these engagements with selected shareholders.
- Executive management will make specific recommendations to the committee as to how the legitimate and reasonable objections of shareholders might be addressed, either in the group's remuneration policy or through changes on how the remuneration policy is implemented.

Part 2. Remuneration policy

Key principles of the remuneration philosophy

The key principles that shape the policy are:

- A critical success factor of the group is its ability to attract, retain and motivate the entrepreneurial talent required to achieve its operational and strategic objectives. Both short- and long-term incentives are used to this end.
- Delivery-specific short-term incentives (STI) are viewed as strong drivers of performance. A significant portion of senior management's reward is variable and is determined by the achievement of realistic profit and return targets together with an individual's personal contribution to the growth and development of the group. Only when warranted by exceptional circumstances, special bonuses may be considered as additional awards.
- Long-term incentives (LTI) align the objectives of management, shareholders and other stakeholders for a sustainable period.
- Compliance with all applicable laws and regulatory codes.

Policy principles

- The committee functions as a subcommittee of the board in terms of an agreed mandate and evaluates and monitors the group's remuneration philosophy and practices to ensure consistency with governance principles and corporate strategy. The committee further implements the board-approved remuneration policy to ensure:

- Salary structures and policies, as well as cash and share-based incentives, motivate superior performance and are linked to realistic performance objectives that support sustainable long-term business growth;
- Stakeholders are able to make an informed assessment of reward practices and governance processes; and
- Compliance with all applicable laws and regulatory codes.

Governance and the remuneration committee

Board responsibility

The board carries ultimate responsibility for the remuneration policy. The remuneration committee operates in terms of a board-approved mandate. The board will, when required, refer matters for shareholder approval, for example:

- new and/or amended share-based incentive schemes;
- non-executive board and committee fees; and
- any new related party remuneration matters.

The remuneration policy and implementation thereof contained in parts 2 and 3 of this remuneration report will be put to a non-binding shareholders' vote at the AGM.

Composition, mandate and attendance for the committee

The members of the committee are independent non-executive directors as defined by King IV. The committee meets annually, as well as on an ad hoc basis when required. The attendance for these meetings is contained in the corporate governance report (*remuneration committee section*) within the 2022 annual report. The chief executive officer (CEO) and financial director (FD) attend meetings by invitation to assist the committee with the execution of its mandate. No executive participates in the vote process nor is present at meetings of the committee when his own remuneration is discussed or considered. The chairman of the committee or, in his absence, another member of the committee is required to attend the AGM to answer questions on remuneration.

The terms of reference as set out in the remuneration committee charter include:

- reviewing the group remuneration philosophy and policy and assisting the board to establish a remuneration policy for directors and senior executives that will promote the achievement of strategic objectives and encourage individual performance;
- ensuring that the mix of fixed and variable pay in cash, shares and other elements meet the group's needs and strategic objectives;
- reviewing the remuneration of executive management to ensure that it is fair and responsible in the context of overall employee remuneration in the group;
- reviewing incentive schemes to ensure continued contribution to shareholder value;
- reviewing the recommendations of management on fee proposals for the group's chairman, non-executive directors and determining, in conjunction with the board, the final proposals to be submitted to shareholders for approval;
- determining all the remuneration parameters for the CEO and other executive directors. Reviewing and recommending to the board the relevant criteria necessary to measure the performance of executives in determining their remuneration;
- agreeing the principles for senior management increases and their cash incentives;
- agreeing to LTI allocations and awards (share option scheme) for executive directors and certain senior management;
- settling LTI allocations and awards for executive directors and certain senior management;
- overseeing the preparation of the remuneration report to ensure that it is clear, concise and transparent;
- ensuring that the remuneration report be put to a non-binding advisory vote by shareholders and engaging with shareholders and other stakeholders on the group's remuneration policy; and
- ensuring that consideration is given to executive succession planning.

Role of benchmarking

Benchmarking and position in the market

To ensure that the group remains competitive in the markets in which it operates, all elements of remuneration are subject to regular reviews against relevant market and peer data. In the case of the CEO, and FD, their salaries are benchmarked predominantly against JSE listed companies. The policy aims at positioning the group as a preferred employer within the industries in which they operate. To retain flexibility and ensure fairness when directing human capital to those areas of the group requiring focused attention, subjective performance assessments may sometimes be required when evaluating employee contributions. The group believes that its remuneration policy plays an essential and vital role in realising business strategy and therefore should be competitive in the markets in which the group operates.

Executive directors

Terms of service

The terms and conditions applied to South African executive directors are governed by legislation. Terms of service for executive directors outside South Africa are governed by labour legislation in their local jurisdiction and the terms of their employment contracts.

The value of the gross remuneration package payable in terms of the employment agreements is allocated among the following benefits: (i) basic remuneration; (ii) retirement and or medical benefits; and (iii) other benefits.

Elements of remuneration

The group operates a total cost-to-company (CTC) philosophy whereby cash remuneration, benefits (including a defined contribution retirement fund, medical aid and other insured benefits) form part of employees' fixed total CTC remuneration. Executive directors and senior management also participate in STIs (in the form of a performance bonus plan). The LTI plan is in operation, namely the Argent Employee Share Option Scheme (SOE). The different components of remuneration, their objectives, the policy which governs them and their link to the business strategy are summarised below. There are no changes to the policy proposed for the following financial year, as confirmed below. The group views the executive directors as the current "prescribed officers" as defined in the Companies Act and therefore no separate remuneration policy disclosure for prescribed officers is necessary.

APPLICATION	INCENTIVE	OBJECTIVE	LINK TO STRATEGY	POLICY ELEMENTS	CHANGES FOR 2022
CTC guaranteed pay Executives, Senior Managers and all employees	Basic package	Attract and retain the best talent. Reviewed annually and set on 1 July.	This component aligns with business strategy as it takes into account internal and external equity. Hereby, ensuring competitiveness and rewarding individuals fairly based on a similar job in the market.	Level of skill and experience, scope of responsibilities and competitiveness of the total remuneration package are taken into account when determining cost to company.	No change
	Benefits	Providing employees with contractually agreed basic benefits such as retirement fund benefits (defined contribution), medical aid, risk benefits, and life and disability insurance on a CTC basis.	Benefits recognise the need for a holistic approach to guaranteed package and are part of the overall employee value proposition offered by Argent.	The company contributes towards retirement benefits as per the rules of the respective retirement funds or superannuation schemes. Medical aid contributions depend on each individual's needs and the package selection. Risk and insurance benefits are company contributions, all of which form part of total CTC.	No change
Short term Executives, Senior Managers and all employees	13 th Cheque	To motivate all levels of salaried staff to ensure the companies operate profitably. This is paid out annually in December every year if the business is profitable at this time.	Encourages profitable businesses and contributes to skills retention.	This bonus is paid out by the company and per individual and is conditional to the company being profitable, and the employee contributing to the profitability.	No change

Application	Incentive	Objective	Link to Strategy	Policy Elements	Changes for 2022
Short term Executives and Senior Managers	Profitability bonus	To motivate and incentivise senior and executive management for the delivery according to objectives set over a one-year period from 1 April every year. Bonus is paid in June every year, post the completion of the annual audit.	Encourages growth in trading profit targets, earnings per share and return on equity for shareholders in a sustainable manner over the short – term. Combines the above company financial performance metrics with strategic metrics, such as leadership, to ensure well-balanced KPIs. Rewards executive directors for their measurable contribution to the group based on predetermined metrics.	For the 2023 financial year, target and stretch performance targets are set for the following metrics: Company financial performance - Trading profit targets - Headline earnings per share (HEPS) growth and return on funds employed (ROFE) achieved. Targets set against prior year's performance and budgets. Earnings potential Stretch targets are set against a multiple of the monthly package up to a maximum multiple of 2x. Discretion of remuneration committee The remuneration committee has discretion, when warranted by exceptional circumstances and where considerable value has been created for shareholders and stakeholders of Argent by specific key employees, to award special bonuses or other ex gratia payments to individuals. In exercising this discretion, the remuneration committee must satisfy itself that such payments are fair and reasonable and are disclosed to shareholders as required by remuneration governance principles.	No change

Application	Incentive	Objective	Link to Strategy	Policy Elements	Changes for 2022
Medium term Executives and key personnel	Share Option Scheme (SOS)	To motivate and incentivise delivery of sustained performance over the medium-term.	Alignment of executives' interests with shareholders through conditional rights to future delivery of equity. The issue of equity is subject to performance targets, thereby supporting the performance culture of the group. Motivates and retains key staff.	Award levels are set according to individual performance and the need to retain individual skills. Awards consist of conditional rights to shares, issued in equal tranches over a five-year period. The strike price of the shares is set at year one as the average price of shares in the SOS. Each tranche is subjected to continued employment for the duration of the year in question and the vesting period is one year. The shares are acquired by the employee on the maturity date every year at the strike price. These acquisitions are subject to the tax laws and requirements.	No change
Long term Executive Directors	Group Value Unlock (GVU)	To unlock inherent value within the group companies and properties by selling, partnering or realigning entities to extract funds for offshore acquisition or paid out as shareholder dividends.	This is an immediate award to shareholders in the case of a once off dividend which would enhance the share price through continual unlock potential. Provides resources for overseas acquisitions that offers better growth and longer-term stability for the group by having more operations in stable developed countries.	The executive directors will be awarded for achieving sale values that exceed the internal valuation of the realisable net asset value (NAV) per company and per property of the entities that are disposed of. This award will be a percentage (20%) of the value achieved over and above the NAV.	No change

Non-executive directors

Terms of service

Non-executive directors are appointed by the shareholders at the AGM. Non-executive directors are required to retire on the third anniversary of their appointment and may offer themselves for re-election. As appropriate, the board, proposes their re-election to shareholders. There is no limit on the number of times a non-executive director may seek re-election.

Non-executive directors' remuneration

Group policy is to pay competitively for the role while recognising the required time commitment. Fees are benchmarked against a comparator group of JSE-listed companies and these fees are paid annually. No contractual arrangements are entered into to compensate for loss of office.

Non-executive directors do not receive short-term incentives, nor do they participate in any long-term incentive schemes except where non-executive directors previously held executive office and they remain entitled to unvested benefits arising from their period of employment. The company does not provide pension contributions to non-executive directors. Management reviews non-executive directors' fees annually. After discussions with the committee, recommendations are made to the board, which in turn proposes fees for approval by shareholders at the AGM.

Full details of the non-executive directors' fees for the year ended March 2022 are shown below in the implementation section as well as details of the proposed non-executive directors' fees for the year ended March 2023.

Part 3. Implementation of remuneration policy

1 Guaranteed pay – base pay and benefits

Guaranteed pay increases for the financial years ending 2022 and 2023

For the year ending 2022, a 7% increase to the basic salary component for the executive directors was applied. This increase was determined by the remuneration committee and was found to be a fair increase taking into account the inflationary environment in South Africa. Details of each executive director's remuneration are disclosed in note 20 of the annual report (refer to page 58).

2 Short-term incentive

13th cheques

The executives were paid out their 13th cheques in line with the policy requirement that the group was at least profitable.

Profitability bonus

The executives qualified for the profitability bonus as set out in the objectives developed by the remuneration committee in 2021 for the performance of each company against target. The table below sets out the targets as set in 2021 and the achievement against these targets in 2022. From the table below, the companies highlighted in grey have exceeded their set targets and therefore the executives qualify for 1/6th of their monthly basic salary for each company that exceeded their targets and for each target achieved.

COMPANY/DIVISION	TARGET	TARGET	TARGET
Castor and Ladder Proprietary Limited	R4 500 000		
Hendor Mining Supplies Proprietary Limited	R12 000 000	R15 000 000	
Jetmaster Proprietary Limited	R2 500 000	R3 250 000	R4 000 000
Megamix Proprietary Limited	R5 000 000		
Phoenix Steel Group Proprietary Limited			
Phoenix Steel Gauteng	R24 000 000	R36 000 000	
Phoenix Steel Group Proprietary Limited			
Phoenix Steel Natal	R12 000 000		
One sixth of a monthly basic salary for every target achieved	4	2	0

Total 6/6

% 100%

The executives qualified for 1% of the amount more than the target.

COMPANY/DIVISION	YEARLY TARGET	YEARLY INCENTIVE	PROFIT FOR THE YEAR	EXCESS	1% PER PARTICIPANT
Castor and Ladder Proprietary Limited	R4 500 000	1% above	R5 324 393	R824 393	R8 244
Hendor Mining Supplies Proprietary Limited	R12 000 000	1% above	R32 792 681	R20 792 681	R207 927
Phoenix Steel Group Proprietary Limited					
Phoenix Steel Gauteng	R36 000 000	1% above	R76 779 433	R40 779 433	R407 794
Phoenix Steel Group Proprietary Limited					
Phoenix Steel Natal	R12 000 000	1% above	R22 178 647	R10 178 647	R101 786
Total					R725 751

The executives qualified for the following fixed amount for each target achieved.

COMPANY/DIVISION	TARGET	FIXED INCENTIVE PER PARTICIPANT	TARGET	FIXED INCENTIVE PER PARTICIPANT	TARGET	FIXED INCENTIVE PER PARTICIPANT
Gammid Group Proprietary Limited Gammid KZN	R3 100 000	R16 667				
Koch's Cut and Supply Steel Centre Proprietary Limited	R4 000 000	R8 000	R4 500 000	R5 667	R5 600 000	R16 667
Pro Crane Services Proprietary Limited	R5 500 000	R15 000	R6 500 000	R50 000	R7 500 000	R50 000
Xpanda Security Proprietary Limited	R13 000 000	R13 333				
TOTAL						R175 334

The executive qualified for the following fixed amount for each company that achieved the monthly target:

COMPANY	Argent Industrial Engineering Proprietary Limited		Castor and Ladder Proprietary Limited		Gammid Group Proprietary Limited Gammid KZN		Jetmaster Proprietary Limited	
MONTH	TARGET	FIXED INCENTIVE PER PARTICIPANT	TARGET	FIXED INCENTIVE PER PARTICIPANT	TARGET	FIXED INCENTIVE PER PARTICIPANT	TARGET	FIXED INCENTIVE PER PARTICIPANT
April 2021	R250 000	R833	R500 000		R275 000	R1 333	R300 000	
May 2021	R200 000	R500	R500 000	R5 000	R275 000	R1 333	R300 000	R5 000
June 2021	R200 000		R500 000	R5 000	R275 000		R300 000	R5 000
July 2021	R200 000		R500 000		R275 000	R1 333	R300 000	
August 2021	R200 000		R500 000		R275 000	R1 333	R300 000	
September 2021	R200 000		R500 000		R275 000	R1 333	R300 000	
October 2021	R200 000	R500	R500 000	R5 000	R275 000	R1 333	R300 000	
November 2021	R200 000	R500	R500 000	R5 000	R275 000	R1 333	R300 000	R5 000
December 2021	R200 000		R500 000	R5 000	R275 000		R300 000	
January 2022	R200 000		R500 000		R275 000	R1 333	R300 000	
February 2022	R200 000		R500 000		R275 000	R1 333	R300 000	
March 2022	R200 000		R500 000		R275 000	R1 333	R300 000	R5 000
Sub-total		R2 333		R25 000		R13 333		R20 000

The executive qualified for the following fixed amount for each company that achieved the monthly target:

COMPANY	Phoenix Steel Group Proprietary Limited Phoenix Steel Gauteng		Phoenix Steel Group Proprietary Limited Phoenix Steel Natal		Tricks Wrought Iron Services Proprietary Limited	
MONTH	TARGET	FIXED INCENTIVE PER PARTICIPANT	TARGET	FIXED INCENTIVE PER PARTICIPANT	TARGET	FIXED INCENTIVE PER PARTICIPANT
April 2021	R7 000 000	R15 000	R1 000 000	R5 000	R266 667	R500
May 2021	R7 000 000	R15 000	R1 000 000	R5 000	R225 000	
June 2021	R7 000 000	R15 000	R1 000 000	R5 000	R308 333	R833
July 2021	R7 000 000	R15 000	R1 000 000	R5 000	R308 333	R833
August 2021	R7 000 000	R15 000	R1 000 000	R5 000	R225 000	R333
September 2021	R3 000 000	R10 000	R1 000 000	R5 000	R308 333	R833
October 2021	R3 000 000	R10 000	R1 000 000	R5 000	R225 000	
November 2021	R7 000 000	R15 000	R1 000 000	R5 000	R308 333	R833
December 2021	R3 000 000	R10 000	R1 000 000	R5 000	R308 333	R833
January 2022	R3 000 000	R10 000	R1 000 000	R5 000	R266 667	R500
February 2022	R3 000 000	R10 000	R1 000 000	R5 000	R308 333	R833
March 2022	R3 000 000	R10 000	R1 000 000	R5 000	R308 333	R833
Sub-total		R150 000		R60 000		R7 167
Total						R277 833

Bonus' earned as a percentage of the targets and the Rand equivalent:

- TR Hendry – 100% of a basic salary plus R725 751 plus R175 334 plus R277 833.
- SJ Cox – 100% of a basic salary plus R725 751 plus R175 334 plus R277 833.
- AF Litschka – 100% of a basic salary plus R725 751 plus R175 334 plus R277 833.

3 Medium-term incentive

No medium-term incentives were issued.

4 Long-term incentive

No long-term incentives were issued.

Part 4. Non-executive remuneration

Non-executive directors' fees paid

Proposed non-executive directors' fees for 2022

Refer to special resolution number 1 on page 85 of the notice of AGM for approval of the fees by shareholders in terms of section 66(9) of the Companies Act. The increase in the proposed non-executive directors' fees for 2022 are based on an inflationary increase of 7%.



ARGENT
Industrial Limited
Argent Industrial Limited
(Incorporated in the Republic of South Africa)
(Registration number 1993/002054/06)
JSE share code: ART
ISIN code: ZAE000019188
(Argent or the company)

FORM OF PROXY

FOR USE BY CERTIFICATED AND OWN-NAME DEMATERIALISED SHAREHOLDERS ONLY

For use at the annual general meeting (AGM) of ordinary shareholders of the company to be held in the company's boardroom at First Floor, Ridge 63, 8 Sinembe Crescent, La Lucia Ridge Office Estate, Umhlanga, on Friday, 19 August 2022 at 11:00.

I/We (Full name in print) _____

of (address) _____

being the registered holder of _____ ordinary shares hereby appoint:

1. _____ or failing him/her,

2. _____ or failing him/her,

3. the chairman of the AGM,

as my proxy to vote for me/us at the AGM for purposes of considering and, if deemed fit, passing, with or without modification, the special and ordinary resolutions to be proposed thereat and at each adjournment thereof and to vote for and/or against the resolutions and/or abstain from voting in respect of the shares registered in my/our name(s) in accordance with the following instructions (see Notes):

		NUMBER OF SHARES		
		IN FAVOUR	AGAINST	ABSTAIN
2.1	Ordinary resolution number 1: To re-elect Mr K Mapasa as an independent non-executive director			
2.2	Ordinary resolution number 2: To re-elect Mr PA Christofides as an independent non-executive director			
2.3	Ordinary resolution number 3: To re-elect Mr CD Angus as an independent non-executive director			
2.4	Ordinary resolution number 4: To appoint Mr PA Christofides as a member of the audit and risk committee			
2.5	Ordinary resolution number 5: To appoint Mr K Mapasa as a member of the audit and risk committee			
2.6	Ordinary resolution number 6: To appoint Mr CD Angus as a member of the audit and risk committee			
2.7	Ordinary resolution number 7: To re-appoint the auditor, BDO South Africa Inc.			
2.8	Ordinary resolution number 8: Unissued shares placed under control of the directors			
2.9	Ordinary resolution number 9: Non-binding advisory vote on Argent's remuneration policy			
2.10	Ordinary resolution number 10: Non-binding advisory vote on Argent's implementation report on remuneration policy			
3.1	Special resolution number 1: Remuneration of non-executive directors			
3.2	Special resolution number 2: Inter-company loans			
3.3	Special resolution number 3: Share repurchases by the company and its subsidiaries			

Please indicate your voting instructions by way of inserting the number of shares or by a cross in the space provided.

Signed at _____ on this _____ day of _____ 2022.

Signature(s) _____

Assisted by (where applicable) (state capacity and full name) _____

Each Argent shareholder is entitled to appoint one or more proxy(ies) (who need not be a shareholder(s) of the company) to attend, speak and vote in his stead at the AGM.

Notes to the form of proxy

1. An Argent shareholder may insert the name of a proxy or the names of two alternative proxies of the shareholder's choice in the space(s) provided, with or without deleting "the chairman of the AGM". The person whose name appears first on the form of proxy and who is present at the AGM will be entitled to act as proxy to the exclusion of those whose names follow.
2. An Argent shareholder's instructions to the proxy must be indicated by the insertion of the relevant number of shares to be voted on behalf of that shareholder in the appropriate box provided. Failure to comply with the above will be deemed to authorise the chairman of the AGM, if he/she is the authorised proxy, to vote in favour of the resolutions at the AGM, or any other proxy to vote or to abstain from voting at the AGM as he/she deems fit, in respect of all the shares concerned. A shareholder or his/her proxy is not obliged to use all the votes exercisable by the shareholder or his/her proxy, but the total of the votes cast and in respect whereof abstentions are recorded may not exceed the total of the votes exercisable by the shareholder or his/her proxy.
3. When there are joint registered holders of any shares, any one of such persons may vote at the AGM in respect of such shares as if he/she was solely entitled thereto, but, if more than one of such joint holders be present or represented at the AGM, that one of the said persons whose name stands first in the register in respect of such shares or his/her proxy, as the case may be, shall alone be entitled to vote in respect thereof. Several executors or administrators of a deceased member, in whose name any shares stand, shall be deemed joint holders thereof.
4. Forms of proxy must be completed and returned to be received by the transfer secretaries of the company, JSE Investor Services Proprietary Limited (PO Box 4844, Johannesburg, 2000), by no later than 11:00 on Wednesday, 17 August 2022, provided that any form of proxy not delivered to the transfer secretary by this time may be handed to the chairman of the AGM at any time prior to the appointed proxy exercising any shareholder rights at the AGM.
5. Any alteration or correction made to this form of proxy must be initialled by the signatory(ies).
6. Documentary evidence establishing the authority of a person signing this form of proxy in a representative capacity must be attached to this form of proxy unless previously recorded by the company's transfer secretaries or waived by the chairman of the AGM.
7. The completion and lodging of this form of proxy will not preclude the relevant shareholder from attending the AGM and speaking and voting in person thereat to the exclusion of any proxy appointed in terms hereof, should such shareholder wish to do so.



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